# Rural Bank of Cauayan, Inc.

Since 1965

2024

"Your Harvest Starts Here"


# Annual Report

## Table of Contents

| | | |
|---|---|---|
| II. | ***Compliance with Appendix 63c of the MORB-Disclosures in the Annual Reports and Published Statement of Condition*** | |
| **A.** | ***Capital structure and capital adequacy:*** | |
| 1. | Tier 1 capital and a breakdown of its components; | |
| 2. | Tier 2 capital and a breakdown of its components; | |
| 3. | Deductions from Tier 1 (50%) and Tier 2 (50%) capital; | |
| 4. | Total qualifying capital; | |
| 5. | Capital requirements for credit risk; | |
| 6. | Capital requirements for market risk; | |
| 7. | Capital requirements for operational risk; and | |
| 8. | Total and Tier 1 capital adequacy ratio on both solo and consolidated bases. | |

## CORPORATE POLICY

Rural Bank of Cauayan Incorporated's Corporate Policy is to operate within the limits of banking regulations being issued by the Bangko Sentral ng Pilipinas (BSP) and its other Government regulatory agencies for Financial Institutions.

## RURAL BANK OF CAUAYAN, INC. HISTORY

### Our Milestone

The RURAL BANK OF CAUAYAN INC. was established on April 7,1965. It is the pioneer bank in Cauayan, Isabela founded by Dr. and Mrs. Ireneo C. Bucag Sr. and its incorporators namely: Mr. Domingo San Pedro, Mrs. Aurea B. Carpio, Mr. Antonio M. Perez, Mrs. Lourdes Cruz, and Mr. Domingo Simangan. The simplified and affordable credit window that it offers immediately became a word of mouth among farmers and businessmen in Cauayan, Isabela and its nearby municipalities. Since then, it has not stopped counting more and more satisfied and loyal customers.

Because of this, Rural Bank of Cauayan Inc. started branching out. Six (6) branches were opened from 1990 to 2000, Seven (7) other branches were inaugurated from 2001-2010. Five(5) more branches started operating from 2011 to 2014, and 1 branch-lite in 2015.
As of now, Rural Bank of Cauayan Inc. has a total of 16 branches and 2 branch-lite units operating in three provinces in Region 2–Isabela, Cagayan and Nueva Vizcaya with resources of over a Billion pesos.

The bank's tremendous growth over the years was fueled by the active & dynamic stewardship of its Members of the Board namely: Dr. Eduardo R. Bucag, Chairman of the Board, Mr. Edgardo R. Bucag, Vice Chairman, Charita P. Guinid, President, Mr. Ireneo R. Bucag Jr., Engr. Ronaldo R. Bucag, Ms. Teresita R. San Pedro, Mr. Danilo R. San Pedro, Atty. Maria Luisa M. Andres, and Independent Director Ms. Susana S. Wandag.

Rural Bank of Cauayan Inc. has evolved as one of the biggest rural bank in the region and has been receiving recognitions from prestigious institutions. Over the years, it has continued its legacy in good governance and excellent customer service.

## a. Banks' Vision and Mission

### Vision

To be one of the best providers of financial services in the rural banking industry.

### Mission

To help improve quality of life by delivering superior services and operate with a high level of competence, integrity, honesty, professionalism, and community involvement.

**Core Values**

**Service**

We provide and deliver the best products and services to all of our clients. We focus on their needs.

**Integrity & Professionalism**

We practice honesty, transparency, fairness and demonstrate mutual respect and trust with others. We uphold high ethical standards and conduct ourselves in a manner that dignifies the reputation of the bank. We take responsibility and stand up for our actions.

**Care For Employees**

We practice a culture that attracts, retains, rewards and empowers employees.

**Diversity**

We recognize that we have varying and sometimes opposing views. This is only because of differences in perceptions and how to improve and promote the interest of the company, our clients, and our employees. As such, we welcome, listen and respect all perspectives and views

**Excellence**

We put the company our first priority. We operate as a competitive and profitable business and work as a team to attain our organizational goals. We constantly strive to be the number one. We act quickly and stand for the highest quality we deliver. Our employees are trained to excel, to deliver their best performance and be as productive as they can.

## b. The Banks' Brand

Rural Bank of Cauayan Inc., is a financial institution established on April 7, 1965 which engaged in extending financial services to farmers and small businessmen in the countryside. Products and services include:

Deposit Products

- Regular Savings;
- SSS Pensioners Savings;
- Student Savings;
- Time Deposit;
- Basic Deposit; and
- Demand Deposit

Loan Products

- Agricultural Loans;
  - Agri-sagana;
  - Agri-masikap; and

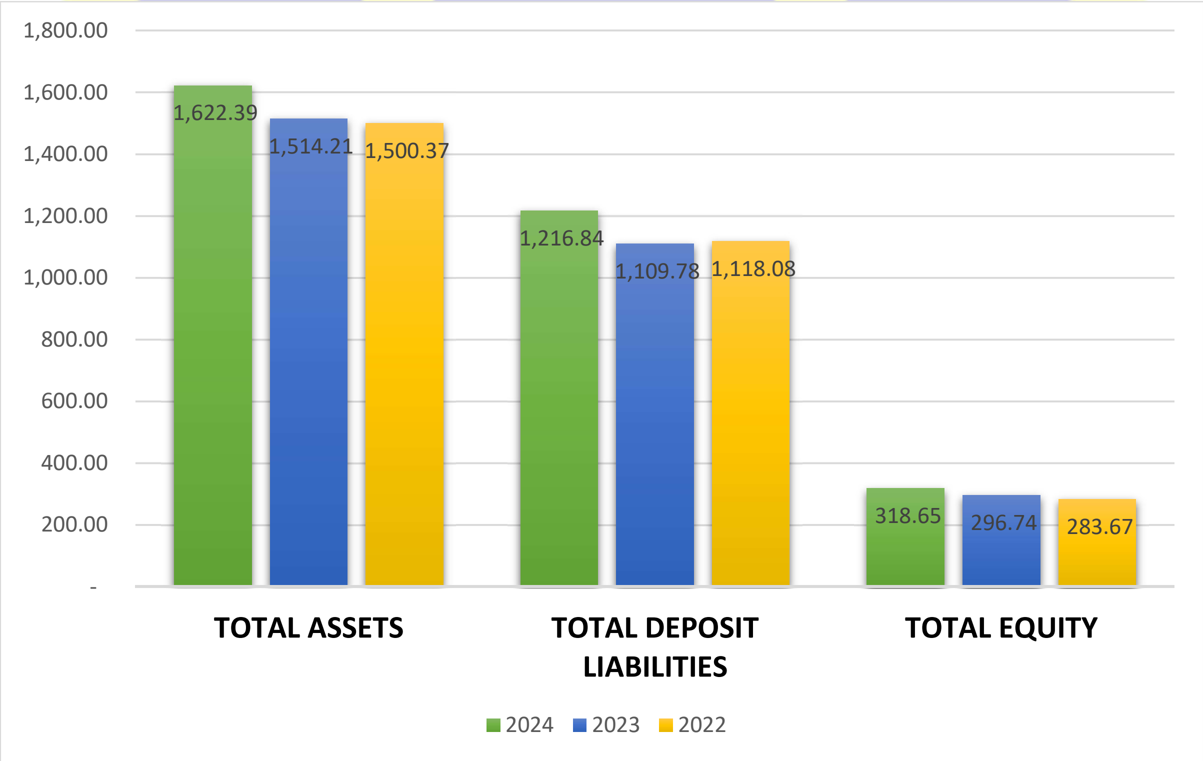
- SME Loans;
  - Nego-asenso;
  - Ka-asenso; and
  - Small Business Loan;
- Personal Loan
  - Insta-cash Loan
    - Mortgage Loan
- SSS Pensioner Loan
- Salary Loan
  - Loyalty Loan
  - Fringe Benefit Loan
- Motorcycle Loan
- Money shop Loan

### c. Bank's Business Model

Rural Bank of Cauayan, Inc. is a simple bank that offers basic banking services (i.e. deposits and loans) and is operating in Cagayan Valley Region. A major source of its earnings is generated from its lending activities to farmers and business owners in the Region. The Banks' major market are those engaged in agriculture industry as evidenced by its tag line ***"Your Harvest Starts Here".***

## 2. Financial Summary/ Financial Highlights

Rural Bank of Cauayan Inc. is operating as a simple bank with a total asset of 1,622,398,120.00 having 16 branches and 2 branch-lite unit spread out within Region 2.



*Note: Amounts in Million Pesos*

## 3. Financial Condition and Result of Operation

### a. Review of Bank's Operation

Bank's Plan, Strategies and accomplishments for the year 2024

| Particulars | Target 2024 | Actual 2024 | Difference |
|---|---|---|---|
| Total Loan Portfolio | 1.028B | 952.85M | (75.14)M |
| Total Past Due Amount | 50.9M | 57.69M | (6.79M) |
| Past Due Ratio | 5.0% | 6.06% | 1.06% |
| Deposit Liabilities | 1.177B | 1.216B | (39.0M) |
| ROPA | 20.56M | 8.21M | (12.35)M |
| ACL | 20.56M | 28.48M | ( 7.92M) |
| Gross Income | 209.21M | 212.31M | (3.1M) |
| Total Expenses | 164.21M | 166.71M | 2.50M |
| Net Income | 45.0M | 45.60M | (0.60M) |

| | Consolidated | | Parent Bank (Solo) | |
|---|---|---|---|---|
| Minimum Required Data | Current Year | Previous Year | December 31, 2024 | December 31, 2023 |
| Profitability | | | | |
| Total Net Interest Income | 103,862,825.23 | 93,746,944.66 | | |
| Total Non-Interest Income | 74,045,934.97 | 75,882,522.08 | | |
| Total Non-interest Expenses | 105,936,864.80 | 99,559,01.80 | | |
| Pre-provision profit | 58,812,759.20 | 52,600,987.66 | | |
| Allowance for credit losses | 13,159,136.20 | 17,469,466.28 | | |
| Net Income | 45,601,305.73 | 39,757,443.14 | | |
| Selected Balance Sheet Data | | | | |
| Liquid Assets | 372, 875,300.02 | 514,507,214.3 | | |
| Gross Loans | 952,852,321.15 | 870,315,966.10 | | |
| Total Assets | 1,622,398,120.00 | 1,514,217,512.00 | | |
| Deposits | 1,216,848,636.00 | 1,109,788,827.00 | | |
| Total Equity | 318,659,396.00 | 299,441,826.00 | | |
| Selected Ratios | | | | |
| Return on equity | 14.76% | 14.26% | | |

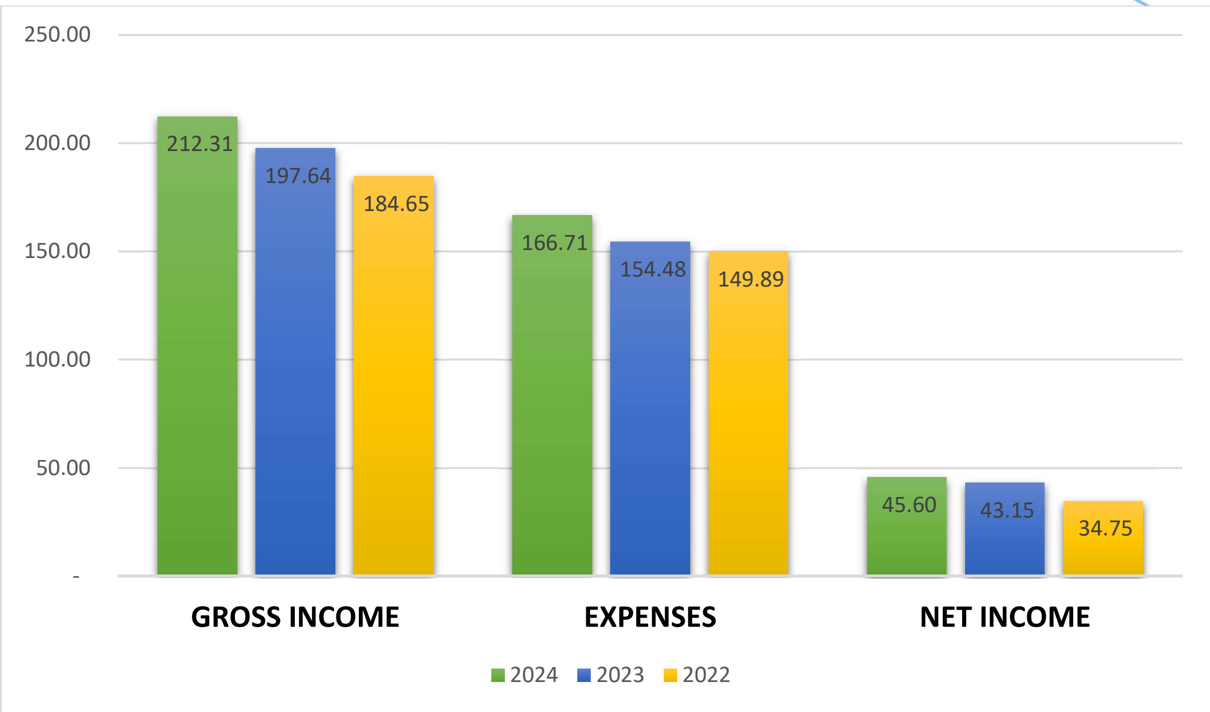
| | | | | |
|---|---|---|---|---|
| Return on assets | 2.91% | 2.67% | | |
| CET1 capital ratio (for UBs/KBs) | | | | |
| Tier 1 capital ratio (for UBs/KBs) | 19.73% | 19.65% | | |
| Capital Adequacy Ratio | 19.19% | 19.11% | | |

**b. Result of Operation**

Rural Bank of Cauayan, Inc. Net Income as of 31 December 2024 increased by ***7.54M*** or ***19.59%*** as compared to the December 2023 data. This is due to the significant increase in loan portfolio.

| Description | **Actual Dec. 31, 2023** | **Actual Dec. 31, 2024** | **Increase (Decrease)** | **% of Increase (Decrease)** |
|---|---|---|---|---|
| Loan Portfolio | 896.0M | 952.85M | 56.83M | 6.34% |
| Past Due Loan | 51.48M | 57.69M | 6.21M | 12.08% |
| Past Due Ratio | 5.75% | 6.06% | 0.31% | .05% |
| Deposit Liabilities | 1.109B | 1.216B | 107.05M | 9.65% |
| Gross Income | 196.21M | 212.31M | 15.55M | 7.90% |
| Expenses | 156.45M | 166.71M | 8.01M | 5.06% |
| Net Income | 39.75M | 45.60M | 7.54M | 19.59% |
| ACL | 3.21% | 2.99% | (0.22%) | (0.06%) |

The Banks' total loan portfolio (TLP) as of end 31 December 2024 increased by ***56.83M*** or ***6.34%*** as compared to December 2023 data**.** This amount is exclusive of ACPC loans previously included in prior years. The bank has exerted efforts in gaining new borrowers and increasing the loan amount per borrower while ensuring that loan quality will not be jeopardized.




*Note: Amounts in Million Pesos*

## Marketing

The Banks' marketing strategies include motorcades conducted in each city/municipality wherein a branch is located to reintroduce the bank, house-to-house visits spearheaded by Branch Managers, word-of-mouth advertising through loyal customers, and radio ads throughout is situs of operations. The bank also installed tarpaulins with the bank's products and distributed flyers.

## Funding

The Bank has an approved rediscounting line with Bangko Sentral ng Pilipinas (BSP) and Land Bank of the Philippines (LBP) that can be tapped in funding its lending activities. Other funding plans are discussed in detail in the approved Contingency Funding Plan (CFP) of the Bank.

## Infrastructure

Rural Bank of Cauayan, Inc. is continuously upgrading its offices and has repainted its Roxas Branch, and replaced signages at Tumauini, Tuguegarao, Cabatuan and San Mateo Branch. The bank continues its efforts to maintain a safe, clean and aesthetically pleasing environment for our clients and employees.

## Corporate Social Responsibility

CAUYN participated in the Annual Gaway-gawayan Job Fair in partnership with the Local Government Unit and joined several other job fairs in different municipalities. Through this, aspiring applicants were provided an opportunity to gain employment. The bank also donated cleaning supplies to chosen schools in participation with Brigada Eskwela. The bank opted to donate relief goods to typhoon-affected areas in lieu of a bank-wide Christmas Celebration.

**c. Challenges, Opportunities and Responses during the year**

The Banks major challenge during the year was the turnover of several employees. Separated officers were offered higher compensation in other banks while most rank-and-file employees who were LET and/or CSC passers were employed at DepEd and other government units. Some ventured into business.

## 4. Risk Management Framework Adopted

### a. Overall Risk Management Culture and Philosophy

All business transactions carry an inherent level of risk to a company's financial position, operational requirements and reputation. A risk management system should bring all risks to the forefront of any anticipated business transaction for consideration by key stakeholders. A comprehensive risk management process will assist the Bank to:

1. Minimize negative financial and operational results;
2. Strengthen business partner relations;
3. Execute more efficient and effective processes;
4. Satisfy the legal and regulatory requirements imposed on it by the Bangko Sentral ng Pilipinas (BSP), Securities and Exchange Commission (SEC), Bureau of Internal Revenue (BIR); local government units (LGU), etc.
5. Improve individual accountability and give greater transparency to decision-making; and
6. Exploit business opportunities quickly with full appreciation of risks involved.

### b. Risk Appetite Statement

**Introduction**

The Rural Bank of Cauayan Inc. was established in 1965 with specific objectives and powers granted by the Philippine government. The activities undertaken in fulfilment of its responsibilities are overseen by the Bangko Sentral ng Pilipinas and the Board of Directors of the Bank.

The Bank is charged with carrying out the duties of a rural bank for the benefit of the Filipino people. This obligation is enshrined in legislation and is central to the core values of the organization. The Bank's ability to effectively fulfill this mandate rests, among other things, on its reputation as an organization of the highest integrity and professionalism.

This Statement considers the most significant risks to which the Bank is exposed and provides an outline of the approach to managing these risks. All strategic plans and business plans for functional areas need to be consistent with this Statement.

**General Statement of Appetite**

The Bank faces a broad range of risks affecting its responsibilities as a rural bank. These risks include those resulting from its responsibilities in the areas of deposit taking, lending, payment system, as well as its day-to-day operational activities.

The risks arising from the Bank's policy responsibilities can be significant. These risks are managed through detailed processes that emphasize the importance of integrity, intelligent inquiry, maintaining high quality staff and public accountability.

In terms of operational issues, the Bank has a low appetite for risk. The Bank makes resources available to control operational risks to acceptable levels. The Bank recognizes that it is not possible or necessarily desirable to eliminate some of the risks inherent in its activities. Acceptance of some risk is often necessary to foster innovation and efficiencies within business practices.

## The Risk Management Framework

The Bank's risk management framework seeks to ensure that there is an effective process in place to manage risk across the Bank. Risk management is integral to all aspects of the Bank's activities and is the responsibility of all staff. Managers and Department Heads have a particular responsibility to evaluate their risk environment, to put in place appropriate controls and to monitor the effectiveness of those controls. The risk management culture emphasizes careful analysis and management of risk in all business processes.

These risks are identified, assessed and managed at both an enterprise level and business level. The Audit, Risk Management and Compliance Oversight (ARMCO) Committee which is chaired by an Independent Director has oversight over these processes. This Committee meets once a month and provides a report on its activities to the Board of Directors.

## Coverage

The Banks attitude towards its key strategic, financial, people and operational risks is described below.

### Strategic Risks

The Bank aims to be among the best rural banks in the country, measured by the quality and effectiveness of its operations. This requires ongoing development and innovation in its operations through strategic initiatives which often carry significant risk. The Bank has a low appetite for threats to the effective and efficient delivery of these initiatives. It recognizes that the actual or perceived inability to deliver strategic initiatives could have a significant impact on its ability to achieve its objectives as well as its reputation.

The Bank's Audit, Risk Management and Compliance Oversight Committee (ARMCO) meets regularly to discuss the major initiatives. A framework is in place to ensure that these initiatives are prioritized appropriately, and that the associated risks are well managed and reported on a consistent basis.

### Financial Risks

The Bank holds the deposits of its clients to support its lending operations. These deposits account for the majority of the Bank's liabilities and expose the balance sheet to a number of financial risks of which the largest is interest rate risk. The Bank does not aim to eliminate this risk as this would significantly impair its ability to achieve its policy objectives. Instead, the risks are managed to an acceptable level through a framework of controls. The Bank acknowledges that there will be circumstances where the risk carried on its balance sheet will have a material impact on its financial accounts. The Bank regards it as desirable to hold sufficient reserves to absorb potential losses.

The Bank has modified its Risk-taking appetite from Low to Moderate in view of the need to properly and prudently utilize idle funds and to increase income. The Bank manages this risk carefully by applying a strict set of criteria to lending, confining its dealings to persons and institutions of high creditworthiness and ensuring that exposures are appropriately secured, whenever feasible.

Risk tolerances for the Bank's lending activities are outlined in Credit Policy Manual approved by the Board of Directors. Performance against these measures is monitored regularly and reported to the Audit, Risk Management and Compliance Oversight (ARMCO) Committee.

**Fraud and Corruption**

The Bank has no appetite for any fraud or corruption. The Bank takes all allegations of suspected fraud or corruption very seriously and responds fully and fairly as set out in the Code of Conduct.

**People and Culture Risk**

The Bank relies on motivated, diverse and highly qualified staff to perform its functions. It aims to create an environment where employees are equipped and motivated to their abilities.

The Bank expects employees to conduct themselves with a high degree of integrity, to strive for excellence in the work they perform, and the outcomes they achieve, and to promote public interest. The appetite for behaviors that do not meet these standards is very low. The Bank takes seriously any breaches of its Code of Conduct.

The Bank is committed to create a safe working environment for its entire staff, where people are protected from physical or psychological harm. It has a very low appetite for practices or behaviors that could lead to harm while at work.

**Operational Risks**

The Bank's appetite for specific operational risks is detailed below. Risks are carefully analyzed in all of the Bank's operational activities to ensure that the benefit of the risk control measures exceed the costs involved in implementing these measures.

**Information Technology**

**Technology Service Availability** – The Bank has a very low appetite for risks to the availability of systems which support its critical business functions including those which relate to inter-bank settlements, banking operations and lending operations. Service availability requirements have to be identified in each business area.

**Security – Cyber-attack on systems and networks** – The Bank has a very low appetite for damage to Bank assets coming from malicious attacks. To address this risk, The Bank aims for strong internal processes and the development of strong technology controls.

**Physical Security**

The Bank provides a highly secure environment for its people and assets by ensuring its physical security measures meet high standards. The Bank has a very low appetite for the failure of physical security measures.

**Compliance**

The Bank is committed to a high degree of compliance with relevant legislation, regulation, industry codes and standards as well as internal policies and sound corporate governance principles. Identified breaches of compliance will be remedied as soon as practicable. The Bank has no appetite for deliberate or purposeful violations of legislative or regulatory requirements.

**Information Management**

The Bank is committed to ensuring that its information is authentic, appropriately classified, properly conserved and managed in accordance with legislative and business requirements. It has no appetite for the compromise of processes governing the use of information, its management and publication. The Bank has no appetite for the misuse of its information.

### c. AML governance and culture, and description

RB Cauayan conforms with the requirements set by Anti- Money Laundering Council to align itself for its mandate:

1. protect the integrity and confidentiality of bank accounts and ensure that the Philippines, in general, and the covered persons, in particular, shall not be used, respectively, as a money laundering site and conduit for the proceeds of an unlawful activity as herein defined; and
2. to protect life, liberty and property from acts of terrorism and to condemn terrorism and those who support and finance it and reinforce the fight against terrorism by criminalizing the financing of terrorism and related offenses.

Measures taken by the bank are outlined in its Money Laundering and Terrorism Financing Prevention Program (MTPP). Regular training for all employees is also conducted to ensure that updates are timely disseminated.

## 5. CORPORATE GOVERNANCE

### a. Overall Corporate Governance and Structure

The Banks' overall corporate Governance and Structure is a tone at the top practices

### b. Selection Process of the Board of Directors

Every regular director is elected, except for the independent directors who are appointed. Election of directors is done every stockholder's meeting which transpires every 30th day of January. Prior to the election process, interested stockholders of the bank who wish to have a seat in the board shall file a certificate of candidacy and state that they are eligible for the office they seek to be elected to. Casting of votes is done through secret ballot and facilitated by the Chief Compliance Officer and Chief Operation Officers.

### c. Board of Directors Responsibility

The Board of Director is primarily responsible for defining the bank's vision and mission and value statement. It is periodically reviewed to ensure continued relevance and applicability thereof. They are governed by the bank's established code of conduct and ethical standards. They approve and oversee the implementation of strategies to achieve corporate objectives. They actively participate in all the deliberations in formulating business strategies and monitor the implementation thereof. The Board of Directors regularly meet to properly discharge its functions and likewise have discussions on values, conduct and behavior. They ensure that adequate resources are available to effectively implement and meet the governance policies, practices and systems.

**d. Major Role and Contribution of the Chairman of the Board**

The chairman of the board provides leadership in the board of directors. He ensures that effective functioning of board of directors is met including a relationship of trust with members of the board of directors. He facilitates the meeting proper and encourages everybody to actively participate in the discussions with a sense of independence and objectivity. He sees to it that the meeting agenda focuses on strategic matters including discussions on risk appetites and key governance concern. He ensures that dissenting views of every director was expressed and discussed within the decision-making process.

**e. Board Composition**

| Name | Type of Directorship | No. of years served as Director | No. Of Shares | Percentage of Shares |
|---|---|---|---|---|
| Eduardo R. Bucag | Non-Executive | 21 years | 547,318 | 21.49% |
| Edgardo R. Bucag | Non-Executive | 21 years | 388,341 | 15.25% |
| Ireneo R. Bucag, Jr. | Non-Executive | 21 years | 385,612 | 15.14% |
| Ronaldo R. Bucag | Non-Executive | 21years | 381,428 | 14.98% |
| Danilo R. San Pedro | Non-Executive | 21 years | 102,509 | 5.04% |
| Ma. Luisa M. Andres | Non-Executive | 8 years | 1 | 0.00% |
| Susana S. Wandag | Non-Executive | 5 years | 1 | 0.00% |
| Shirly Leocel A. Narag | Non- Executive | 1 year | 1 | 0.00% |
| Charita P. Guinid | Executive | 7years | 1 | 0.00% |

**f. Board Members and Qualifications:**

**DR. EDUARDO REYES BUCAG**
**Chairman**

- Age and Nationality: 69 yrs. Old, Filipino
- He is a Doctor of Medicine by profession, graduated from University of Sto. Tomas, Manila. He became a director of the bank in the year 1988 to 2002. By the year 1993 to 2006, he became the Branch Manager of Rural Bank of Cauayan, Inc., San Mateo Branch. He became the Chairman of the board concurrent President by the year 2003 to 2011 and became a full time Chairman of the Board up to year 2014 concurrently occupying the position of the CEO until 2015. Then from 2015 up to present, he is the chairman of the board and member of the Board
- Committee. He has attended various seminars and training related to banking.

- Age and Nationality: 61 yrs. Old, Filipino
- He is a graduate of Bachelor in Science in Commerce major in Management in San Beda, Manila. He worked at RB Cauayan as an Assistant Manager in Cauayan Branch from 1993 to 1994 and later became the Manager of Alicia Branch in 1995 up to 2003. He became a director by the year 2003 to 2011 and later held the position of President concurrently up to January 2017. At present, he is a non-executive director. He also attended various seminars and trainings related to banking.

**EDGARDO REYES BUCAG**
**Vice Chairman**

**IRENEO REYES BUCAG JR.**
**Director**

- Age and Nationality: 64 yrs. Old, Filipino
- He is a graduate of AB Economics at the University of Sto. Tomas, Manila in 1980. He worked in Manila Banking Corporation as Proof Clerk for 1 year after he graduated. He assumed the position of an Assistant Manager from 1982 to 1989, and became a full time Manager of Roxas Branch from 1990 to 2002. He became a director in the year 2003 up to present and concurrently holding the position of VP for operation from 2014 to 2015. At present he is a non-executive director and member of the board committee. He also attended various seminars and trainings related to banking.

- Age and Nationality: 67 yrs. Old, Filipino
- He is an Engineer by profession. He graduated Management and Industrial Engineering at Mapua Institute of Technology in 1981. He was an Assistant Manager of the bank in the year 1995 to 1996 and later became a full-fledged manager of San Manuel Branch in 1996 to 2003. He became a director in the year 2003 up to present. He was an executive director from Jan 2014 to Aug. 2015 as VP- Loans and Credit. At present, he is a non-executive director. He also attended numerous seminars and trainings related to banking and other related fields.

**RONALDO REYES BUCAG**
**Director**

**DANILO REYES SAN PEDRO**
**Director**

- Age and Nationality: 70 yrs. Old, Filipino
- He is a Certified Public Accountant, graduated at University of the East, Manila in 1975. He became a director of the bank concurrent head of Internal Audit in the year 2001 to 2003. He became a full time director in the year 2003 and a member of Board committee up to present. He also attended various seminars and trainings related to banking.

- Age and Nationality: 72 yrs. Old, Filipino
- She is a Certified Public Accountant and a Lawyer. She graduated in Manuel L. Quezon University, Manila and later took Bachelor of Laws and Letters (Ll.B.) and Master degree in Business Administration at Cagayan Colleges Tuguegarao. She worked as an accountant at Puzon Group of Companies in 1981 to 1993 and later joined Land Bank of Philippines from 1993 to 2015 occupying different positions from legal officer to Department Manager to Assistant Vice President. She retired at Land Bank in 2015 and joined RB Cauayan in 2016 as Consultant for HRAD and Loans Department.

**ATTY. MARIA LUISA MILITANTE ANDRES**
**Director**

**SUSANA SINSANO WANDAG**
**Independent Director**

- Age and Nationality: 61 yrs. Old, Filipino
- She is a graduate of Bachelor of Science in Civil Engineering at Saint Mary's College, Bayombong, Nueva Vizcaya in 1986. And she passed her licensure examination for Civil Engineering in 1987. She took up her Master Degree of Master in Business Administration at Saint Paul University in 1996. She also took up her Graduate Studies of Bachelor of Laws and Letters at Cagayan College of Tuguegarao in 2001. She was a Project Engineer at RBL Construction from 1987 to 1988. She worked at Landbank of the Philippines as a Credit Investigator from 1989 to 1991, Property Appraiser from 1991 to 2005 and later became Head of the Loans Admin Unit from 2005 to 2016. She became an Independent Director of the bank and ARMCO committee Chairperson from 2019 to present. She also attended various seminars and trainings related to banking.

- Age and Nationality: 56 yrs. Old, Filipino
- She is a Certified Public Accountant and also a Licensed Real Estate Broker and Environmental Planner. She is a graduate of Bachelor of Science in Business Administration, major in Accounting in 1988 and Master in Business Administration in 2017 from St. Paul University Philippines (SPUP). She was an Accounting Instructor at SPUP, Internal Auditor of Uniwide Sales Group, External Auditor at Joaquin Cunanan PWC from 1989 to 1997 before she joined China Banking Corporation as Branch Operations Head then later as Branch Manager from 1997 to 2019. She became an Independent Director of the bank and ARMCO committee Member from 2024 to present. She also attended various seminars and trainings related to banking

**SHIRLY LEOCEL A. NARAG**
**Independent Director**

**CHARITA PASCUAL GUINID**
**President**

- Age and Nationality: 55 yrs. Old, Filipino
- She is a Certified Public Accountant, graduated at Pamantasan ng Lungsod ng Maynila in 1990. She worked as an Assistant Chief Accountant at Equity Machineries in 1991 to 1992. She joined the bank in 1992 as Accountant up to 1997. She was appointed as Compliance Officer in 1998 to June 8, 2017 and later appointed as the President of the bank last June 09, 2017 up to present. She became a director in November 07, 2017 up to present. She has attended numerous trainings and seminars related to banking and other related fields.

### g. Board Level Committee

**The bank has one (1) board level committees which is:**

1. Audit, Risk Management and Compliance Oversight Committee (ARMCO)

The committee meets once a month, before the schedule of regular board meetings. The committee assists the board of directors in fulfilling its oversight function relative to the financial reporting process, the system of internal control, the audit process, the bank's risk-taking activities and the implementation of the compliance program that are designed to respond to the various compliance and regulatory risks facing the bank.

### h. Directors Attendance at Board Meetings

Attendance of Board of Directors during Regular & Special Board Meeting January 2024 to December 2024:

| Name of Directors | Position | Total Actual Number of BODs Attendance for 2024 (Out of 61 meetings) | Percentage of Attendance |
|---|---|---|---|
| Dr. Eduardo R. Bucag | Chairman of the Board | 35 | 57.0% |
| Edgardo R. Bucag | Vice Chairman | 46 | 75.0% |
| Danilo R. San Pedro | BOD Member/Treasurer | 40 | 66.0% |
| Ronaldo R. Bucag | BOD Member | 60 | 98.0% |
| Ireneo R. Bucag, Jr. | BOD Member | 33 | 54.0% |
| Atty. Maria Luisa M. Andres | BOD Member | 40 | 66.0% |
| Susana S. Wandag | Independent Director | 46 | 75.0% |
| Shirly Leocel A. Narag | Independent Director | 33 | 54.0% |
| Charita P. Guinid | BOD Member/President | 39 | 64.0% |

### i. ARMCO Committee Attendance on Meetings for the Year-2024

| Name of Directors | Position | Total Actual Number of Committee Attendance (Out of 10 meetings) | Percentage of Attendance |
|---|---|---|---|
| Susana S. Wandag | Chairperson | 10 | 100.0% |
| Dr. Eduardo R. Bucag | Member | 7 | 70.0% |
| Edgardo R. Bucag | Member | 9 | 90.0% |
| Atty. Maria Luisa M. Andres | Member | 9 | 90.0% |
| Shirly Leocel A. Narag | Member | 9 | 100.0% |

**j. Execom Attendance on Meetings for the Year-2024**

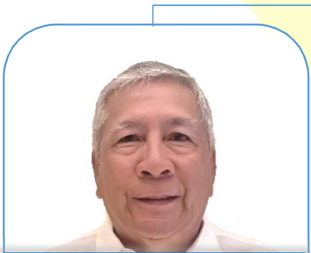
| Name of Directors | Position | Total Actual Number of Committee Attendance (Out of 29 meetings) | Percentage of Attendance |
|---|---|---|---|
| Charita P. Guinid | Chairperson | 29 | 100.0% |
| Jannette B. Domingo | Member-Alternate | 29 | 100.0% |
| Emerlyne M. Manangan | Member/Secretary | 29 | 100.0% |
| Marissa M. Paraguison | Member | 29 | 100.0% |
| Aileen V. Barlis | Member | 29 | 100.0% |

**Audit, Risk Management & Compliance Oversight Committee**

The Audit, Risk Management and Compliance Oversight Committee (ARMCO) which is tasked to perform responsibilities needed to ensure sound management of the bank operation and its resources. While Executive Committee is responsible for overseeing the establishment of effective systems of internal control in order to provide reasonable assurance that the company's financial and non-financial objectives are achieved.

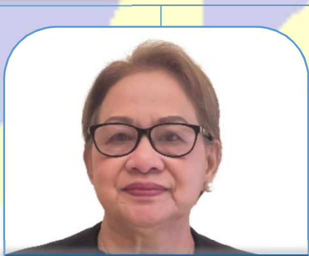
**Composition of the ARMCO Committee**

CHAIRPERSON
SUSANA S. WANDAG

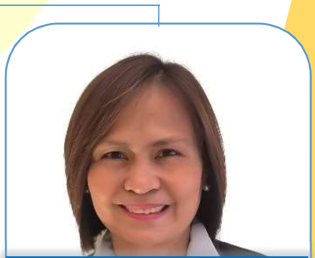


MEMBER
DR. EDUARDO R. BUCAG

MEMBER
EDGARDO R. BUCAG



MEMBER
ATTY. MARIA LUISA M. ANDRES

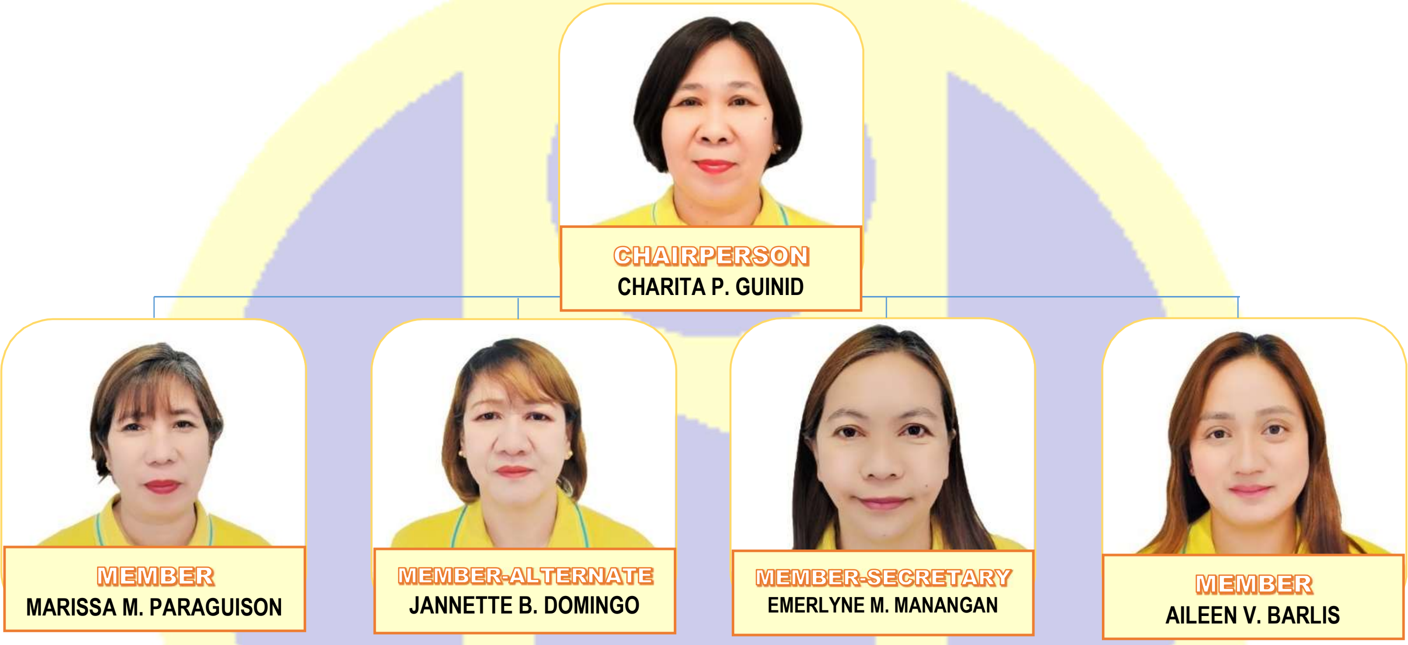


MEMBER
SHIRLY LEOCEL A. NARAG

## Executive Committee

To aid the President in the planning and monitoring of approved strategies for the improvement of the Bank's operations. This committee also aims to develop a systematic and smooth deliberation of policies prior to its implementation.

### Composition of the Executive Committee



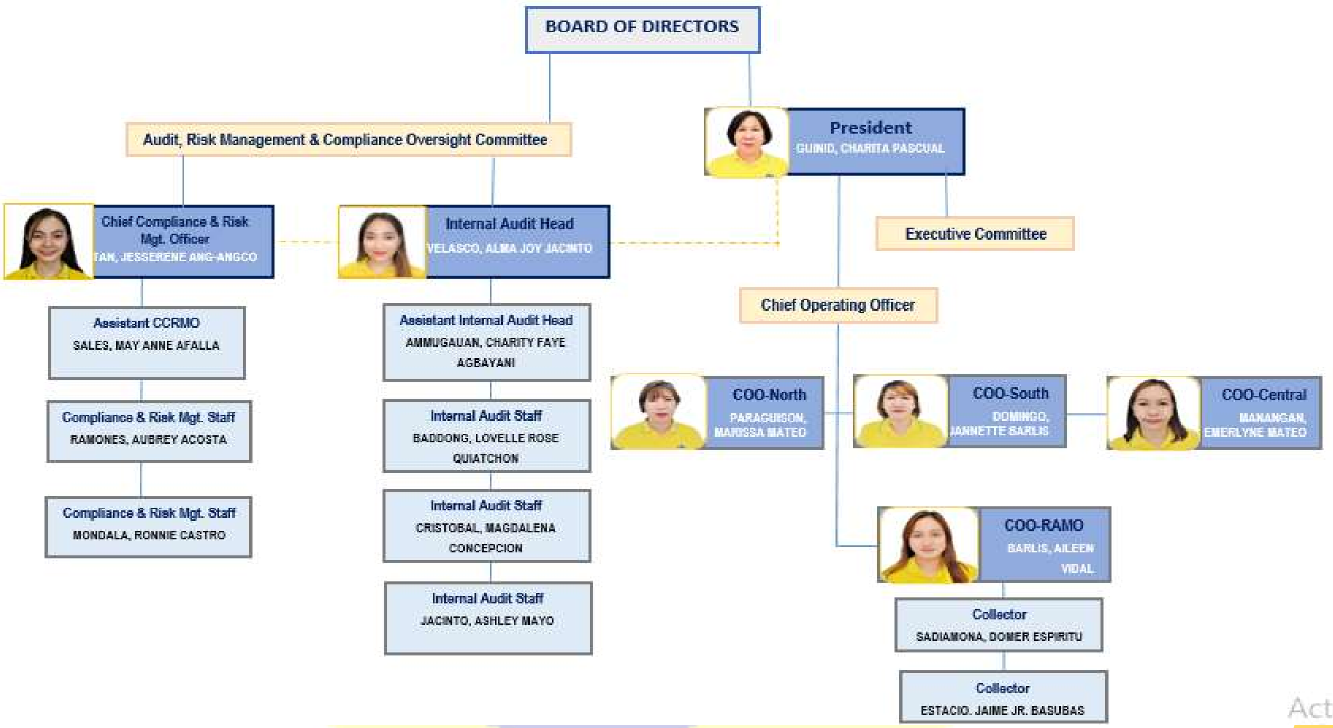

### k. List of Executive Officers / Senior Management

| Name of Member | Position | Ages | Nationality | Qualification/Experience |
|---|---|---|---|---|
| **Ms. Charita P. Guinid** | President | 55 | Filipino | • A graduate of any four-year college degree preferably Bachelor's degree in Accountancy or Business Administration, Major in Accounting or related field such as Management or Economics<br>• Certified Public Accountant or Master's Degree in the above mentioned fields.<br>• Have five (5) years of supervisory experience, including a senior management position in a bank or lending business with emphasis in consumer or business credit, corporate banking and finance.<br>• Experience in working with regulators and maintaining compliance in a regulated business.<br>• Demonstrated senior management leadership skills.<br>• Excellent written and interpersonal communication, public speaking, and presentation skills.<br>• Ability to set and manage priorities judiciously.<br>• Ability to think strategically while also executing on tactical deadlines.<br>• Ability to motivate in a team-oriented, collaborative environment.<br>• Keen attention to detail. |
| **Ms. Marissa M. Paraguison** | Chief Operating Office – North Area | 56 | Filipino | • Graduate of Bachelor of Science in Accountancy or any 4-year business related course preferably with a Master's Degree in Business Administration<br>• Three (3) years in bank managerial operations<br>• Must be knowledgeable in Branch Operations, Accounting practices, bookkeeping and financial management requirements<br>• Must be knowledgeable in relevant laws, regulations, codes, guidelines and administrative best practices related to banking<br>• Skills/Abilities<br>o Oral and Written Communication<br>o Marketing and Collection expertise |

| | | | | |
|---|---|---|---|---|
| | | | | o Computer Competence<br>o Leadership Skills<br>o Interpersonal Skills<br>o Attention to Detail<br>o Analytical<br>o Hardworking |
| **Ms. Emerlyne M. Manangan** | Chief Operating Office – RAMO South | 50 | Filipino | • Graduate of Bachelor of Science in Accountancy or any 4-year business related course preferably with a Master's Degree in Business Administration<br>• Three (3) years in bank managerial operations<br>• Must be knowledgeable in Branch Operations, Accounting practices, bookkeeping and financial management requirements<br>• Must be knowledgeable in relevant laws, regulations, codes, guidelines and administrative best practices related to banking<br>• Skills/Abilities<br>o Oral and Written Communication<br>o Marketing and Collection expertise<br>o Computer Competence<br>o Leadership Skills<br>o Interpersonal Skills<br>o Attention to Detail<br>o Analytical<br>o Hardworking |
| **Ms. Jannette B. Domingo** | Chief Operating Office – South Area | 59 | Filipino | • Graduate of Bachelor of Science in Accountancy or any 4-year business related course preferably with a Master's Degree in Business Administration<br>• Three (3) years in bank managerial operations<br>• Must be knowledgeable in Branch Operations, Accounting practices, bookkeeping and financial management requirements<br>• Must be knowledgeable in relevant laws, regulations, codes, guidelines and administrative best practices related to banking<br>• Skills/Abilities<br>o Oral and Written Communication<br>o Marketing and Collection expertise<br>o Computer Competence<br>o Leadership Skills<br>o Interpersonal Skills<br>o Attention to Detail<br>o Analytical<br>o Hardworking |
| **Ms. Aileen V. Barlis** | Chief Operating Officer – RAMO North | 43 | Filipino | • Graduate of 4-year business related course<br>• Skills/Abilities<br>o Oral and Written Communication<br>o Marketing and Collection expertise<br>o Computer Competence<br>o Leadership Skills<br>o Interpersonal Skills<br>o Attention to Detail<br>o Analytical<br>o Hardworking<br>o Initiative<br>• 2 years' experience in Corporate Collection<br>• Mastery on collection guidelines and process<br>• Personality Development |
| **Ms. Ascension P. Arenas** | BEO/ Corporate Secretary | 54 | Filipino | • Graduate of Bachelor of Science in Accountancy or any 4-year business related course<br>• Have at least 3 years stable administrative experience<br>• Must be knowledgeable in Branch Operations, Accounting practices, bookkeeping and financial management requirements<br>• Proficiency with Microsoft Excel, Word and Power Point / general computer literacy.<br>• Have an excellent organizational ability (meetings and other schedules of the COO)<br>• Possess a good character in problem solving skills<br>• Know how to communicate directly to the board in behalf of the COO<br>• Act as a liaison between the COO and employees<br>• Have a character of excellent judgment, discretion, and diplomacy. |
| Ms. Jesserene A. Tan | Chief Compliance and Risk Management Officer | 29 | Filipino | "1. Must have deep understanding on Banking laws, rules and regulations;<br>2. Must have attended and completed the training and seminar on Corporate Governance for Banks Directors and Officers;<br>3. Must have enough knowledge and understanding on Risk Management processes;<br>4. Must have enough knowledge and understanding on Corporate Governance;<br>5. Must have enough knowledge on the Banks culture of operation;<br>6. Must possess policy making and implementation skills; |

| | | | | |
|---|---|---|---|---|
| | | | | 7. Must be fit and proper;<br>8. Must have the following Skills/Abilities:<br>o Analytical; and<br>o Quick Decision Making<br>o Oral and Written Communication<br>o Computer Competence<br>o Leadership Skills<br>o Interpersonal Skills<br>o Attention to Detail<br>o Analytical<br>o Hardworking |
| **Ms. Alma Joy V. Jacinto** | Internal Audit Head | 29 | Filipino | (a) Preferably a Certified Public Accountant<br>b) Must have at least 3 years working experience as Audit Staff<br>(c) Must have the following skills:<br>> Attention to details and accuracy.<br>> Have sense of urgency.<br>> Excellent in verbal and written communication skills<br>(d) Can work under pressure with minimal supervision. |

## l. Organizational Structure, including the Name and Position of Key Officers




## m. Selection Process for Senior Management

The Board of Directors select Senior Management based on factors such as performance and length of service. Annual performance appraisal is conducted to assess each senior management's accomplishments for the year. Promotion and/or any movement of Senior Management is subject to Board approval. The Head of the Internal Audit Department is selected by the Audit Risk Management and Compliance Oversight Committee (ARMCO).

Senior Management in the bank must possesses the following qualifications: Educational, Professional Experience, and Regulatory Compliance. Individuals in these roles must, preferably, hold at least a Bachelor's degree in fields such as Finance, Economics, Business Administration, Accounting, or Law, with many also holding advanced degrees like an MBA or a Master's in Finance.

In terms of experience, Senior Management usually have over a decade of progressive leadership experience in banking or financial services, with proven expertise in areas like Risk Management, Compliance, Credit, Treasury and Strategic Planning.

Overall, Senior Bank Executives must demonstrate both technical proficiency and ethical integrity to manage the bank's operations and regulatory obligations effectively.

**n. Performance Assessment Program**

It has been the policy of the bank to conduct performance assessment after every calendar year in order to evaluate and improve the performance of the Board to be abreast with the best practices of good corporate governance. The assessment criteria include the structure, efficiency and effectiveness of the board participation and engagement of each member of the board, contribution of each member director to their committee. The bank conducts assessment on performance of the Board of Directors as a collective body, its members in their individual capacity, board level committees and senior officers. For BOD, performance evaluation template is provided with three (3) parts. Part 1 is the "Board Evaluation", Part II is the "Committee Evaluation" and Part III is the "Individual Director Self-Assessment". After accomplishing the evaluation form, the compliance officer shall make a summary of each evaluation per category and present it during board meeting. The Board reviews the result of evaluation, including the comment and suggestions of each director. They take note of matters that need improvement and further enhancement. For Officers, an Officers Performance Appraisal Report (OPAR) is also accomplished to evaluate their performance, aligned with the corporate goals and objectives.

**o. Orientation and Education Program**

All directors are required to attend the Corporate Governance Seminar and other related trainings. Senior Management is directed to attend several meetings suited to their position to enhance their knowledge and skills.

**p. Retirement Plan and Succession Policy**

**Retirement Plan for Board of Director**

Any member of the Board of Directors who has occupied executive positions and has served the bank for at least twenty (20) years shall be entitled to an additional retirement benefit. Independent director can serve for a maximum of nine (9) years while regular directors can serve as long as they are capable.

**Retirement Plan for Senior Management/Employees**

It shall be compulsory and automatic for bank employees who shall reach the age of 60 to retire from the position and 55 for company drivers. However, in exceptional cases, an employee who is 60 years old may be allowed to continue his service for one (1) year extension, provided that the position he/she holds is extremely necessary for the conduct of the operations of the bank and there is no ready replacement.

An employee who shall have rendered twenty (20) years of continuous service to the bank may be allowed to retire. The retiree shall be required to secure clearance of money and property accountabilities and shall also be entitled to commutation of accumulated vacation/sick leaves to his credit.

**Succession Plan**

All employees are required to submit a notice prior to their leave of absence, be it temporary or permanent.

***Temporary Absence*** is described as absence due to events such as sickness, emergencies and vacations and that employee is expected to return once the events precipitating the absence are resolved. Generally, the period of absence is less than thirty (30) days.

A temporary short term of leave of absence on the other hand is between 30 and 90 days to which the maternity leave would fall.

For these types of absences, all employees are required to file a notice at least two (2) days before the date of said leave.

***Permanent Absence*** on the other hand, is described as absence wherein an employee is confirmed not to return to the position. This may be due to re-alignment, promotion, demotion, resignation, termination or retirement.

If the permanent absence is due to voluntary resignation or retirement, the written notice should be submitted thirty (30) days before the desired date of resignation or termination. This is to give the management enough time to prepare for the upcoming transition.

Generally, upon receipt of the notice, or upon knowing of the transition, the bank implements a Temporary Staffing Strategy to address temporary as well as permanent absences to ensure business continuity in all positions. In case of permanent absence, the management shall implement a selection process and make sure that the candidates who will replace the vacated positions are qualified; a good fit for the company's vision, mission, values, goals and objectives and has the necessary competencies.

Concurrently, the bank shall implement an external recruitment and selection process thru the Human Resource and Administration Department (HRAD) to further develop a diverse pool of candidates.

**q. RENUMERATION POLICY**

**DIRECTORS**

1. **Honorarium**

   A monthly honorarium shall be given to each directors of the bank in the amount set and approved by the stockholders holding a majority of the outstanding capital stock during the annual stockholders' meeting.

2. **Per Diems**

   A reasonable per diems shall be given to each directors of the bank every after attendance of loan approval, committee meetings and special meeting set by the bank.

**3. Clothing Allowance**

Each director shall be given an annual clothing allowance fixed and approved by the stockholders holding a majority of the outstanding capital stock during the annual stockholders' meeting.

**4. Bonus**

Directors are entitled for a bonus every end of the year pro-rated as to number of months a director served as such. Provided that, it is still within the allowable amount as stated in Section 30 of The Corporation Code of the Philippines.

**Others:**

**a. Representation and Gasoline Reimbursement**

Every director is entitled to reimburse their actual representation and gasoline expenses incurred in the discharge of their duty as such. Provided that, it will be accompanied by corresponding receipts of expenses and shall not exceed a maximum amount set and approved by the stockholders holding a majority of the outstanding capital stock during the annual stockholders meeting.

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**SENIOR MANAGEMENT/EMPLOYEES**

1. BASIC SALARY-RB Cauayan, Inc. shall pay all its employees' wages and salaries in accordance with applicable laws and wage orders. Compensation may vary for each position and/or performance.

All employees shall be paid every 15th and 30th day of the month. If the payday falls on holiday or weekends it will be paid before the 15th or 30th.

2. OVERTIME-The bank may allow overtime work after the normal work schedule, rest days and holidays provided that work to be done is extremely necessary to the operation of the bank.

Employee shall submit a request to render overtime slip to be noted by the immediate supervisor, checked by HRAD Head and approved by the President before the date of the said overtime.

Without prior approval, said overtime shall be considered unauthorized and will not be paid.

3. EMPLOYEE BENEFITS -It is the policy of the bank to motivate employees by granting supplemental compensation, facilities and assistance aside from their regular wages and incentive pays. Management realizes that these benefits help gain the employees' loyalty, cooperation and goodwill and inspire them to work efficiently.

- 13TH MONTH PAY
- MONTHLY MEAL ALLOWANCE
- HOUSING AND TRAVELLING ALLOWANCE
- ADDITIONAL ALLOWANCE

4. PERFORMANCE BASED BONUS-These are given to personnel who have contributed to the unit's performance. These will motivate employees to do their best to ensure the accomplishment of the bank's targets and commitments.

5.SALARY INCREASES

Upward salary adjustments shall be made when necessary and shall include among others the following:

a. Minimum Wage Increase – a mandatory increase per DOLE rules and regulations. The bank salary standards shall be updated to cope with the prescribed salary rate.

b. Permanency Increase – granted to the employees below the managerial level who satisfactorily pass the probationary period and effective date shall depend on the approval of the Board.

6. SEPARATION PAY -An employee who is involuntarily separated by the company shall receive a separation pay as provided for by the Labor Code. Further, an employee who is dismissed by the company for cause shall not be entitled to any benefits. Stated below is the benefit formula for involuntary resignations.

**r. Related Party Transactions Policy**

The policy intends to:

- Ensure that every Related Party Transaction is conducted in a manner that will protect the Bank from conflict of interest which may arise between the Bank and its Related Parties; and
- Ensure proper review, approval, ratification and disclosure of transactions between the Bank and any of its Related Party/ies as required in compliance with legal and regulatory requirements.

Definition of Terms (Per BSP Circular No. 969 dated August 22, 2017)

1. ***Related-Party Transaction***. Shall refer to transactions or dealings with related parties of the Bank including its trust department regardless of whether or not a price is charged.

Related party transactions are not limited to lending and may include, among others, investments, purchases or sales of goods, purchases or sales of property and assets, rendering or receiving of services, agency arrangements, construction contracts, leasing arrangements, transfer of technology, trading and derivative transactions, borrowings, establishment of joint venture entities, fund transfers, and guarantees. These also cover the credit exposures of the financial institution with its DOSRI (directors, officers, shareholders and related interest).

Related party transactions, similar to DOSRI transactions, are not prohibited provided that these are approved by the appropriate authority and conducted at arm's length basis.

2. ***Related Company***. Another company which is: (a) its parent or holding company; (b) its subsidiary or affiliate; or (c) a corporation where a bank or its majority stockholder owns such number of shares that will allow/enable it/him to elect at least one (1) member of the board of directors or a partnership where such majority stockholder is a partner.

3. ***Related interests***. Related interests shall refer to:

***a.*** spouse or relative within the first degree of consanguinity or affinity, or relative by legal adoption, of a director, officer or stockholder of the Bank.
***b.*** Partnership of which a director, officer, or stockholder or his spouse or relative within the first degree of consanguinity or affinity, or relative by legal adoption, is a general partner.
***c.*** Co-owner with the director, officer, or stockholder or his spouse or relative within the first degree of consanguinity or affinity, or relative by legal adoption, of the property or interest or right mortgaged, pledged or assigned to secure the loans or other credit accommodations, except when the mortgage, pledge or assignment covers only said co-owner's undivided interest.
***d.*** Corporation, associations or firm of which any or a group of directors, officers, stockholders of the Bank and/or their spouses or relatives within the first degree of consanguinity or affinity, or relative by legal adoption, hold or own at least twenty percent (20%) of the subscribed capital of such corporation, or of the equity of such association of firm.
***e.*** Corporation, association or firm wholly or majority-owned or controlled of any related entity or a group of related entities mentioned in item b and d.
***f.*** Non-governmental organizations (NGO'S) foundation that are engaged in retail microfinance operations which are incorporated by any of the stockholders and/or directors and/or officers or related Banks.

4. ***Subsidiary***. A corporation more than fifty percent (50%) of the outstanding voting stock of which is directly or indirectly owned, controlled or held with power to vote by its parent corporation.

5. ***Affiliate***. An entity linked directly or indirectly to a BSP Supervised Financial Institution by means of:

a. Ownership, control or power to vote of at least twenty percent (20%) of the outstanding voting stock of the entity or vice-versa.
b. Interlocking directorship or officership where the director of officer concerned owns, controls or has the power to vote, at least twenty percent (20%) of the outstanding voting stock of the entity.
c. Common ownership, whereby the common stockholders owns at least ten percent (10%) of the outstanding voting stock of the Bank and at least twenty percent (20%) of the outstanding voting stock of the entity
d. Management contract or any arrangement granting power to the Bank to direct or cause the direction of management and policies of the entity.
e. Permanent proxy or voting trusts in favour of the Bank constituting at least twenty percent (20%) of the outstanding voting stock of the entity, or vice-versa.

6. ***Majority stockholder or Majority shareholder***. A person, whether natural or juridical, owning more than fifty percent (50%) of the voting stock of the Bank.

7. ***Significant transactions***. Dealings that could pose material risk to the bank. Determination of what is "significant:" may vary from one bank to another depending on the transactions' size and potential impact on the operations of the bank.

8. ***Control of an enterprise*** exists when there is:

   i. power over more than one-half of the voting rights by virtue of an agreement with other stockholders; or
   ii. power to govern the financial and operating policies of the enterprise under a statute or an agreement; or
   iii. power to appoint or remove the majority of the members of the board of directors or equivalent governing body; or
   iv. power to cast the majority votes at meetings of the board of directors or equivalent governing body; or
   v. any other arrangement similar to any of the above.

Control is presumed to exist if there is ownership or holding, whether direct or indirect, of twenty percent (20%) or more of a class of voting shares of a bank

**C. Policy/Guidelines**

1. Related party transactions shall be allowed provided that these comply with applicable regulatory limits/requirements and dealings are conducted at arm's length basis. Said transactions shall only be made and entered into, substantially on terms and conditions not less favorable than those with other customers of comparable risks.

2. Related party transactions shall require the approval from the Board of Directors.

3. All approved related party transactions shall be reported by Compliance Department to the Audit, Risk Management & Compliance Oversight Committee regularly during the latter's monthly meeting and to the Bangko Sentral ng Pilipinas (BSP) quarterly.

4. If an actual or potential conflict of interest arises on the part of a director, officer or employee, he is mandated to fully and immediately disclose the same and should not participate in the decision-making process relating to the transaction.

   Any member of the Board who has an interest in the transaction under discussion shall not participate therein and shall abstain from voting on the approval of the transaction.

5. Reportorial/Disclosure Requirements

   a. As explained in BSP Memorandum No. M-2012-032, transactions concerning deposit operations, regular trade transactions involving purchases and sales of debt securities traded in an active market and credit card availments, except those with credit card lines with amount falling under the definition of "significant transactions", are excluded from the reporting requirement on related party transactions under BSP Circular No. 749.

   b. Also, lease and other similar contracts with recurring payment transactions should only be reported once, upon approval of said transaction by the board of directors.

   c. In case the parties involved in the transactions are both supervised by the BSP, only the lessor, in case of lease contract, or the party engaging/requesting for the services of the other financial institution, in case of other contracts, shall submit the report.

d. Philippine Accounting Standard (PAS) 24 provides that an entity should disclose information about the transactions and outstanding balances necessary for an understanding of the potential effect of the relationship on the financial

statements. At a minimum, the disclosures shall include:

(i) the amount of the transactions;
(ii) the amount of outstanding balances and their terms and conditions, including whether they are secured, and the nature of the consideration to be provided in settlement, and details of any guarantees given or received;
(iii) provisions for doubtful debts related to the amount of outstanding balances;
(iv) the expense recognized during the period in respect of bad or doubtful debts due from related parties.

6. The following transactions shall not be deemed related party transactions for purposes of this policy/guidelines:

a. Executive Officer and Director compensation arrangements;
b. Transactions with a related party for trust, funds depositary or similar payment services with fees based on those for the same or similar transactions with non-related persons;
c. Transactions available to all employees in general, such as: deposit transactions, credit card availments, regular trade transactions involving purchase and sale of securities traded in the active market.

D. Objective in ensuring arm’s length terms of Related Party Transaction

The principle of “arm’s length” requires that transaction with a Related Party be made under comparable conditions and circumstances as a transaction with an independent party.

E. Procedures

1. All related party transactions shall be submitted / elevated to the Board of Directors for ratification/approval.

2. A related party transaction shall be approved by the vote of the majority of the directors who are not related parties to the transaction.

3. The Compliance shall prepare a monthly report of all related party transactions to the Audit, Risk Management and Compliance Oversight Committee for the latter’s information. Said committee shall be provided with all pertinent documents and material facts that support the transaction.

4. On a quarterly basis, Compliance shall also submit the required report to BSP using the existing report format.

5. If a related party transaction would be ongoing, the Board of Directors shall periodically review and assess ongoing relationships with related parties to determine and ensure compliance with the all the regulatory requirements.

6. No director may engage in any Board or Committee discussion or approval of any related party

transaction in which he or she is a related party. However, such director must provide to the Board or Committee all material information reasonably requested concerning the transaction.

F. Materiality Threshold of Related Party Transactions

Related Party Transactions for purposes of the review and approval process the following materiality, the following materiality threshold in determining the approval required for Related Party Transactions.

| NATURE OF TRANSACTION | TRANSACTION VALUE/AMOUNT | APPROVING AUTHORITY |
|---|---|---|
| Significant RPT | Up to 200,000.00 | Requires review of the Independent Director and approval of the President, will be reported to the BOD. |
| Material RPT | Above 200,000.00 | Requires review of the Independent Director and approved by the BOD. |

All significant and material RPT must be reviewed by the Independent Director with the assistance of the Chief Compliance Officer and Internal Audit Head, to ensure the following:

1. A conflict of interest does not exist.
2. No improper valuation of such transaction has been made.
3. Information necessary to disclose the RPT is fully documented.

**s. Self-Assessment Functions**

The Internal Audit is an independent, objective assurance and consulting activity designed to add value which can improve the Bank's operations. It helps the Bank accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the adequacy and effectiveness of risk management, control and governance processes.

More so, the report of the Internal Audit:

a. Assists the management in understanding and assessing risks;
b. Evaluates the adequacy of techniques and controls to manage risks;
c. Provides an assessment of the level of comfort that risk management, control and governance processes are operating effectively and efficiently;

d. Identifies and recommends changes that add value and
e. In a consultative capacity, advises management on efficiency of controls and effectiveness of structure on new initiatives and during change processes.

The Internal Audit is established by the Board of Directors and its responsibilities are defined by the Audit, Risk Management and Compliance Oversight Committee. The Audit, Risk Management and Compliance Oversight Committee decide on the Internal Auditors' appointment and removal and responsible for its performance appraisal.

The principal function of the Compliance Officer is to oversee and coordinate the implementation of the Compliance System/Program in the Bank. The duties and responsibilities shall include but are not limited to the following:

a. Lead Senior Officer administering the compliance program
b. Interacts with BSP and other government agencies on compliance-related issue

c. Designs appropriate compliance system
d. Promotes its implementation
e. Addresses breaches to the Compliance System
f. Ensures the integrity and accuracy of submitted reports

The Internal Audit Head and the Chief Compliance Officer reports to the Audit Risk Management and Compliance Oversight Committee every month and a special meeting can be convened, if deemed necessary. The report includes findings and recommendations, along with the Management's Action Plan (Audit Reply) on the audited unit/department. Resolutions made during the ARMCO meeting are then elevated to the Board of Directors during their regular meeting.

The Board of Directors review reports presented by the Internal Audit during Board Meetings. Every report presented is scrutinized and checked, taking into consideration the Internal Controls, personnel involved and the effect of the noted exception to the operations of the Bank. The recommendations for the improvement of the controls involved are presented in the form of resolutions which are either accepted or modified based on the ideas and knowledge of the Directors. What has been agreed upon and resolved during the meeting will be forwarded to the Management for implementation.

**t. Dividend Policy**

The bank adheres to the requirement on dividends declaration as provided by the regulations. Dividends declaration is discussed during the board meeting after the review of the year-end financial statements. The President presents to the board the computation of the amount available for dividends for board deliberation. After the deliberation, the board will come up on how much dividend is to be declared. If they could not agree on a certain amount, they will divide the house. Declaration of dividends shall be confirmed by the stockholders during the annual stockholders meeting every 30th day of January. The amount of dividend to be declared shall be booked on the date of declaration. The compliance officer shall prepare all the necessary requirements to be submitted to BSP.

**u. Procedures on handling customer complaints:**

All branches have a designated Customer help desk visible to all clients wherein customers can file their complaints and a Bank's Hotline Number. The following procedures shall be observed when handling customer complaints:

1. The New Accounts Clerk (NAC) shall be in-charge of receiving complaints from the customer.
2. The NAC shall record the customer's complaints in a log book with the following details:

    a. Details of each complaint
    b. Date complaint was received
    c. Summary of Bank's Response
    d. Details of any relevant correspondence or records
    e. Actions taken to resolve each complaint
    f. Date of complaint was resolved

3. The NAC shall bring the customer's complaints to the attention of the Branch Manager(BM) or the Branch Accountant(BA) in the absence of the BM.

4. The BM shall review the details of the customer's complaints, and if he/she found out that the complaints can be resolve within his/her level, he/she shall immediately address and solve the customer's complaints.

5. If the complaints could not be resolve within the branch level, the BM shall make an endorsement letter stating the details of complaints and forward it to their respective Chief Operating Officers (COO).

6. The COO shall undertake an analysis of customer complaints including investigating whether complaints indicate an isolated issue or wide spread issue for customers. The COO shall make immediate action and shall conduct investigation.

7. If the resolution needs approval of the President/Board of Directors, the COO shall endorse it to the President/Board of Directors for approval and resolution.

8. Resolution to the complaints shall be documented and forwarded to the branch concern.

9. The Branch Manager shall inform the client of the resolution of their complaints.

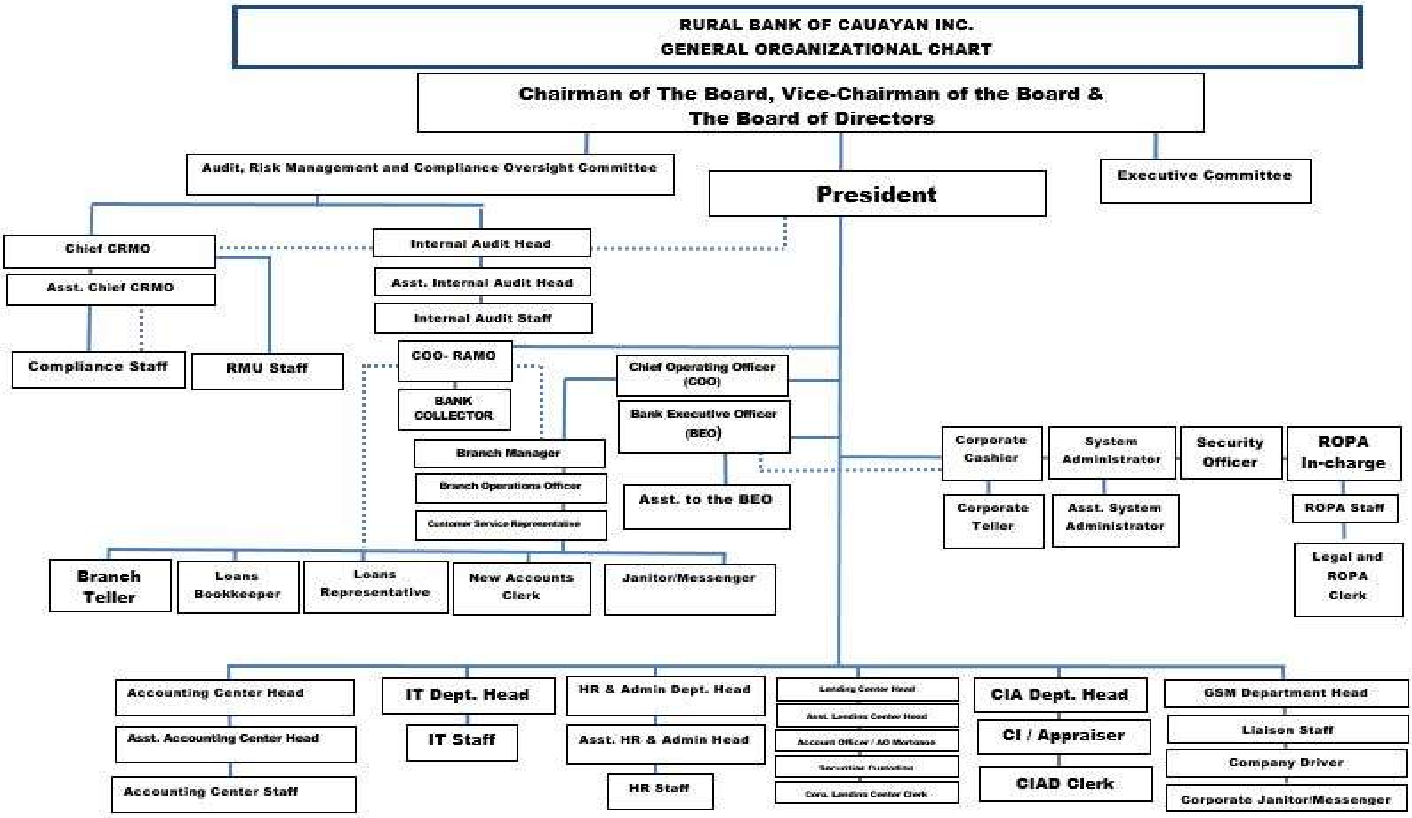
10. The Branch Manager shall ensure that the customer is satisfied with the Bank actions on handling their complaints.

## 6. Corporate Information

The RURAL BANK OF CAUAYAN INC. was established on April 7, 1965. It is the pioneer bank in Cauayan, Isabela founded by Dr. and Mrs. Ireneo C. Bucag Sr. and its incorporators namely: Mr. Domingo San Pedro, Mrs. Aurea B. Carpio, Mr. Antonio M. Perez, Mrs. Lourdes Cruz, and Mr. Domingo Simangan.

As of 31 December 2024 the Bank has a total capital shares of 2,546,370 with par value of Php 100.00 per share, 99.79% of the total capital shares of stock is owned by Filipino Nationals and is conducting its regular annual stockholders meeting every 30th day of January. The Bank has a total equity amounting 318,659,398 and has total assets of 1,622,398121.

## a. Organizational Structure




## b. List of Major Stockholders

| Name of Stockholder | Nationality | Percentage of Stockholdings | Voting Status |
|---|---|---|---|
| Eduardo Reyes Bucag | Filipino | 21.49% | Voting |
| Feliciano Reyes Bucag | Filipino | 21.08% | Voting |
| Edgardo Reyes Bucag | Filipino | 15.25% | Voting |
| Ireneo Jr. Reyes Bucag | Filipino | 15.14% | Voting |
| Ronaldo Reyes Bucag | Filipino | 14.98% | Voting |
| Danilo Reyes San Pedro | Filipino | 4.03% | Voting |
| Teresita Reyes San Pedro | Filipino | 2.86% | Voting |
| Rolando Reyes San Pedro | Filipino | 1.68% | Voting |

## c. List of Products and Services

### *Savings Deposit*

**Regular Savings Deposit**

This refers to the bank's deposit product that facilitates the deposit transactions of a regular client/depositor, either natural or juridical person that can provide bank's requirements and accept the bank's terms and conditions that govern this product.

**Student Savings Deposit**

This refers to the bank's deposit product that facilitates the deposit transaction of a student. It is aimed to promote financial literacy among students.

**Basic Deposit Account**

This refers to the bank's deposit product that facilitates the deposit transactions of a regular client which cannot provide primary ID like students. The Initial Deposit for this Account starts at 100.00 pesos and maximum deposit up to P 50,000.00 only.

***Demand Deposit***

**Regular Checking Account**

This refers to the bank's deposit product that facilitates the Checking Account Deposit transactions of a regular client/depositor, either a natural or juridical person that can provide the bank with requirements and agrees in the bank's policy that governs this product. It is a non-interest-bearing deposit in which withdrawals are made through issuance of a check. Passbook is also issued to the depositor and check booklet is available upon release.

**Interest Bearing Current Account Product Manual**

This is a checking/demand Deposit with passbook that earns an interest that is equal to Regular Savings Account.

***Time Certificate of Deposit***

- Minimum time deposit placement of Php 20,000.00
- Minimum term is six (6) months

The longer the term and the higher the amount, the higher the interest rates offered.

**LOANS**

**AGRI LOAN:**

***Agri-Masikap Loan***

A secured loan facility particularly offered to Agrarian Reform Program beneficiaries to finance activities related to agricultural production, processing, marketing and distribution.

***Agri-Sagana Loans***

It is also a secured loan to accommodate other land owners and tillers intended for the acquisition of work animals, farm equipment and machinery, seeds, fertilizers, poultry, livestock, feeds and other similar items.

***Crop Loan***

A loan facility particularly offered to small farmers and fisher folks who are tillers or livestock growers having a CLOA, EP, and CLT Title(s). It is particularly intended for food production.

## COMMERCIAL LOAN

### *Nego-Asenso Loan*

A secured loan intended to aid financial needs of business. Very flexible terms are offered. It could be short term or long term depending on the customer's preference and his/her capacity to pay. The customer can utilize the funds as capital for a new business venture or additional capital for business expansion.

### *Ka - Asenso Loan*

This is a secured loan granted to Business owners without audited financial statements. The purpose of loan includes but is not limited to Additional Operating Capital of existing business and purchase of business equipment and facilities.

### *Small Business Loan*

This is a loan facility granted to valued current account depositors to support the financial needs of their business operation. Applicant must have a checking account with the bank for the last three (3) years with good track record and funding character with the bank.

## Short Term Line Loan(STLL)/Credit Line

For continuing effort of RBCI to reach out other priority sectors of the society and to create various types of credit facilities on its financing programs

## PERSONAL LOAN

### *Insta-Cash Loan*

A secured loan offer intended to satisfy immediate personal financial needs. It can be used for various purchases such as residential house & lot, appliances, furniture, vehicle and the likes. It can also be used to consolidate debts; to finance home improvement or settle hospital and other bills.

### *Educational Loan (Eskwela Loan)*

These are loans granted to individuals with regular source of income on the purpose of financing the educational needs of their child/children. These loans are grant based on the borrowers' salary and are typically but not necessarily unsecured.

### *Salary Loan*

A loan facility intended to aid financial needs of salaried individuals with a regular employment status. It is backed by a Memorandum of Agreement between RB Cauayan and the employer of the Salary Loan applicant.

### *Loyalty Loan*

This is a loan facility granted to loyal employees of the bank, with ten (10) years of permanent service in the company. It is intended to provide financial assistance to loyal employees of the bank.

## OTHER SERVICES

### Inter-Branch Deposit

RB Cauayan also offers Inter-Branch Deposit to make client's deposit transaction easy.

**d. Bank Website**

Visit RB Cauayan website: www.rbcauayan.com

**e. List of Banking Units**

| ISABELA BRANCH/BLUs | ADDRESS | TELEPHONE |
|---|---|---|
| Head Office/Corporate | Don Jose Canciller Avenue,<br>Cauayan City, Isabela | (078) 652-1016/652-1928<br>(078) 652-0017/652-1320<br>(078) 323-3509 |
| Cauayan | Don Jose Canciller Avenue,Cauayan City, Isabela | (078) 652-2234 |
| Roxas | Sergio Osmena Street, Bantug, Roxas, Isabela | (078) 325-1398 |
| San Mateo | Bonifacio Street, Brgy. 3, San Mateo, Isabela | (078) 323-0151/323-0677 |
| Cordon | Laurel, Cordon, Isabela | (078) 325-9316 |
| Alicia | San Mateo road, Brgy. Antonino, Alicia, Isabela | (078) 324-6229 |
| San Manuel | District 3, San Manuel, Isabela | (078) 652-0128 |
| Ramon | National High-Way, Bugallon Proper, Ramon, Isabela | (078) 323-0157 |
| Santiago | Maharlika High-Way, Villasis, Santiago City, Isabela | (078) 325-2687 |
| Ilagan | National Road, Calamgui 2nd, Ilagan City, Isabela | (078)324-8977 |
| Tumauini | Maharlika High-Way, Brgy. Centro 2, Tumauini, Isabela | (078)323-4849 |
| Cabatuan | National Road, Magdalena, Cabatuan, Isabela | (078)324-8975 |
| Luna BLU | Centro 1, Luna, Isabela | (078)325-1510 |
| Echague | National High-Way, San Fabian, Echague, Isabela | (078)324-6230 |
| Reina Mercedes BLU | National High-Way, Tallungan, Reina Mercedes, Isabela | (078)324-6232 |
| **CAGAYAN BRANCH/BLUs** | | |
| Camalaniugan | National High-Way, Brgy. Bulala, Camalaniugan, Cagayan | (078)395-1190 |

| | | |
|---|---|---|
| Tuguegarao | Ugac Sur, Tuguegarao City, Cagayan | (078)377-3689 |
| **NUEVA VIZCAYA BRANCH/BLUs** | | |
| Solano | 45B National High-Way, Quirinn, Solano, N.V | (078)321-0067 |
| Bambang | National High-Way, Brgy. Calaocan, Bambang, N.V | (078)392-0156 |

# The Founder


# BRIGADA ESKWELA 2024



RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
"Bayanihan Para Sa Matatag Na Paaralan"
July 22-26, 2024


ECHAGUE WEST CENTRAL SCHOOL
ECHAGUE WEST DISTRICT
RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024


VICTORIA ELEMENTARY SCHOOL
RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024


OFFICE OF THE PRINCIPAL
RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024


W.A.T.C.H


RURAL BANK OF CAUAYAN, INC.


CABATUAN NATIONAL HIGH SCHOOL
Del Pilar, Cabatuan, Isabela
BRIGADA ESKWELA '24
RURAL BANK OF CAUAYAN
BRIGADA ESKWELA 2024
July 22-26, 2024


CAMALANIUGAN NATIONAL HIGH SCHOOL
BRIGADA ESKWELA '24
RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
Bayanihan Para Sa Matatag Na Paaralan
July 22-26, 2024
Jul 22, 2024, 12:31


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
Bayanihan Para Sa Matatag Na Paaralan
July 22-26, 2024


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024

MALASIN ELEMENTARY SCHOOL
SAN MATEO NORTH DISTRICT
SCHOOL ID 103773
RURAL BANK OF CAUAYAN, INC.


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024
July 22-26, 2024


RURAL BANK OF CAUAYAN, INC.
BRIGADA ESKWELA 2024

# TEAM BUILDING 2024




RURAL BANK OF CAUAYAN INC.
"TEAM BUILDING 2024"
May 11-12, 2024


RURAL BANK OF CAUAYAN INC.
"TEAM BUILDING 2024"
May 11-12, 2024

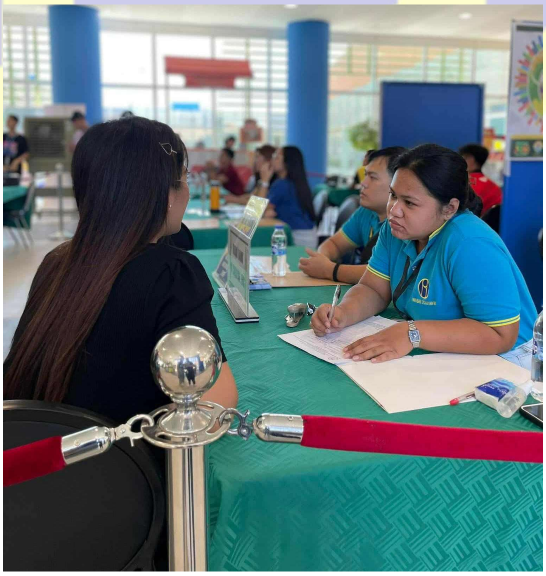

RURAL BANK OF CAUAYAN INC.
"TEAM BUILDING 2024"
May 11-12, 2024


RURAL BANK OF CAUAYAN INC.
"TEAM BUILDING 2024"
May 11-12, 2024


RURAL BANK OF CAUAYAN INC.
"TEAM BUILDING 2024"
May 11-12, 2024


RURAL BANK
17

# JOB FAIRS 2024


ISABELA STATE UNIVERSITY
JOB FAIR
2024


JOB FAIR
2024
RURAL BANK
OF CAUAYAN,
INC.

## RELIEF OPERATION 2024



**CHRISTMAS PARTY 2024**


EPSON


RBCI
Year End
Party
Eureka
RICE COOKER


RBCI
Year End
Party
AIR max


RBCI


RBCI


RBCI
Year End


RBCI
Year End

## SUSTAINABLE FINANCE FRAMEWORK

Rural Bank of Cauayan, Inc. (RB Cauayan) is alongside the Bangko Sentral ng Pilipinas and the United Nations in implementing Sustainable Finance that will help to achieve the Seventeen (17) Sustainable Development Goals aimed at ending poverty and other deprivations, as well as improving the quality of life, all while reducing the negative environmental impact to improve the conservation and protection of our environment. RB Cauayan envisions to be part of a green society wherein banking practices are harmonized with sustainability.

This Framework is developed in accordance with Section 153 Sustainable Finance Framework of the Manual of Regulations for Banks, in line with the suggested transition plan of the Rural Bankers Association of the Philippines.

### OBJECTIVES AND RISK APPETITE

RB Cauayan aims to achieve the following:

1. Inculcate sustainability in the Bank’s culture, from Board level to the Rank-and-File;
2. Apply Environmental and Social Risk Management in our products;
3. Align management and operations with applicable Sustainable Development Goals;
4. Support the principles of the U.N. Global Compact.

### DUTIES AND RESPONSIBILITIES

### BOARD OF DIRECTORS

and global practices and forms part of the enterprise-wide risk management (ERM) system;
d. Ensure that sustainability objectives and policies are clearly communicated across the institution Consistent with the expectations set out under Sec. 132 to promote the long-term financial interest of the bank and ensure that it has beneficial influence on the economy, the board of directors shall:

a. Institutionalize the adoption of sustainability principles, including those covering Environmental and Social (E&S) risk areas in the bank, by incorporating the same in the corporate governance and risk management frameworks as well as in the bank's strategic objectives and operations taking into account the bank's risk appetite and ability to manage risk;

1. Set strategic E&S objectives covering short, medium, and long-term horizons;
2. Approve the risk appetite on specific risk areas that the bank is willing and capable to manage results of stress testing exercises, and assessment of the timing and channels through which E&S risks may materialize; and
3. Ensure that material E&S risks are considered in the internal capital planning process.

b. Promote a culture that fosters environmentally and socially responsible business decisions. The board of directors shall ensure that sustainability implications are considered in the overall decision-making process;
c. Approve the bank's ESRMs that is commensurate with the bank's size, nature, and complexity of operations and oversee its implementation. The board of directors shall ensure that the ESRMS is aligned with internationally recognized principles, standards, and to its investors, clients, and other stakeholders;
e. Adopt an effective organizational structure to ensure attainment and continuing relevance of the bank's sustainability objectives. The board of directors or the designated board-level or management committee shall monitor the bank's progress in attaining sustainability objectives;
f. Monitor the progress of the bank in meeting its E&S strategic objectives and targets and ensure that issues in meeting the same are addressed.
g. Institutionalize a capacity building program for the Board of Directors, all levels of management, and personnel to equip the bank in identifying, measuring, monitoring, and controlling E&S risks. The board of directors shall

likewise ensure that key personnel shall possess adequate knowledge, skills, and expertise necessary to perform their work.

h. Ensure that adequate resources are available to attain the bank's sustainability objectives. The board of directors shall ensure that the members of the board, senior management and personnel are regularly apprised of the developments on sustainability standards and practices; and

i. Adopt an effective communication strategy to inform both internal and external stakeholders of the bank's E&S strategic objectives and targets.

j. Ensure that the sustainability agenda is integrated in the bank's performance appraisal system.

k. Set out clear criteria involving decisions to finance high E&S risk sectors during the said term horizons. The criteria shall consider the long-term financial interest of the bank and its role in contributing to the sustainable goals and growth of the economy; and

l. Ensure comprehensive discussion of credit related E&S risks of the bank as well as deviations from strategic objectives and targets set.

**SENIOR MANAGEMENT**

The senior management shall be responsible for the overall implementation of the board-approved strategies and policies in relation to the sustainability objectives of the bank. It shall:

Facilitate the identification, assessment, monitoring and mitigation of E&S risks by providing adequate resources to the concerned departments and keeping up-to-date with relevant changes in regulatory requirements;

Ensure adoption of policies, processes and methodologies that will help identify, monitor and control E&S risks are properly communicated and implemented across the bank.

Apprise the board of directors annually on the bank's exposure to E&S risks which shall include potential issues associated with both internal and external activities of the bank and the activities of its clients that may have material impact on the bank's portfolio or reputation. Moreover, the senior management shall report its progress in implementing the bank's sustainability policies and ESRMS.

Include in their planning and budgets adequate resource for the bank's activities pertaining to sustainability.

**INTERNAL AUDIT**

The Internal Audit Department (IAD) shall incorporate in its program the assessment of adherence to policies related to the management of E&S risks and evaluation of the robustness and continuing relevance of said policies. They shall monitor the bank's progress in obtaining sustainability objectives on a semi-annual basis. The IAD shall also review the bank's adherence to international sustainability standards and principles as well as relevant laws and regulations.

**COMPLIANCE AND RISK MANAGEMENT**

The Compliance and Risk Management Department (CRMD) shall incorporate in its program the review of adequacy of policies implemented in the bank and its alignment with the MORB on a semi-annual basis. They evaluate the risk-taking activities relative to the bank's risk appetite and assist the Board and the Management in establishing new and additional policies pertaining to SFF and ESRM.

**DEPARTMENTS/UNITS**

Department/Unit heads shall oversee the communication and implementation of policies, procedures and updates identified by the management as affecting the bank as a whole or separate departments. The branch manager/department head/unit head shall be in-charge of inculcating the importance of sustainability and responsible consumption within their teams to align with the bank's overall goals.

**RB CAUAYAN AND ITS ALIGNMENT WITH SDG**

| Linkage with SDGs | | Description |
|---|---|---|
| 1 NO POVERTY | **NO POVERTY**<br>End poverty in all its forms everywhere | *In line with Target 1.4, RBCI aims to provide access to banking services for the marginalized sector by providing Basic Deposit Accounts. This would ease the process of opening an account by reducing the documentary requirements and still providing sufficient due diligence. By encouraging saving, this would lead to reduced vulnerability as is envisioned in Target 1.5.* |
| 2 ZERO HUNGER | **ZERO HUNGER**<br><br>End hunger, achieve food security and improved nutrition and promote sustainable agriculture | *RBCI aims to contribute to the achievement of Target 2.4 by supporting the government in its efforts to promote effective and sustainable delivery of financial services through the ACPC program. RBCI is a Lending Conduit for the council's programs that provides a helping hand to support agri-fishery endeavors of farmers, fisher folk and young entrepreneurs in the countryside.*<br><br>*As part of Target 2.4, RBCI will incorporate the Environmental and Social Risk Management in the CRR and BRR of loan applications to reflect the possible effects of Environmental Hazards. HazardHunterPH will be used to aid Loan Processors in determining hazards applicable to the client location.* |
| 4 QUALITY EDUCATION | **QUALITY EDUCATION**<br><br>Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all. | *RBCI provides an avenue of learning and industry exposure to Senior High School and College students through Memorandums of Agreement pertaining to immersion and On-the-Job trainings. This provides them with the opportunity to understand and appreciate the banking industry, as well as sow a good reputation and camaraderie in the bank for possible future employment.* |
| 5 GENDER EQUALITY | **GENDER EQUALITY**<br><br>Achieve gender equality and empower all women and girls. | *RBCI has always been non-discriminatory with regards to gender in the workplace. The hiring process provides equal opportunity to all, except in positions inherently allocated to men due to the labor-intensive nature or for safety concerns.* |

| | | |
|---|---|---|
| 6 CLEAN WATER AND SANITATION | **CLEAN WATER AND SANITATION**<br><br>Ensure availability and sustainable management of water and sanitation for all. | *RBCI provides separate sets of bathrooms for both genders, with lavatories, working faucet and bidet.* |
| 8 DECENT WORK AND ECONOMIC GROWTH | **DECENT WORK AND ECONOMIC GROWTH**<br><br>Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all. | *RBCI offers commercial loans to Micro, Small and Medium enterprises for the development of their respective businesses. The Bank also offers ACPC-KAYA for young entrepreneurs.*<br><br>*RBCI actively participates in Job Fairs within the Cagayan, Isabela and Nueva Vizcaya area. It also sponsors the Annual Gawagaway-yan Job Fair that provides an avenue of employment for various jobseekers in Cauayan City and neighboring towns.* |
| 10 REDUCED INEQUALITIES | **REDUCED INEQUALITIES**<br><br>Reduce inequality within and among countries | *RBCI offers student deposit accounts to minors and students to encourage saving and financial independence.* |
| 12 RESPONSIBLE CONSUMPTION AND PRODUCTION | **RESPONSIBLE CONSUMPTION AND PRODUCTION**<br><br>Ensure sustainable consumption and production patterns. | *RBCI is committed in promoting responsible consumption. Garbage segregation, water and electricity conservation, recycling of paper and other supplies, and various other green practices are observed in every office/business unit. Carpooling and scheduling of field work is also observed to reduce fuel consumption.*<br><br>*RBCI also encourages the reduction of digital waste through deleting emails and other temporary files with no current or further significance to the bank. Proper disposal of IT equipment is also observed.* |
| 13 CLIMATE ACTION | **CLIMATE ACTION**<br><br>Take urgent action to combat climate change and its impacts. | *RBCI tracks electric, water and fuel consumption on a monthly basis to provide the management with a timely action plan to reduce consumption.* |

| | | |
|---|---|---|
| 16 PEACE, JUSTICE AND STRONG INSTITUTIONS | **PEACE, JUSTICE AND STRONG INSTITUTIONS**<br><br>Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels. | *RBCI is compliant with AMLC regulations, with regular bi-annual update on its AMLA Manual and Institutional Risk Assessment. It is proactive in the fight against Money Laundering and other financial crimes that the bank may be exposed to.* |

**E&S RISK MANAGEMENT SYSTEM**

The Environmental and Social Risk Management System of RB Cauayan is not a separate system. Instead, it is integrated in every major risk management system already in place in the bank.

- **Credit Risk Management**
- **Liquidity Risk Management**
- **Operational Risk Management**
- **Trainings**
- **Client Classification**

**REPORTING**

**Senior Management** -shall report to the Board any relevant changes, updates, additions or removal of policies, products or practices included in this framework. They shall also report the status of compliance to the framework at least annually, before preparation of the Annual Report.

**Department Heads** -shall report to the Board any relevant changes, updates, additions or removal of policies, products or practices pertaining to their department that is included in this framework on an as needed basis.

**Audit and Compliance** -shall report to the Senior Management any relevant findings pertaining to this framework as soon as possible upon discovery. These findings shall be assessed and elevated to the appropriate level of authority needed for its correction. The consolidation of incidents shall be reported to the ARMCO and the Board on a semi-annual basis, unless high risk or critical.

## 8. AUDITED FINANCIAL STATEMENTS DECEMBER 31, 2024 (With Comparative Figures for 2023)

Alas Oplas & Co., CPAs

# RURAL BANK OF CAUAYAN, INC.
**CAUAYAN CITY, ISABELA – PHILIPPINES**

**FINANCIAL STATEMENTS**
**DECEMBER 31, 2023 and 2022**

Alas Oplas & Co., CPAs
7/F Philippine AXA Life Centre, 1286 Sen. Gil Puyat Avenue, Makati City Philippines 1200
Phone No.: (632) 7116-4366 | Email: aocheadoffice@alasoplas.com | www.alasoplascpas.com

Offices:
Makati Alabang Cavite Ortigas Paranaque Bulacan Isabela Nueva Ecija Bacolod Iloilo Bohol Legazpi

BKR INTERNATIONAL | INDEPENDENT MEMBER

C O N T E N T S

RURAL BANK OF CAUAYAN, (ISABELA) INC.
Corporate Office: Don Jose Canciller Ave.,
District I, Cauayan, Isabela
Tel Nos.: (078) 652-1016, (078) 652-1928

# STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Management of **RURAL BANK OF CAUAYAN, INC.**, (the "Bank"), is responsible for the preparation and fair presentation of financial statements including the schedules attached therein, for the years ended December 31, 2023 and 2022, in accordance with the prescribed financial reporting framework indicated therein, and such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Bank's financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

**Alas, Oplas & Co., CPAs**, the independent auditor appointed by the stockholders for the years ended December 31, 2023 and 2022, has audited the financial statements of the Bank in accordance with Philippine Standards on Auditing, and in its report to the stockholders, has expressed its opinion on the fairness of presentation upon completion of such audit.

**DR. EDUARDO R. BUCAG**
**Chairman of the Board**

**CHARITA P. GUINID**
**President**

**DANILO R. SAN PEDRO**
**Treasurer**

Signed this 6th day of April, 2024.

Alas Oplas & Co., CPAs
7/F Philippine AXA Life Centre
1286 Sen. Gil Puyat Avenue
Makati City, Philippines 1200
Phone: (632) 7116-4366
Email: aocheadoffice@alasoplas.com
Website: www.alasoplascpas.com

Independent Member of
B K R International

## INDEPENDENT AUDITORS' REPORT

To the Stockholders and the Board of Directors
**RURAL BANK OF CAUAYAN, INC.**
Don Jose Canciller Ave., District 1,
Cauayan City, Isabela

### Opinion

We have audited the financial statements of **RURAL BANK OF CAUAYAN, INC.** (the "Bank") which comprise the statements of financial position as of December 31, 2023 and 2022, and the related statements of comprehensive income, statements of changes in equity, statements of cash flows for the years then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Bank as at December 31, 2023 and 2022, and its financial performance and its cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRS).

### Basis for Opinion

We conducted our audit in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the ethical requirements that are relevant to our audit of the financial statements in the Philippines, the Code of Ethics for Professional Accountants in the Philippines, and we have fulfilled our other responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Emphasis of Matter*

We draw attention to Note 4 to financial statements which describes the basis used by the Bank in setting up allowance for credit losses. As stated in Bangko Sentral ng Pilipinas (BSP) Circular 1011, BSP-supervised financial institutions with credit operations that may not economically justify adoption of simple loan loss estimation methodology that is compliant with PFRS 9, shall, at a minimum, be subject to regulatory guidelines in setting up allowance for credit losses prescribed under Appendix 15 of the Manual of Regulations for Banks. Following the guidance of BSP Circular 1011 in adopting PFRS 9 impairment requirements, the Bank assessed the ECL in accordance with the said standard and based on management judgement, it was determined that the amount recognized as allowance based on Appendix 15 of the MORB is reasonable. Our opinion is not modified in respect of this matter.

**Responsibilities of Management and Those Charged with Governance for the Financial Statements**

Management is responsible for the preparation of the financial statements in accordance with Philippine Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

**Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

# Alas Oplas & Co., CPAs

**The Supplementary Information Required under Bangko Sentral ng Pilipinas (BSP) Circular No. 1074 and Revenue Regulation No. 15-2010**

Our audit was conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information required under BSP Circular No. 1074 in Note 29 and Revenue Regulation No. 15-2010 on taxes, duties and license fees paid or accrued during the taxable year in Note 28 to the financial statements are presented for purposes of filing with the BSP and Bureau of Internal Revenue, respectively, and is not a required part of the basic financial statements. Such information is the responsibility of the management of **RURAL BANK OF CAUAYAN, INC.** The information has been subjected to the auditing procedures applied in our audit of the basic financial statements. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

**ALAS, OPLAS & CO., CPAs**
BOA Registration No. 0190, valid from October 31, 2022, to February 18, 2025
BIR A.N. 08-001026-000-2024, issued on January 5, 2024; effective until January 4, 2027
SEC A.N. (Firm) 0190-SEC, Group A, issued on October 21, 2021; valid for 2021 to 2025 audit period
TIN 002-013-406-000

**By:**

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Partner
CPA License No. 0111183
BIR A.N. 08-001026-004-2023, issued on February 9, 2023; effective until February 8, 2026
SEC A.N. (Individual) 111183-SEC, Group A, issued on February 4, 2021; valid for 2020 to 2024 audit period
TIN 232-158-286-000
PTR No. 10075665, issued on January 2, 2024, Makati City

April 6, 2024
Makati City, Philippines

**RURAL BANK OF CAUAYAN, INC.**
**STATEMENTS OF FINANCIAL POSITION**
**DECEMBER 31, 2023 AND 2022**
**In Philippine Peso**

| | Notes | **2023** | 2022 |
|---|---|---|---|
| **ASSETS** | | | |
| Cash and other cash items | 8 | **18,474,900** | 18,255,523 |
| Due from Bangko Sentral ng Pilipinas | 8 | **12,575,984** | 25,403,587 |
| Due from other banks | 8 | **350,188,100** | 438,480,028 |
| Investment securities at amortized cost | 9 | **133,531,990** | 80,392,422 |
| Loans and other receivables – net | 10 | **908,131,234** | 843,664,455 |
| Bank premises, furniture, fixtures and equipment – net | 11 | **51,980,806** | 51,050,175 |
| Investment properties – net | 12 | **10,009,094** | 15,316,056 |
| Deferred tax asset | 24 | **7,570,905** | 6,225,919 |
| Other assets | 13 | **21,097,069** | 21,812,094 |
| **TOTAL ASSETS** | | **1,513,560,082** | 1,500,600,259 |
| **LIABILITIES AND EQUITY** | | | |
| **LIABILITIES** | | | |
| Deposit liabilities | 14 | **1,109,788,827** | 1,118,080,954 |
| Bills payable | 15 | **10,000,000** | – |
| Accrued and other liabilities | 16 | **81,788,651** | 90,401,873 |
| Deferred tax liability | 24 | **754,249** | 146,272 |
| Income tax payable | | **9,814,232** | 8,613,765 |
| Total Liabilities | | **1,212,145,959** | 1,217,242,864 |
| **EQUITY** | | | |
| Capital stock | 19 | **245,842,100** | 237,074,300 |
| Surplus free | 20 | **56,418,142** | 48,556,789 |
| Surplus reserves | 20 | **10,000** | 10,000 |
| Accumulated actuarial losses – net | 17 | **(856,119)** | (2,283,694) |
| Total Equity | | **301,414,123** | 283,357,395 |
| **TOTAL LIABILITIES AND EQUITY** | | **1,513,560,082** | 1,500,600,259 |

*See Notes to Financial Statements.*

**RURAL BANK OF CAUAYAN, INC.**
**STATEMENTS OF COMPREHENSIVE INCOME**
**FOR THE YEARS ENDED DECEMBER 31, 2023 AND 2022**
**In Philippine Peso**

| | Notes | 2023 | 2022 |
|---|---|---|---|
| **INTEREST INCOME** | | | |
| Loans and other receivables | 10 | **116,104,348** | 108,757,654 |
| Due from other banks | 8 | **245,809** | 301,485 |
| Investment securities at amortized cost | 9 | **3,981,331** | 1,053,099 |
| | | **120,331,488** | 110,112,238 |
| **INTEREST EXPENSE** | | | |
| Deposit liabilities | 14 | **(25,940,237)** | (21,508,486) |
| Bills payable | 15 | **(644,306)** | (147,222) |
| | | **(26,584,543)** | (21,655,708) |
| **NET INTEREST INCOME** | | **93,746,945** | 88,456,530 |
| **OTHER INCOME** | 21 | **75,882,522** | 74,538,943 |
| **TOTAL OPERATING INCOME** | | **169,629,467** | 162,995,473 |
| **OPERATING EXPENSES** | 22 | **(96,929,286)** | (100,146,049) |
| **NET OPERATING INCOME BEFORE PROVISIONS** | | **72,700,181** | 62,849,424 |
| **PROVISION FOR CREDIT AND IMPAIRMENT LOSSES** | 10,12 | **(17,469,466)** | (16,231,366) |
| **PROFIT BEFORE TAX** | | **55,230,715** | 46,618,058 |
| **INCOME TAX EXPENSE** | 24 | **(13,500,976)** | (11,858,280) |
| **PROFIT** | | **41,729,739** | 34,759,778 |
| **ITEM THAT WILL NOT BE SUBSEQUENTLY RECLASSIFIED TO PROFIT/(LOSS):** | | | |
| Remeasurements of post-employment defined benefit obligation | | **1,427,575** | – |
| **TOTAL COMPREHENSIVE INCOME** | | **43,157,314** | 34,759,778 |

*See Notes to Financial Statements.*

**RURAL BANK OF CAUAYAN, INC.**
**STATEMENTS OF CHANGES IN EQUITY**
**FOR THE YEARS ENDED DECEMBER 31, 2023 AND 2022**
**In Philippine Peso**

| | **Capital Stock** (Note 19) | **Surplus Free** (Note 20) | **Surplus Reserves** (Note 20) | **Accumulated Actuarial Losses on Retirement Benefit Obligation** (Note 17) | **Total** |
|---|---|---|---|---|---|
| Balance at December 31, 2021 | 226,864,400 | 49,528,154 | 10,000 | (2,283,694) | 274,118,860 |
| *Transactions with the owners:* | | | | | |
| Stock dividends | 10,209,900 | (10,209,900) | – | – | – |
| Cash dividends | – | (25,521,243) | – | – | (25,521,243) |
| Total transactions with the owners | 10,209,900 | (35,731,143) | – | – | (25,521,243) |
| *Comprehensive income:* | | | | | |
| Profit | – | 34,759,778 | – | – | 34,759,778 |
| Balance at December 31, 2022 | 237,074,300 | 48,556,789 | 10,000 | (2,283,694) | 283,357,395 |
| *Transactions with the owners:* | | | | | |
| Stock dividends | 8,767,800 | (8,767,800) | – | – | – |
| Cash dividends | – | (25,100,586) | – | – | (25,100,586) |
| Total transactions with the owners | 8,767,800 | (33,868,386) | – | – | (25,100,586) |
| *Comprehensive income:* | | | | | |
| Profit | – | 41,729,739 | – | – | 41,729,739 |
| Other comprehensive income | – | – | – | 1,427,575 | 1,427,575 |
| | – | 41,729,739 | – | 1,427,575 | 43,157,314 |
| **Balance at December 31, 2023** | **245,842,100** | **56,418,142** | **10,000** | **(856,119)** | **301,414,123** |

*See Notes to Financial Statements.*

**RURAL BANK OF CAUAYAN, INC.**
**STATEMENTS OF CASH FLOWS**
**FOR THE YEARS ENDED DECEMBER 31, 2023 AND 2022**
**In Philippine Peso**

| | Notes | **2023** | 2022 |
|---|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | | |
| Profit before tax | | **55,230,715** | 46,618,058 |
| Adjustments for: | | | |
| Interest income | 8,9 | **(4,227,140)** | (1,354,584) |
| Provision for credit losses | 10 | **17,369,968** | 16,049,918 |
| Gain on sale of bank premises, furniture, fixture, and equipment | 11,21 | **(99,997)** | (24,999) |
| Provision for impairment losses | 12 | **99,498** | 181,448 |
| Gain on sale of investment property | 12,21 | **(10,378,004)** | (12,782,209) |
| Interest expense – lease liability | 16 | **323,461** | 370,984 |
| Retirement benefit expense | 17 | **839,978** | 1,677,217 |
| Depreciation and amortization | 23 | **6,031,313** | 6,298,802 |
| Operating cash flows before working capital changes | | **65,189,792** | 57,034,635 |
| Decrease (increase) in operating assets: | | | |
| Loans and other receivables | | **(70,788,279)** | (143,004,861) |
| Other assets | | **57,181** | (1,391,786) |
| Increase (decrease) in operating liabilities: | | | |
| Deposit liabilities | | **(8,292,127)** | (8,294,471) |
| Accrued expenses and other liabilities | | **(6,549,107)** | 14,646,271 |
| Cash used in operations | | **(20,382,540)** | (81,010,212) |
| Interest received | | **2,746,860** | 1,491,112 |
| Benefits paid from book reserves | 17 | **(91,523)** | (547,570) |
| Income tax paid | | **(13,513,376)** | (8,963,844) |
| Net cash used in operating activities | | **(31,240,579)** | (89,030,514) |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | | |
| Proceeds from redemption of investment securities at amortized cost | 9 | **165,824,476** | 107,283,238 |
| Acquisition of investment securities at amortized cost | 9 | **(218,964,044)** | (100,763,363) |
| Acquisition of bank premises, furniture, fixture, and equipment | 11 | **(5,850,364)** | (4,163,028) |
| Proceeds from sale of bank premises, furniture, fixture, and equipment | 11 | **100,000** | 25,000 |
| Proceeds from sale of investment property | 12 | **5,563,540** | 16,708,417 |
| Net cash generated from (used in) investing activities | | **(53,326,392)** | 19,090,264 |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | | |
| Availment of bills payable | 15 | **10,000,000** | 10,000,000 |
| Payment of bills payable | 15 | **–** | (10,000,000) |
| Payment of lease liability – principal and interest | 16 | **(1,232,597)** | (1,212,826) |
| Dividends paid | 20 | **(25,100,586)** | (25,521,243) |
| Net cash used in financing activities | | **(16,333,183)** | (26,734,069) |
| **NET DECREASE IN CASH AND CASH EQUIVALENTS** | | **(100,900,154)** | (96,674,319) |
| **CASH AND CASH EQUIVALENTS AT THE BEGINNING OF YEAR** | | | |
| Cash and other cash items | | **18,255,523** | 20,549,019 |
| Due from Bangko Sentral ng Pilipinas | | **25,403,587** | 25,687,702 |
| Due from other banks | | **438,480,028** | 532,576,736 |
| | | **482,139,138** | 578,813,457 |
| **CASH AND CASH EQUIVALENTS AT THE END OF YEAR** | | | |
| Cash and other cash items | 8 | **18,474,900** | 18,255,523 |
| Due from Bangko Sentral ng Pilipinas | 8 | **12,575,984** | 25,403,587 |
| Due from other banks | 8 | **350,188,100** | 438,480,028 |
| | | **381,238,984** | 482,139,138 |

*See Notes to Financial Statements.*

In Philippine Peso

## 1. CORPORATE INFORMATION

### 1.01 Company Profile

**RURAL BANK OF CAUAYAN, INC.** (the "Bank") was incorporated and registered with the Securities and Exchange Commission (SEC) on March 23, 1965. The Bank was authorized by the Bangko Sentral ng Pilipinas (BSP) to engage in rural banking business and started its operations in the municipality of Cauayan (now Cauayan City). The Bank commenced its operations in the same year. The extension of the corporate life together with the amendment of the Articles of Incorporation was subsequently approved by the SEC on February 22, 2012.

The Bank's products and services are traditional deposits such as savings deposit, certificate of time deposit and demand deposit. The Bank also offers various types of loans such as commercial, agricultural and personal loans.

As a banking institution, the Bank's operations are regulated and supervised by the BSP. In this regard, the Bank is required to comply with the rules and regulations of the BSP such as those relating to maintenance of reserve requirements on deposit liabilities and those relating to adoption and use of safe and sound banking practices as promulgated by the BSP.

The Bank's registered office, which is also its principal place of business, is located at Don Jose Canciller Ave., District 1, Cauayan City, Isabela. The Bank is domiciled in the Philippines. As at December 31, 2023, the Bank has 16 branches and 2 branch-lite units including its main branch.

| Branch | Address | Commencement Date |
|---|---|---|
| Cauayan | Don Jose Canciller Ave., District 1, Cauayan City, Isabela | March 23, 1965 |
| Roxas | Sergio Osmena St., Bantug, Roxas, Isabela | April 18, 1990 |
| San Mateo | Bonifacio St., Barangay 3, San Mateo, Isabela | July 19, 1993 |
| Cordon | Laurel, Cordon, Isabela | April 3, 1995 |
| Alicia | Barangay 3, Antonino, Alicia, Isabela | September 11, 1995 |
| San Manuel | District 3, National Highway, San Manuel, Isabela | January 23, 1997 |
| Ramon | National Highway, Bugallon Proper, Ramon, Isabela | September 11, 1997 |
| Santiago | Maharlika Highway, Villasis, Santiago City | April 22, 2004 |
| Ilagan | National Road, Calamagui 2nd, Ilagan, Isabela | October 6, 2006 |
| Solano | 45-A, Aquino Ave., Brgy. Quirino, Solano, Nueva Vizcaya | September 28, 2006 |
| Bambang | National Highway, Calaocan, Bambang, Nueva Vizcaya | November 23, 2006 |
| Tumauini | District 1, National Highway, Tumauini, Isabela | February 8, 2007 |
| Camalaniugan | National Highway, Bulala, Camalaniugan, Cagayan | June 8, 2007 |
| Tuguegarao | Luna St. Extension, Ugac Highway, Ugac Sur, Tuguegarao City, Cagayan | July 30, 2009 |
| Cabatuan | National Road, Magdalena, Cabatuan, Isabela | January 25, 2012 |
| Echague | San Fabian, Echague, Isabela | November 24, 2014 |
| Luna-BLU | Centro 1, Luna, Isabela | May 18, 2015 |
| Reina Mercedes-BLU | National Highway, Tallungan, Reina Mercedes, Isabela | June 8, 2015 |

### 1.02 Approval of Financial Statements

The financial statements were authorized for issue of the Board of Directors (BOD) on April 6, 2024.

## 2. BASIS FOR THE PREPARATION AND PRESENTATION OF FINANCIAL STATEMENTS

### 2.01 Statement of Compliance

The financial statements of the Bank have been prepared in accordance with Philippine Financial Reporting Standards (PFRSs).

PFRSs include all applicable PFRSs, Philippine Accounting Standards (PASs), and Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC) as approved by the Financial Reporting Standards Council (FRSC) and adopted by the SEC. All provisions and requirements of PFRSs are applied by the Bank in preparation of its financial statements except for the requirements of the following standards:

PFRS 9 Financial Instruments – For impairment, the Bank adopted Appendix 15 of Manual of Regulations for Banks (MORB) that provides arbitrary rates for provisioning based on number of days past due, collaterals, and type of loan.

### 2.02 Basis of Preparation

The financial statements are prepared on a going concern basis under the historical cost convention, except for financial assets and financial liabilities at fair value through profit or loss (FVPL) and fair value through other comprehensive income (FVOCI).

### 2.03 Presentation and Functional Currency

Items included in the financial statements of the Bank are measured using Philippine Peso, the currency of the primary economic environment in which the Bank operates (the "functional currency"). All presented financial information has been rounded to the nearest Peso, except when otherwise specified.

### 2.04 Use of Judgments and Estimates

The preparation of the Bank's financial statements requires management to make judgments, estimates and assumptions that affect the amounts reported in the Bank's financial statements and accompanying notes.

Judgments are made by management in the development, selection and disclosure of the Bank's significant accounting policies and estimates and the application of these policies and estimates.

The estimates and assumptions are reviewed on an on-going basis. These are based on management's evaluation of relevant facts and circumstances as of the reporting date. Actual results could differ from such estimates.

Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

### 2.05 Going Concern Assumption

The Bank is not aware of any significant uncertainties that may cast doubts upon the Bank's ability to continue as a going concern.

## 3. ADOPTION OF NEW AND AMENDED ACCOUNTING STANDARDS

### 3.01 New and Amended Standards and Interpretations Effective on January 1, 2023

The Bank applied for the first-time the following standards and amendments, which are effective for annual periods beginning on or after 1 January 2023, unless otherwise stated.

*3.01.01 PFRS 17 Insurance Contracts*
PFRS 17 *Insurance Contracts* is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. PFRS 17 replaces PFRS 4 *Insurance Contracts*. PFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them as well as to certain guarantees and financial instruments with discretionary participation features; a few scope exceptions will apply.

The overall objective of PFRS 17 is to provide a comprehensive accounting model for insurance contracts that is more useful and consistent for insurers, covering all relevant accounting aspects. PFRS 17 is based on a general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach); and
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

The new standard had no impact on the Bank's financial statements as the Bank does not have any contracts that meet the definition of an insurance contract under PFRS 17.

*3.01.02 Amendments to PAS 1 Presentation of Financial Statements and PFRS Practice Statement 2 Making Materiality Judgements—Disclosure of Accounting Policies*
The amendments change the requirements in PAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in PAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material.

The amendments have had an impact on the Bank's disclosures of accounting policies, but not on the measurement, recognition or presentation of any items in the Bank's financial statements.

*3.01.03 Amendments to PAS 12 Income Taxes—Deferred Tax related to Assets and Liabilities arising from a Single Transaction*
The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting profit nor taxable profit. Following the amendments to PAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in PAS 12.

The amendments had no impact on the Bank's financial statements.

*3.01.04 Amendments to PAS 12 Income Taxes—International Tax Reform—Pillar Two Model Rules*
The amendments to PAS 12 have been introduced in response to the OECD's BEPS Pillar Two rules and include:

- A mandatory temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two model rules; and
- Disclosure requirements for affected entities to help users of the financial statements better understand an entity's exposure to Pillar Two income taxes arising from that legislation, particularly before its effective date.

The mandatory temporary exception – the use of which is required to be disclosed – applies immediately. The remaining disclosure requirements apply for annual reporting periods beginning on or after 1 January 2023, but not for any interim periods ending on or before 31 December 2023.

*3.01.05 Amendments to PAS 8 Accounting Policies, Changes in Accounting Estimates and Errors—Definition of Accounting Estimates*
The amendments to PAS 8 clarify the distinction between changes in accounting estimates, changes in accounting policies and the correction of errors. They also clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted.

The amendments had no impact on the Bank's financial statements.

**3.02 New and Amended Standards Issued But Not Yet Effective**

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Bank's financial statements are disclosed below. The Bank intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

*3.02.01 Amendments to PAS 1 Presentation of Financial Statements—Classification of Liabilities as Current or Non-current*
The amendments to PAS 1 published in January 2020 affect only the presentation of liabilities as current or noncurrent in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

The amendments are applied retrospectively for annual periods beginning on or after 1 January 2024, with early application permitted. The IASB has aligned the effective date with the 2022 amendments to PAS 1. If an entity applies the 2020 amendments for an earlier period, it is also required to apply the 2022 amendments early.

*3.02.02 Amendments to PAS 1 Presentation of Financial Statements—Non-current Liabilities with Covenants*

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or noncurrent). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g. a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date).

The IASB also specifies that the right to defer settlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the carrying amount of related liabilities and facts and circumstances, if any, that indicate that the entity may have difficulties complying with the covenants.

The amendments are applied retrospectively for annual reporting periods beginning on or after 1 January 2024. Earlier application of the amendments is permitted. If an entity applies the amendments for an earlier period, it is also required to apply the 2020 amendments early.

*3.02.03 Amendments to PAS 7 Statement of Cash Flows and PFRS 7 Financial Instruments: Disclosures—Supplier Finance Arrangements*

The amendments add a disclosure objective to PAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, PFRS 7 was amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

The term 'supplier finance arrangements' is not defined. Instead, the amendments describe the characteristics of an arrangement for which an entity would be required to provide the information.

To meet the disclosure objective, an entity will be required to disclose in aggregate for its supplier finance arrangements:

- The terms and conditions of the arrangements;
- The carrying amount, and associated line items presented in the entity's statement of financial position, of the liabilities that are part of the arrangements;
- The carrying amount, and associated line items for which the suppliers have already received payment from the finance providers;
- Ranges of payment due dates for both those financial liabilities that are part of a supplier finance arrangement and comparable trade payables that are not part of a supplier finance arrangement; and
- Liquidity risk information

The amendments, which contain specific transition reliefs for the first annual reporting period in which an entity applies the amendments, are applicable for annual reporting periods beginning on or after 1 January 2024. Earlier application is permitted.

*3.02.04 Amendment to PFRS 16 Leases—Lease Liability in a Sale and Leaseback*
The amendments to PFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in PFRS 15 to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in PFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

As part of the amendments, the IASB amended an Illustrative Example in PFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and lease liability in a sale and leaseback transaction with variable lease payments that do not depend on an index or rate. The illustrative examples also clarify that the liability, that arises from a sale and leaseback transaction that qualifies as a sale applying PFRS 15, is a lease liability.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. Earlier application is permitted. If a seller-lessee applies the amendments for an earlier period, it is required to disclose that fact.

A seller-lessee applies the amendments retrospectively in accordance with PAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied PFRS 16.

### 3.03 Deferred Effectivity

*3.03.01 Amendments to PFRS 10 Consolidated Financial Statements and PAS 28 Investments in Associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*
The amendments to PFRS 10 and PAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.

The effective date of the amendments has yet to be set by the IASB; however, earlier application of the amendments is permitted.

## 4. MATERIAL ACCOUNTING POLICIES

Principal accounting and financial reporting policies applied by the Bank in the preparation of its financial statements are enumerated below and are consistently applied to all the years presented, unless otherwise stated.

### 4.01 Financial Assets

Financial assets are recognized when the Bank becomes a party to the contractual terms of financial instrument. For purposes of classifying financial assets, an instrument is considered as an equity instrument if it is non-derivative and meets the definition of equity for the issuer in accordance with the criteria of PAS 32, *Financial Instruments: Presentation.* All other non-derivative financial instruments are treated as debt instrument.

*Date of recognition*
The Bank recognizes a financial asset or a financial liability in the statements of financial position when it becomes a party to the contractual provisions of a financial instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

*'Day 1' difference*
Where the transaction price in a non-active market is different with the fair value from other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Bank recognizes the difference between the transaction price and fair value (a 'Day 1' difference) in the statement of income. In cases where the transaction price used is made of data which is not observable, the difference between the transaction price and model value is only recognized in the statement of income when the inputs become observable or when the instrument is derecognized. For each transaction, the Bank determines the appropriate method of recognizing the 'Day 1' difference amount.

*4.01.01 Financial Assets*

***Initial Recognition and Measurement***
Financial assets are recognized initially at fair value, which is the fair value of the consideration given. The initial measurement of financial assets, except for those designated at FVPL, includes transaction cost.

***Classification***
The Bank classifies its financial assets at initial recognition under the following categories: (a) financial assets at amortized cost, (b) financial assets at FVOCI, and (c) financial assets at FVPL. The classification of a financial asset at initial recognition largely depends on the Bank's business model for managing the asset and its contractual cash flow characteristics.

Financial Assets at Amortized Cost
Financial assets are measured at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, financial assets at amortized cost are subsequently measured at amortized cost using the effective interest method, less impairment in value. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the financial assets are derecognized and through amortization process.

As of December 31, 2023 and 2022, the Bank's cash and cash equivalents, due from BSP, due from other banks, financial assets at amortized cost and loans and receivables are classified under this category as disclosed in Notes 8, 9 and Note 10.

*Cash and cash equivalents*
Cash and cash equivalents include cash on hand, check and other cash items, cash in bank, and short-term placements. These are highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

*Loans receivable*
Loans receivable include those arising from direct loans to members including officers and employees. These are initially recognized at fair value plus transaction costs that are directly attributable to the acquisition of the financial asset.

After initial measurement, 'Loans receivables' are subsequently measured at amortized cost using the effective interest method, less allowance for credit losses. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the effective interest rate. The amortization is included as 'Interest income' in the statement of comprehensive income. The losses arising from impairment are recognized in 'Provision for credit losses' in the statement of comprehensive income.

*Investment securities at amortized cost*
Investment securities at amortized cost include non-derivative financial assets with fixed or determinable payments and a fixed date of maturity. Investments are classified as at amortized cost if the Bank has the positive intention and ability to hold them until maturity. Investments intended to be held for an undefined period are not included in this classification. Investment securities at amortized cost are initially recognized at fair value plus transaction costs that are directly attributable to the acquisition of the financial asset.

After initial measurement, these financial assets are subsequently measured at amortized cost. Gains and losses are recognized in the statement of comprehensive income when the investment securities at amortized cost are derecognized and impaired, as well as through the amortization process.

Financial assets at FVOCI

*Debt Instruments at FVOCI*
For debt instruments that are not designated at FVPL under the fair value option, the financial assets are measured at FVOCI if both of the following conditions are met: (1) the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and (2) the contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, interest income (calculated using the effective interest rate method), foreign currency gains or losses and impairment gains or losses of debt instruments measured at FVOCI are recognized directly in profit or loss. When the financial asset is derecognized, the cumulative gains or losses previously recognized in OCI are reclassified from equity to profit or loss as a reclassification adjustment.

As of December 31, 2023 and 2022, the Bank does not have debt instruments at FVOCI.

*Equity Instruments at FVOCI*
For equity instruments that are not held for trading, the Bank may irrevocably designate, at initial recognition, a financial asset to be measured at FVOCI when it meets the definition of equity instrument under PAS 32, *Financial Instruments: Presentation.* This option is available and made on an instrument-by-instrument basis.

Dividends from equity instruments held at FVOCI are recognized in profit or loss when the right to receive payment is established, unless the dividend clearly represents a recovery of part of the cost of the investment. All other gains or losses from equity instruments are recognized in OCI and presented in the equity section of the statements of financial position. These fair value changes are recognized in equity and are not reclassified to profit or loss in subsequent periods, instead, these are transferred directly to retained earnings. Equity securities at FVOCI are not subject to impairment assessment.

As of December 31, 2023 and 2022, the Bank does not have equity securities at FVOCI.

Financial Assets at FVPL
Financial assets that do not meet the criteria for being measured at amortized cost or FVOCI are classified under this category. Specifically, financial assets at FVPL include financial assets that are (a) held for trading, (b) designated upon initial recognition at FVPL, or (c) mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term.

This category includes debt instruments whose cash flows, based on the assessment at initial recognition of the assets, are not "solely for payment of principal and interest", and which are not held within a business model whose objective is either to collect contractual cash flows or to both collect contractual cash flows and sell. The Bank may, at initial recognition, designate a debt instrument meeting the criteria to be classified at amortized cost or at FVOCI, as a financial asset at FVPL, if doing so eliminates or significantly reduces accounting mismatch that would arise from measuring these assets.

This category also includes equity instruments which the Bank had not irrevocably elected to classify at FVOCI at initial recognition.

After initial recognition, financial assets at FVPL are subsequently measured at fair value. Gains or losses arising from the fair valuation of financial assets at FVPL are recognized in profit or loss.

As of December 31, 2023 and 2022, the Bank does not have equity securities at FVPL.

***Reclassification***
The Bank reclassifies its financial assets when, and only when, it changes its business model for managing those financial assets. The reclassification is applied prospectively from the first day of the first reporting period following the change in the business model (reclassification date).

For a financial asset reclassified out of the financial assets at amortized cost category to financial assets at FVPL, any gain or loss arising from the difference between the previous amortized cost of the financial asset and fair value is recognized in profit or loss.

For a financial asset reclassified out of the financial assets at amortized cost category to financial assets at FVOCI, any gain or loss arising from a difference between the previous amortized cost of the financial asset and fair value is recognized in OCI.

For a financial asset reclassified out of the financial assets at FVPL category to financial assets at amortized cost, its fair value at the reclassification date becomes its new gross carrying amount.

For a financial asset reclassified out of the financial assets at FVOCI category to financial assets at amortized cost, any gain or loss previously recognized in OCI, and any difference between the new amortized cost and maturity amount, are amortized to profit or loss over the remaining life of the investment using the effective interest method. If the financial asset is subsequently impaired, any gain or loss that has been recognized in OCI is reclassified from equity to profit or loss.

**In Philippine Peso**

In the case of a financial asset that does not have a fixed maturity, the gain or loss shall be recognized in profit or loss when the financial asset is sold or disposed. If the financial asset is subsequently impaired, any previous gain or loss that has been recognized in OCI is reclassified from equity to profit or loss.

For a financial asset reclassified out of the financial assets at FVPL category to financial assets at FVOCI, its fair value at the reclassification date becomes its new gross carrying amount. Meanwhile, for a financial asset reclassified out of the financial assets at FVOCI category to financial assets at FVPL, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss as a reclassification adjustment at the re-classification date.

***Impairment***
At the end of the reporting period, the Bank assess its expected credit losses (ECL). The Bank recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. The Bank being categorized as having simple and non-complex operations adopted the basic guidelines in setting up of allowance for credit losses provided for in Appendix 15 of the Manual of Regulations for Banks in recognizing expected credit losses (ECL) for its loans and other receivables. The Bank looks beyond the past due/missed amortizations in classifying exposures and in providing allowance for credit losses.

The Bank considers a financial asset in default when contractual payments, i.e. last amortization paid are more than 30 days past due. However, in certain cases, the Bank may also consider a financial asset to be in default when internal or external information indicates that the Bank is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Bank. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Bank's ECL measurement, as determined by the Management, is as follows:

Individually Assessed Credit Exposure
Loans and other credit exposures with unpaid principal and/or interest shall be classified and provided with allowance for impairment losses based on the number of days of missed payment as follows:

(a) For unsecured loans and other credit exposures

| No. of Days Unpaid/ with Missed Payment | Classification | Minimum ACL | Stage |
|---|---|---|---|
| 31 – 90 days | Substandard (Underperforming) | 10% | 2 |
| 91 – 120 days | Substandard (Non-performing) | 25% | 3 |
| 121 – 180 days | Doubtful | 50% | 3 |
| 181 days and over | Loss | 100% | 3 |

(b) For secured loans and other credit exposures

| No. of Days Unpaid/ with Missed Payment | Classification | Minimum ACL | Stage |
|---|---|---|---|
| 31 – 90 days | Substandard (Underperforming) | 10% | 2 |
| 91 – 180 days | Substandard (Non-performing) | 10% | 3 |
| 181 – 365 days | Substandard (Non-performing) | 25% | 3 |
| Over a year to 5 years | Doubtful | 50% | 3 |
| Over 5 years | Loss | 100% | 3 |

**In Philippine Peso**

Collectively Assessed Credit Exposures
Loans and other credit exposures with unpaid principal and/or interest shall be classified and provided with allowance for impairment losses based on the number of days of missed payment as follows:

(a) For unsecured loans and other credit exposures

| No. of Days Unpaid/ with Missed Payment | Classification | Minimum ACL | Stage |
|---|---|---|---|
| 1 – 30 days | Especially Mentioned | 2% | 2 |
| 31 – 60 days /1st restructuring | Substandard | 25% | 2 or 3 |
| 61 – 90 days | Doubtful | 50% | 3 |
| 91 days and over /2nd restructuring | Loss | 100% | 3 |

(b) For secured loans and other credit exposures

| No. of Days Unpaid/ with Missed Payment | Classification | ACL (%) | | Stage |
|---|---|---|---|---|
| | | Other types of collateral | Security by real estate | |
| 31 – 90 days | Substandard (Underperforming) | 10 | 10 | 2 |
| 91 – 120 days | Substandard (Non-performing) | 25 | 15 | 3 |
| 121 – 360 days | Doubtful | 50 | 25 | 3 |
| 361 – 5 years | Loss | 100 | 50 | 3 |
| Over 5 years | Loss | 100 | 100 | 3 |

Provided, that where the quality of physical collaterals or financial guarantees securing the loans and advances is determined to be insufficient, weak or without recoverable values, such loans and advances shall be treated as if these are unsecured.

***Derecognition***
A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:
- The right to receive cash flows from the asset has expired;
- The Bank retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement; or
- The Bank has transferred its right to receive cash flows from the financial asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Bank has transferred its right to receive cash flows from a financial asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of ownership of the financial asset nor transferred control of the financial asset, the financial asset is recognized to the extent of the Bank's continuing involvement in the financial asset. Continuing involvement that takes the form of a guarantee over the transferred financial asset is measured at the lower of the original carrying amount of the financial asset and the maximum amount of Bank that the Bank could be required to repay.

*4.01.02 Financial Liabilities*

**Initial Recognition and Measurement**
Financial liabilities are recognized initially at fair value, which is the fair value of the consideration received. In case of financial liabilities at amortized costs, the initial measurement is net of any directly attributable transaction costs.

**Classification**
The Bank classifies its financial liabilities at initial recognition as either financial liabilities at FVPL or financial liabilities at amortized cost.

As at December 31, 2023 and 2022, the Bank does not have liabilities at FVPL.

Financial Liabilities at Amortized Cost

Financial liabilities are categorized as financial liabilities at amortized cost when the substance of the contractual arrangement results in the Bank having an obligation either to deliver cash or an-other financial asset to the holder, or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

These financial liabilities are initially recognized at fair value less any directly attributable transaction costs. After initial recognition, these financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the liabilities are derecognized or impaired or through the amortization process.

As at December 31, 2023 and 2022, the Bank's deposit liabilities, bills payable and accrued and other liabilities (except statutory payables) are classified under this as disclosed in Notes 14, 15 and 16.

**Derecognition**
A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statement of comprehensive income.

Classification of Financial Instrument between Liability and Equity. A financial instrument is classified as liability if it provides for a contractual obligation to:

- Deliver cash or another financial asset to another entity;
- Exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Bank; or
- Satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

If the Bank does not have an unconditional right to avoid delivering cash or another financial asset to settle its contractual obligation, the obligation meets the definition of a financial liability.

*4.01.03 Offsetting of Financial Assets and Liabilities*

Financial assets and financial liabilities are offset and the net amount reported in the statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statements of financial position.

### 4.02 Bank Premises, Furniture, Fixtures and Equipment

Land is stated at cost. As no finite useful life for land can be determine, related carrying amount are not depreciated. All other bank premises, furniture, fixture and equipment are stated at cost less accumulated depreciation, amortization and any impairment in value.

The cost of an asset comprises its purchase price and directly attributable costs of bringing the asset to working condition for its intended use. Expenditures for additions, major improvements and renewals are capitalized while expenditures for repairs and maintenance are charged to expenses as incurred.

Depreciation is computed on straight-line basis over the estimated useful life of the assets as follows:

| | | |
|---|---|---|
| Building and improvements | – | 5 to 25 years |
| Transportation and equipment | – | 5 years |
| Furniture, fixtures and equipment | – | 5 years |
| Right-of-use asset | – | 4 to 9 years |

Amortization of leasehold improvements is computed over the lease term or the estimated useful life of the improvement, whichever is shorter. The estimated useful life of leasehold improvement is five (5) years depending on the nature of the improvement.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

The residual values and estimated useful lives of bank premises, furniture, fixtures and equipment are reviewed, and adjusted if appropriate, at the end of each reporting period.

An item of bank premises, furniture, fixture and equipment, including the related accumulated depreciation and impairment losses, is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is recognized in profit or loss in the year the item is derecognized.

### 4.03 Investment Properties

Investment properties are stated at cost. The cost of an investment property comprises its purchase price and directly attributable cost incurred. This also includes land and building acquired by the Bank from defaulting borrowers not held for sale in the next 12 months. For these properties, the cost is recognized initially at fair value. Investment properties, except land, are depreciated on a straight-line basis over a period of 10 years.

The Bank adopted the cost model in measuring its investment properties; hence, these are carried at cost less accumulated depreciation and any impairment in value.

Depreciation and impairment loss are recognized in the same manner as in the premises, furniture, fixtures and equipment.

Investment properties are derecognized upon disposal or when permanently withdrawn from use and no future economic benefit is expected from their disposal. Any gain or loss on the retirement or disposal of an investment properties is recognized in profit or loss and is presented as Gain on sale of investment properties under other income account in the year of retirement

Direct operating expenses related to investment properties, such as repairs and maintenance, and real estate taxes are normally charged against current operations in the period in which these costs are incurred.

### 4.04 Intangible Asset

Intangible asset pertains to computer software which is accounted for under the cost model. The cost of the asset is the amount of cash or cash equivalents paid or the fair value of the other considerations given to acquire an asset at the time of its acquisition. Capitalized costs are amortized on a straight-line basis over the estimated useful life lives as the lives of these intangible assets are considered finite. The intangible asset is subject to impairment testing.

When an intangible asset is disposed of, the gain or loss on disposal is determined as the difference between the proceeds and the carrying amount of the asset and is recognized in profit or loss.

### 4.05 Other Assets

Other assets pertain to other assets controlled by the Bank as a result of past events. They are recognized in the financial statements when it is probable that the future economic benefits will flow to the Bank and the asset has a cost or value that can be measured reliably.

### 4.06 Provisions and Contingencies

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive commitment that has resulted from past events.

Provisions are measured at the estimated expenditure required to settle the present obligation, based on the most reliable evidence available at the end of the reporting period, including the risks and uncertainties associated with the present obligation.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. When time value of money is material, long-term provisions are discounted to their present values using a pre-tax rate that reflects market assessments and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate.

In those cases where the possible outflow of economic resource as a result of present obligations is considered improbable or remote, or the amount to be provided for cannot be measured reliably, no liability is recognized in the financial statements. Similarly, possible inflows of economic benefits to the Bank that do not yet meet the recognition criteria of an asset are considered contingent assets, hence, are not recognized in the financial statements. On the other hand, any reimbursement that the Bank can be virtually certain to collect from a third party with respect to the obligation is recognized as a separate asset not exceeding the amount of the related provision.

### 4.07 Revenue Recognition

*4.07.01 Revenue Recognition for Revenues within the scope of PFRS 15*
Prior to January 1, 2018, under PAS 18, Revenue, revenue is recognized to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is recognized to the extent that it is probable that the economic benefit will flow to the Bank and the revenue can be measured reliably. Revenue is measured at the fair value of the consideration received or receivable by the Bank for services provided in the normal course of business.

Upon adoption of PFRS 15 beginning January 1, 2018, revenue from contracts with customers is recognized upon transfer of services to the customer at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for those services.

The Bank assesses its revenue arrangements against specific criteria in order to determine if it is acting as principal or agent. The Bank has assessed that it is acting as principal in all arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Fees and Commissions
Theses income arising from loans, deposits and other banking transactions are recognized as income based on agreed terms and conditions with customers which are recognized when the services has been performed.

Penalties
These are charges to borrowers who are in default of their payment.

Other Income
Other income arises from gain on sale of financial and non-financial assets, bank fees and charges, bank commissions and miscellaneous income. Other income is recognized upon completion of the earning process and the collectability is reasonably assured.

Gain on Asset Sold
Profit from asset sold is recognized when all the following conditions are satisfied:
- the Bank has transferred to the buyer the significant risks and rewards of ownership of the asset;
- the Bank retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the assets sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the Bank; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Profit from assets sold encompasses gain on disposal of investment properties and bank premises, furniture, fixtures and equipment.

*4.07.02 Revenue Recognition for Revenues outside the scope of PFRS 15*
For revenues outside the scope of PFRS 15, the following specific recognition criteria must also be met before revenue is recognized:

Interest on Loans
Interest income on loans and discount with advanced interest are recognized periodically using the effective interest method of amortization. On the other hand, interest income on loans and discount with no advanced interest, where payments are made on a monthly basis, is recognized on a monthly basis on payment dates using the effective interest method.

The Bank shall only charge interest based on the outstanding balance of a loan. For a loan where the principal is payable in instalments, interest per instalment shall be calculated based on the outstanding balance of the loan.

Interest Income on Bank Deposits and Investment Securities at Amortized Cost
Interest on bank deposits, financial assets at FVOCI are recognized in profit or loss using the effective interest method.

### 4.08 Cost and Expense Recognition

Cost and expenses are recognized in profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Costs and expenses are recognized in profit or loss in the following manner:

- On the basis of a direct association between costs incurred and the earning of specific items of income;
- On the basis of a systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and association with income can only be broadly or indirectly determined; or
- Immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

### 4.09 Leases – Bank as Lessee

*4.09.01 The Bank as Lessee*
For any new contracts entered into on or after January 1, 2019, the Bank considers whether a contract is, or contains a lease. A lease is defined as 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration'. To apply this definition, the Bank assesses whether the contract meets three (3) key evaluations which are whether:

- the contract contains an identified asset, which is either explicitly identified in the contract or implicitly specified by being identified at the time the asset is made available to the Bank.
- the Bank has the right to obtain substantially all of the economic benefits from use of the identified asset throughout the period of use, considering its rights within the defined scope of the contract.
- the Bank has the right to direct the use of the identified asset throughout the period of use. The Bank assess whether it has the right to direct 'how and for what purpose' the asset is used throughout the period of use.

**Recognition and Initial Measurement**
At lease commencement date, the Bank recognizes a right-of-use asset and a lease liability on the balance sheet. The right-of-use asset is measured at cost, which is made up of the initial measurement of the lease liability, any initial direct costs incurred by the Bank, an estimate of any costs to dismantle and remove the asset at the end of the lease, and any lease payments made in advance of the lease commencement date (net of any incentives received).

At the commencement date, the Bank measures the lease liability at the present value of the lease payments unpaid at that date, discounted using the interest rate implicit in the lease if that rate is readily available or the Bank's incremental borrowing rate.

Lease payments included in the measurement of the lease liability are made up of fixed payments (including in substance fixed), variable payments based on an index or rate, amounts expected to be payable under a residual value guarantee and payments arising from options reasonably certain to be exercised.

The Bank has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

**In Philippine Peso**

**Subsequent Measurement**

The Bank depreciates the right-of-use assets on a straight-line basis from the lease commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The Bank also assesses the right-of-use asset for impairment when such indicators exist.

Useful life considered in depreciating the right-of-use assets is the life of the asset or remaining term of the lease, whichever is shorter.

Subsequent to initial measurement, the liability will be reduced for payments made and increased for interest. It is remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments. When the lease liability is remeasured, the corresponding adjustment is reflected in the right-of-use asset, or profit and loss if the right-of-use asset is already reduced to zero.

### 4.10 Employee Benefits

The Bank provides post-employment benefits to employees through a defined benefit plan and defined contribution plan, and other employee benefits which are summarized as follows:

*4.10.01 Post-employment Defined Benefit Plan*
A defined plan is a post-employment plan that defines an amount of post-employment benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and salary. The legal obligation for any benefits from this kind of post-employment plan remains with the Bank, even if plan assets for funding the defined benefit plan have been acquired. Plan assets may include assets specifically designated to a long-term benefit fund, as well as qualifying insurance policies.

The Bank establish a sinking fund as plan asset for the post-employment defined benefit plan which is included as part of the Bank's Other Assets in the statement of financial position.

In addition, the post-employment plan has specific resignation benefit as follows:

An employee who is involuntarily separated (including death and disability) from the Bank shall receive a separation pay as provided by the R.A. No. 7641. Further, an employee who is dismissed by the Bank for involuntary cause shall not be entitled to any benefits.

Moreover, an employee who voluntarily resigns from the Bank shall not be entitled to any benefits until after he would have 10 years of continuous service, in which case shall be entitled to an amount equal to percentage of the benefits as shown below:

| Years of Service | Entitled Benefit |
|---|---:|
| Less than 10 years | 0.00% |
| 10 – 11 years | 50.00% |
| 12 – 13 years | 60.00% |
| 14 – 15 years | 70.00% |
| 15 – 17 years | 80.00% |
| 18 – 19 years | 90.00% |
| 20 years and above | 100.00% |

In 2023, the Bank engaged an independent actuary to assist in the valuation of the Bank's post-employment benefit obligation. The liability recognized in the statement of financial position for post-employment benefit plan is the present value of the post-employment benefit at the of the reporting period. The present value of the post-employment benefit obligation is determined by discounting the estimated future cash outflows for expected benefit payment using single weighted average discount rate which is based on the bootstrapped PHP-BVAL rates at various tenors as of December 29, 2023. Rates for intermediate durations were interpolated. The rates were then weighted by the expected benefits payments at those durations to arrive at the single weighted average discount rate.

Remeasurements, comprising of actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions and the return on plan assets (excluding amount included in net interest) are reflected immediately in the statement of financial position with a change or credit recognized in other comprehensive income in the period in which they arise. Net interest is calculated by applying the discount rate at the beginning of the period, taking account of any changes in the net defined benefit liability or asset during the period as a result of contributions and benefit payments. Interest cost (income) is separately as part of Interest Expense (Income) in the statements of comprehensive income.

Past-service costs are recognized immediately in profit or loss in the period of a plan amendment or curtailment.

*4.10.02 Termination Benefits*
Termination benefits are payable when employment is terminated by the Bank before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Bank recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, Provisions, Contingent Liabilities and Contingent Assets, and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting period are discounted to their present value.

### 4.11 Income Tax

Tax expense recognized in profit or loss comprises the sum of deferred tax and current tax not recognized in other comprehensive income or directly in equity, if any.

Current tax assets or liabilities comprise those claims from, or obligations to, fiscal authorities relating to the current or prior reporting period, that are uncollected or unpaid at the end of the reporting period. They are calculated using the tax rates and tax laws applicable to the fiscal periods to which they relate, based on the taxable profit for the year. All changes to current tax assets or liabilities are recognized as a component of tax expense in profit or loss.

Deferred tax is accounted for using the liability method, on temporary differences at the end of each reporting period between the tax base of assets and liabilities and their carrying amounts for financial reporting purposes. Under the liability method, with certain exceptions, deferred tax liabilities are recognized for all taxable temporary differences and deferred tax assets are recognized for all deductible temporary differences and the carry forward of unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. Unrecognized deferred tax assets are reassessed at the end of each reporting period and are recognized to the extent that it has become probable that future taxable profit will be available to allow such deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realized or the liability is settled provided such tax rates have been enacted or substantively enacted at the end of the reporting period.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Bank expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities. For purposes of measuring deferred tax liabilities and deferred tax assets for investment properties that are measured using the fair value model, the carrying amounts of such properties are presumed to be recovered entirely through sale, unless the presumption is rebutted, that is, when the investment property is depreciable and is held within the business model whose objective is to consume substantially all of the economic benefits embodied in the investment property over time, rather than through sale.

Most changes in deferred tax assets or liabilities are recognized as a component of tax expense in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

Deferred tax assets and deferred tax liabilities are offset if the Bank has a legally enforceable right to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxation authority.

### 4.12 Related Party Relationships and Transactions

Related party transactions are transfers of resources, services or obligations between the Bank and its related parties, regardless of whether a price is charged or not.

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Bank; (b) associates; (c) individuals owning, directly or indirectly, an interest in the voting power of the Bank that gives them significant influence over the Bank and close members of the family of any such individual; and, (d) the Bank’s retirement plan.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

### 4.13 Equity

Capital stock represents the nominal value of shares that have been issued.

Deficit includes all current and prior period results of operations as reported in the statement of income.
Unrealized fair value losses on financial assets at FVOCI comprise gains or losses due to revaluation of financial assets at FVOCI.

Accumulated actuarial gains (losses) on post-employment defined benefit plan pertains to the net losses arising from remeasurements of post-employment defined benefit obligation.

### 4.14 Borrowing Costs

Borrowing costs are recognized in profit or loss in the period in which they are incurred.

### 4.15 Events After the End of the Reporting Period

Any post-year-end event that provides additional information about the Bank's financial position at the end of the reporting period (adjusting event) is reflected in the financial statements. Post-year-end events that are not adjusting events, if any, are disclosed when material to the financial statements.

## 5. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the financial statements in compliance with PFRS requires management to make judgments, estimates and assumptions that affect the amounts reported in the financial statements. The judgments, estimates and assumptions used in the financial statements are based upon management's evaluation of relevant facts and circumstances at the end of the reporting period. Actual results could differ materially from such estimates.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

### 5.01 Critical Judgments in Applying Accounting Policies

In the process of applying the Bank's accounting policies, management has made the following judgements, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements.

*5.01.01 Classification of financial assets*
The Bank follows the guidance of PFRS 9 in classifying financial assets at initial recognition whether it will be subsequently measured at fair value through other comprehensive income, at amortized cost, or at fair value through profit or loss.

The Bank determines the classification based on the contractual cash flow characteristics of the financial assets and on the business model it uses to manage these financial assets. The Bank determines whether the contractual cash flows associated with the financial asset are solely payments of principal and interest (the "SPPI"). If the instrument fails the SPPI test, it will be measured at fair value through profit or loss.

*5.01.02 Determining whether or not a contract contains a lease*
At inception of a contract, the Bank assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Identified asset
An asset is typically identified by being explicitly specified in a contract. However, an asset can also be identified by being implicitly specified at the time that the asset is made available for use by the customer.

Substantive substitution rights
Even if the asset is specified, the Bank does not have the right to use an identified asset, if, at inception of the contract, a supplier has the substantive right to a substitute the asset throughout the period of use (i.e., the total period of time that an asset is used to fulfill a contract with the Bank, including the sum of any non-consecutive periods of time). A supplier's right to substitute an asset is substantive when both of the following conditions are met:

- The supplier has the practical ability to substitute alternative assets throughout the period of use (e.g., the Bank cannot prevent the supplier from substituting an asset and alternative assets are readily available to the supplier or could be sourced by the supplier within a reasonable period of time); and

- The supplier would benefit economically from the exercise of its right to substitute the asset (i.e., the economic benefits associated with substituting the asset is expected to exceed the costs associated with substituting the asset).

The Bank's evaluation of whether a supplier's substitution right is substantive is based on facts and circumstances at inception of the contract. At inception of the contract, the Bank does not consider future events that are not likely to occur.

Right to obtain substantially all of the economic benefits from use of the identified asset
To control the use of an identified asset, the Bank is required to have the right to obtain substantially all of the economic benefits from use of the identified asset throughout the period of use (e.g., by having exclusive use of the asset throughout that period).

When assessing whether the Bank has the right to obtain substantially all of the economic benefits from the use of an asset, the Bank considers the economic benefits that result from use of the asset within the defined scope of the customer's right to use the asset. A right that solely protects the supplier's interest in the underlying asset (e.g., limits on the number of miles a customer can drive a supplier's vehicle) does not, in and of itself, prevent the Bank from obtaining substantially all of the economic benefits from use of the asset and, therefore, are not considered when assessing whether the Bank has the right to obtain substantially all of the economic benefits.

If a contract requires the Bank to pay the supplier or another party a portion of the cash flows derived from the use of an asset as consideration (e.g., a percentage of sales from the use of retail space), those cash flows are considered to be economic benefits that the Bank derives from the use of the asset.

<u>Right to direct the use of the identified asset</u>
The Bank has the right to direct the use of an identified asset throughout the period of use when either the Bank has the right to direct how and for what purpose the asset is used throughout the period of use. The Bank has the right to direct the use of an identified asset whenever it has the right to direct how and for what purpose the asset is used throughout the period of use (i.e., it can change how and for what purpose the asset is used throughout the period of use). When evaluating whether the Bank has the right to change how and for what purpose the asset is used throughout the period of use, its focus is on whether the Bank has the decision-making rights that will most affect the economic benefits that will be derived from the use of the asset. The decision-making rights that are most relevant are likely to depend on the nature of the asset and the terms and conditions of the contract.

<u>*5.01.03 Testing the Cash Flow Characteristics of Financial Assets and Continuing Evaluation of the Business Model (applicable beginning 2018)*</u>
In determining the classification of financial assets under PFRS 9, the Bank assesses whether the contractual terms of financial assets give rise on specific dates to cash flows that are solely payments of principal on the principal outstanding, with interest representing time value of money and credit risk associated with the principal amount outstanding. The assessment as to whether the cash flow meet the test is made in the currency in which the financial asset is denominated. Any other contractual term that changes the timing or amount of cash flows (unless it is a variable interest rate that represents time value of money and credit risk) does not meet the amortized cost criteria. In cases where the relationship between the passage of time and the interest rate of the financial instrument still meets the SPPI criterion. The objective of the assessment is to determine how different the undiscounted cash flows that would arise if the time value of money element was not modified (the benchmark cash flows). If the resulting difference is significant, the SPPI criterion is not met. In view of this, the Bank considers the effect of the modified time value of money element in each reporting period and cumulatively over the life of the financial instrument.

*5.01.04 Classification of Financial Assets*
The Bank determines the classification based on the contractual cash flow characteristics of the financial assets and on the business model it uses to manage these financial assets. The Bank determines whether the contractual cash flows associated with the financial asset are solely payments of principal and interest (the "SPPI"). If the instrument fails the SPPI test, it will be measured at fair value through profit or loss.

*5.01.05 Distinction Between Investment Properties and Owner-managed Properties*
The Bank determines whether a property qualifies as investment property. In making its judgement, the Bank considers whether the property generated cash flows largely independently of the other assets held. Owner-managed properties generate cash flows that are attributable not only to the property but also to other assets used in the Bank's operations.

*5.01.06 Classifying Real and Other Properties Acquired (ROPA)*
The Bank acquires properties in settlement of loans through foreclosure or dation in payment. These properties are recognized in accordance with Section 382 of the MORB, as follows:

1. Land and buildings shall be accounted for using the cost model under PAS 40 "Investment Property";
2. Other non-financial assets shall be accounted for using the cost model under PAS 16 "Property Plant and Equipment", provided that these are held for use in the production or supply of goods or services, or for administrative purposes; and
3. PFRS 5 "Non-Current Assets Held for Sale" when the properties comply with the provisions of the standard.

Notwithstanding the above provisions, it is a regulatory expectation for the Bank to dispose these properties immediately.

*5.01.07 Recognition of Provisions and Contingencies*
Judgment is exercised by management to distinguish between provisions and contingencies. Policies on recognition and disclosure of provision and contingencies are discussed in Note 4.06 and relevant disclosures are presented in Note 26.

*5.01.08 Determining Method of Computing ECL*
As stated in Bangko Sentral ng Pilipinas (BSP) Circular 1011, BSP-supervised financial institutions with credit operations that may not economically justify adoption of simple loan loss estimation methodology that is compliant with PFRS 9, shall, at a minimum, be subject to regulatory guidelines in setting up allowance for credit losses prescribed under Appendix 15 of the Manual of Regulations for Banks.

Following the guidance of Circular 1011 and Appendix 100 of the Manual of Regulations for Banks (MORB) of the Bangko Sentral ng Pilipinas in adopting PFRS 9 impairment requirements, the Bank assessed the ECL in accordance with the said standard and based on management judgement it was determined that the amount recognized as allowance based on Appendix 15 is reasonable.

### 5.02 Key Sources of Estimation Uncertainties

The following are the key assumptions concerning the futures, and other key sources of estimation uncertainty at the end of the reporting period, that have significant risks of causing a material adjustment to the carrying amounts of resources and liabilities within the next reporting period.

*5.02.01 Estimating Allowance for Expected Credit Losses*
The Bank estimates the allowance for credit losses related to its loans and receivables based on assessment of specific accounts where the Bank has information that certain customers are unable to meet their financial obligations. In these cases, judgment used was based on the best available facts and circumstances including but not limited to, the length of relationship with the customer and the customer's current credit status based on third party credit reports and known market factors. The Bank used judgment to record specific reserves for customers against amounts due to reduce the expected collectible amounts. These specific reserves are re-evaluated and adjusted as additional information received impacts the amounts estimated, notwithstanding the provisioning requirements under Manual of Regulations for Banks (MORB).

The amounts and timing of recorded expenses for any period would differ if different judgments were made or different estimates were utilized. An increase in the allowance for credit losses would increase the recognized operating expenses and decrease current assets.

In 2023 and 2022, provision for credit losses on financial assets amounted to ₱17,369,968 and ₱16,049,918, respectively as disclosed in Note 10.

*5.02.02 Estimating Useful Lives of Bank's Bank Premises, Furniture, Fixtures and Other Equipment and Intangible Asset*
For the purposes of providing for depreciation and amortization, the Bank estimates the useful lives of its bank premises, furniture, fixtures and equipment and intangible asset based on the period over which the assets are expected to be available for use; however, for leasehold improvement, the Bank uses the estimated useful life of the asset or the lease term, whichever is shorter. The estimated useful lives of the bank premises, furniture, fixture and equipment and intangible are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets.

The carrying amounts of the Bank's premises, furniture, fixtures and equipment and intangible asset (presented under Other Assets) are analyzed in Notes 11 and 13, respectively. Based on management's assessment as at December 31, 2023 and 2022, there is no change in the estimated useful lives of those assets during those years. Actual results, however, may vary due to changes in estimates brought about by changes in factors mentioned above.

In both years, Management assessed that there are no indications that there has been a significant change in pattern used by the Bank to consume its asset's future economic benefit. As of December 31, 2023 and 2022, the carrying amounts of bank premises, furniture, fixtures and equipment as disclosed in Note 11 amounted to ₱51,980,806 and ₱51,050,175, respectively. While carrying amount of intangible assets amounted to ₱1,280,385 and ₱1,938,066 as of December 31, 2023 and 2022, as disclosed in Note 13.

The carrying amounts of investment properties amounted to ₱10,009,094 and ₱15,316,056, respectively, as disclosed in Note 12.

*5.02.03 Estimating Impairment Losses on Non-financial Assets*
In assessing impairment, management estimates the recoverable amount of each asset or a cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate.

Though management believes that the assumptions used in the estimation of fair values reflected in the financial statements are appropriate and reasonable, significant changes in those assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

No impairment loss was recognized on bank premises, furniture fixtures, and equipment and intangible assets in 2023 and 2022, as disclosed in Notes 11 and 13. Impairment losses on investment properties recognized in 2023 and 2022 amounted to ₱68,563 and ₱1,115,710, as disclosed in Note 12.

*5.02.04 Determining Realizable Amount of Deferred Tax Assets*
The Bank reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Management assessed that the deferred tax assets as recognized at December 31, 2023 and 2022 will be utilized in the coming years, as disclosed in Note 24.

*5.02.05 Valuation of Post-employment Defined Benefit Obligation*
The determination of the Bank's obligation and cost of post-employment defined benefit is dependent on the selection of certain assumptions used by actuaries in calculating such amounts. Those assumptions include, among others, discount rates, salary rate increase, and employee turnover rate. A significant change in any of these actuarial assumptions may generally affect the recognized expense and the carrying amount of the post-employment benefit obligation in the next reporting period.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit, as well as the significant assumptions used in estimating such obligation are presented in Note 17.

## 6. RISK MANAGEMENT OBJECTIVES AND POLICIES

### 6.01 General Risk Management Principles

The Bank is exposed to a variety of financial risks which result from both its operating and investing activities. The Bank's BOD focuses on actively securing the Bank's short to medium-term cash flows by minimizing the exposure to financial markets. Long-term financial investments are managed to generate lasting returns.

The Bank does not engage in the trading of financial assets for speculative purposes nor does it write options. The most significant financial risks to which the Bank is exposed to are described in the succeeding pages.

In Philippine Peso

The following table summarizes the carrying amount of financial assets and liabilities recorded by category:

| | Notes | 2023 | 2022 |
|---|---|---|---|
| **Financial assets at Cost/Amortized Cost** | | | |
| Cash and other cash items | 8 | **₱ 18,474,900** | ₱ 18,255,523 |
| Due from BSP | 8 | **12,575,984** | 25,403,587 |
| Due from other banks | 8 | **350,188,100** | 438,480,028 |
| Investment securities at amortized cost | 9 | **133,531,990** | 80,392,422 |
| Loans and other receivables – net | 10 | **908,131,234** | 843,664,455 |
| Other assets* | 13 | **17,317,080** | 17,214,305 |
| | | **₱ 1,440,219,288** | ₱ 1,423,410,320 |
| **Financial liabilities at Cost/Amortized Cost** | | | |
| Deposit liabilities | 14 | **₱ 1,109,788,827** | ₱ 1,118,080,954 |
| Accrued and other liabilities** | 16 | **67,301,982** | 73,554,121 |
| | | **₱ 1,177,090,809** | ₱ 1,191,635,075 |

***excluding non-financial assets amounting to ₱3,779,989 and ₱4,597,789 in 2023 and 2022, respectively.***
****excluding non-financial liabilities amounting to ₱14,486,669 and ₱16,847,752 in 2023 and 2022, respectively.***

**6.02 Credit Risk**

Credit risk is the risk that the counterparty in a transaction may default and arises from lending, trade finance and other activities undertaken by the Bank. The Bank manages its credit risk and loan portfolio through the BOD, which undertakes several functions with respect to credit risk management.

The Bank's accounts with other banks, loans and receivables, and AFS securities are actively monitored to avoid significant exposures to unwarranted credit risk. Loans are subject to approval by the credit committee, executive committee and BOD, depending on the amounts.

Exposure to credit risk is managed through regular analysis of the ability of the borrowers and potential borrowers to meet interest and capital repayment obligations and by changing these lending limits when appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees.

The Bank has adopted a no-business policy with customers lacking an appropriate credit history where credit records are available.

In Philippine Peso

*6.02.01 Maximum Exposure to Credit Risk before Collateral Held or Other Credit Enhancements*

Generally, the maximum credit risk exposure of the financial assets is the carrying amount of the financial assets as shown in the statements of financial position (or in detailed analysis provided in the notes to the financial statements) as summarized below:

| | Notes | **2023** | 2022 |
|---|---|---|---|
| Cash and other cash items* | 8 | ₱ **263,759** | ₱ 111,364 |
| Due from BSP | 8 | **12,575,984** | 25,403,587 |
| Due from other banks | 8 | **350,188,100** | 438,480,028 |
| Investment securities at amortized cost | 9 | **133,531,990** | 80,392,422 |
| Loans and other receivables** | 10 | **962,762,369** | 889,789,215 |
| Other assets*** | 13 | **17,317,080** | 17,214,305 |
| | | **₱ 1,476,639,282** | ₱ 1,451,390,921 |

***excluding cash on hand amounting to ₱18,211,141 and ₱18,144,159 in 2023 and 2022, respectively.***
****gross of unamortized discount amounting to ₱25,697,935 and ₱23,188,921 in 2023 and 2022, respectively, and allowance for credit losses amounting to ₱28,933,200 and ₱22,935,839 in 2023 and 2022.***
*****excluding non-financial assets amounting to ₱3,779,989 and ₱4,597,789 in 2023 and 2022, respectively.***

The Bank continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Bank's policy is to deal only with creditworthy counterparties.

*6.02.02 Credit Quality of Financial Assets*

The following tables show the credit quality of loans and investment securities, gross of allowance for credit losses, as of December 31, 2023 and 2022. All advances to banks and investment securities are classified as Stage 1 in 2023 and 2022.

| **2023** | **Neither Past Due nor Impaired** | **Past Due but not Impaired** | **Impaired** | **Total** |
|---|---|---|---|---|
| Cash and other cash items* | 263,759 | – | – | 263,759 |
| Due from BSP | 12,575,984 | – | – | 12,575,984 |
| Due from other banks | 350,188,100 | – | – | 350,188,100 |
| Investment securities at amortized cost | 133,531,990 | – | – | 133,531,990 |
| Loans and other receivables | 907,382,746 | 17,443,234 | 37,936,389 | 962,762,369 |
| Other assets* | 17,317,080 | – | – | 17,317,080 |
| | **1,421,259,659** | **17,443,234** | **37,936,389** | **1,476,639,282** |

| 2022 | Neither Past Due nor Impaired | Past Due but not Impaired | Impaired | Total |
|---|---|---|---|---|
| Cash and other cash items* | 111,364 | – | – | 111,364 |
| Due from BSP | 25,403,587 | – | – | 25,403,587 |
| Due from other banks | 438,480,028 | – | – | 438,480,028 |
| Investment securities at amortized cost | 80,392,422 | – | – | 80,392,422 |
| Loans and other receivables | 790,841,591 | 95,948,421 | 2,999,203 | 889,789,215 |
| Other assets* | 17,214,305 | – | – | 17,214,305 |
| | 1,352,443,297 | 95,948,421 | 2,999,203 | 1,451,390,921 |

**excluding cash on hand amounting to ₱18,211,141 and ₱18,144,159 in 2023 and 2022, respectively.*
***excluding non-financial assets amounting to ₱3,779,989 and ₱4,597,789 in 2023 and 2022, respectively.*

Neither past due nor impaired cash on hand and in banks are working capital cash fund placed, invested, or deposited in local banks belonging to the top ten (10) banks in the Philippines in terms of resources and profitability. Other neither past due nor impaired accounts are loans and other receivables and investment securities which have a very remote likelihood of default and have consistently exhibited good paying habits.

**In Philippine Peso**

Past due but not impaired loans and receivables and investment securities are loans and receivables and investment securities where contractual interest or principal payments are past due but the Bank believes that impairment is not appropriate on the basis of the level of collateral available or status of collection of amounts owed to the Bank.

Loans with negotiated terms are loans that have been restructured due to deterioration in the borrower's financial position. In respect of some of these loans, the Bank has made concessions that it would not otherwise consider. Once the loan is restructured, it remains in this category until the borrower has sufficiently exhibited that the loan will be fully paid.

Impaired loans and receivables and investment securities are loans and receivables and investment securities for which the Bank determines that it is probable that it will be unable to collect all principal and interest due based on the contractual terms of the promissory notes and securities agreements. Loans and receivables that have been provided with 100% allowance for credit losses and those under litigation are considered impaired.

The Bank holds collateral against loans receivables in the form of real estate and chattel mortgages, and deposit hold outs over assets. Estimates of fair value are based on the value of collateral assessed at the time of borrowing and generally are not updated except when a loan is assessed to be impaired.

*6.02.03 Aging Analysis*
An aging analysis of the Bank's loans receivable as of December 31, 2023 and 2022 are as follows:

| | **2023** | 2022 |
|---|---|---|
| Outstanding receivables: | | |
| Current accounts | **₱ 867,493,157** | ₱ 790,841,591 |
| Past due accounts: | | |
| 1 – 30 days past due | **8,542,775** | 7,179,641 |
| 31 – 60 days past due | **5,088,744** | 9,460,909 |
| 61 – 90 days past due | **2,011,400** | 5,012,949 |
| over 90 days past due* | **39,765,104** | 28,888,720 |
| | **₱ 922,901,180** | ₱ 841,383,810 |

**including items in litigation amounting to ₱2,730,000 and ₱1,530,000 in 2023 and 2022, respectively, and excluding ACPC loans amounting to ₱39,861,189 and ₱48,405,405 in 2023 and 2022, respectively.*

### 6.03 Liquidity Risk

Liquidity risk is the risk that sufficient funds may not be available to adequately meet the credit demands of the Bank's customers and repay deposits on maturity. The Bank manages liquidity risk by holding sufficient liquid assets of appropriate quality to ensure short-term funding requirements are met and by maintaining a balanced loan portfolio which is repriced on a regular basis. In addition, the Bank seeks to maintain sufficient liquidity to take advantage of interest rate and exchange rate opportunities when they arise.

As of December 31, 2023 and 2022, minimum liquidity ratio of the Bank is 48.23% and 52.50%, respectively.

**In Philippine Peso**

The table below summarizes maturity profile of the Bank's financial assets and liabilities as of December 31, 2023 and 2022 based on undiscounted contractual cash flows.

| **2023** | | **On Demand** | | **Due Within 1 Year** | | **Due Beyond 1 Year But Not More Than 5 Years** | | **Due Beyond 5 Years But Not More Than 15 Years** | | **Total** |
|---|---|---|---|---|---|---|---|---|---|---|
| Financial Assets: | | | | | | | | | | |
| Cash and other cash items | ₱ | 18,474,900 | ₱ | – | ₱ | – | ₱ | – | ₱ | 18,474,900 |
| Due from BSP | | 1,479,586 | | – | | – | | 11,096,398 | | 12,575,984 |
| Due from other banks | | 350,128,162 | | 59,938 | | – | | – | | 350,188,100 |
| Investment securities at amortized cost | | – | | 133,315,710 | | 216,280 | | – | | 133,531,990 |
| Loans and other receivables* | | 1,262,761 | | 780,928,917 | | 180,570,691 | | – | | 962,762,369 |
| Other assets** | | – | | 16,364,668 | | 382,412 | | 570,000 | | 17,317,080 |
| | **₱** | **371,345,409** | **₱** | **930,669,233** | **₱** | **181,169,383** | **₱** | **11,666,398** | **₱** | **1,494,850,423** |
| Financial Liabilities: | | | | | | | | | | |
| Deposit liabilities | ₱ | 33,999,119 | ₱ | 649,779,945 | ₱ | 424,789,152 | ₱ | 1,220,611 | ₱ | 1,109,788,827 |
| Accrued and other liabilities*** | | – | | 56,853,226 | | 9,000,247 | | 1,448,509 | | 67,301,982 |
| | **₱** | **33,999,119** | **₱** | **706,633,171** | **₱** | **433,789,399** | **₱** | **2,669,120** | **₱** | **1,177,090,809** |

**In Philippine Peso**

| 2022 | On Demand | Due Within 1 Year | Due Beyond 1 Year But Not More Than 5 Years | Due Beyond 5 Years But Not More Than 15 Years | Total |
|---|---|---|---|---|---|
| Financial Assets: | | | | | |
| Cash and other cash items | ₱ 18,144,159 | ₱ 111,364 | ₱ – | ₱ – | ₱ 18,255,523 |
| Due from BSP | 3,045,998 | – | 22,357,589 | – | 25,403,587 |
| Due from other banks | 438,379,572 | 100,456 | – | – | 438,480,028 |
| Investment securities at amortized cost | – | 80,082,248 | 310,174 | – | 80,392,422 |
| Loans and other receivables* | 1,460,993 | 726,999,292 | 159,978,930 | 1,350,000 | 889,789,215 |
| Other assets** | – | 16,123,954 | 520,351 | 570,000 | 17,214,305 |
| | ₱ 461,030,722 | ₱ 823,417,314 | ₱ 183,167,044 | ₱ 1,920,000 | ₱ 1,469,535,080 |
| Financial Liabilities: | | | | | |
| Deposit liabilities | ₱ 81,702,914 | ₱ 825,044,459 | ₱ 210,078,441 | ₱ 1,255,140 | ₱ 1,118,080,954 |
| Accrued and other liabilities*** | 3,493,561 | 62,690,123 | 5,358,065 | 2,012,372 | 73,554,121 |
| | ₱ 85,196,475 | ₱ 887,734,582 | ₱ 215,436,506 | ₱ 3,267,512 | ₱ 1,191,635,075 |

*****_gross of unamortized discount amounting to ₱25,697,935 and ₱23,188,921 in 2023 and 2022, respectively and allowance for credit losses amounted to ₱28,933,200 and ₱22,935,839 in 2023 and 2022, respectively._
******_excluding non-financial assets amounting to ₱3,779,989 and ₱4,597,789 in 2023 and 2022, respectively._
*******_excluding non-financial liabilities amounting to ₱14,486,669 and ₱16,847,752 in 2023 and 2022, respectively._

In Philippine Peso

### 6.04 Interest Rate Risk

Interest rate risk is the risk to the earning or capital resulting from adverse movements in the interest rates. The Bank closely monitors the movements of interest rates in the market and reviews its asset and liability structure to ensure that exposures to fluctuations in interest rates are kept within acceptable limits. The Bank's exposures to interest rates on financial assets and financial liabilities are detailed in the liquidity risk management section of this note.

The Bank follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. The Bank is exposed to interest rate risk since its financial assets and financial liabilities have fixed and variable rates.

The sensitivity analyses below have been determined based on the exposure to interest rates for non-derivative instruments at the end of the reporting period. For floating rate assets and liabilities, the analysis is prepared assuming the amount of the financial assets and liabilities outstanding at the end of the reporting period was outstanding for the whole year. A 10% increase or decrease is used when reporting interest rate risk internally to key management personnel and this represents management's assessment of the reasonably possible changes in interest rates.

## 7. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

### 7.01 Carrying Amounts and Fair Values by Category

The following table presents a comparison by category of carrying amounts and estimated fair value of the Bank's financial instruments as of December 31, 2023 and 2022:

| | **Carrying Value** | **Fair Value** | | | |
|---|---|---|---|---|---|
| **2023** | | **Quoted (Unadjusted) Prices in Active Markets (Level 1)** | **Significant Observable Inputs (Level 2)** | **Significant Unobservable Inputs (Level 3)** | **Total** |
| **ASSETS** | | | | | |
| Investment securities at amortized cost | 133,531,990 | – | 133,531,990 | – | 133,531,990 |
| Loans and other receivables – net | 908,131,234 | – | 908,131,234 | – | 908,131,234 |
| | **1,041,663,224** | – | **1,041,663,224** | – | **1,041,663,224** |
| **LIABILITIES** | | | | | |
| Deposit liabilities | **1,109,788,827** | **–** | **1,109,788,827** | **–** | **1,109,788,827** |

**In Philippine Peso**

| | Carrying Value | Fair Value | | | |
|---|---|---|---|---|---|
| 2022 | | Quoted (Unadjusted) Prices in Active Markets (Level 1) | Significant Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) | Total |
| ASSETS | | | | | |
| Investment securities at amortized cost | 80,392,422 | – | 80,392,422 | – | 80,392,422 |
| Loans and other receivables – net | 843,664,455 | – | 843,664,455 | – | 843,664,455 |
| | 924,056,877 | – | 924,056,877 | – | 924,056,877 |
| LIABILITIES | | | | | |
| Deposit liabilities | 1,118,080,954 | – | 1,118,080,954 | – | 1,118,080,954 |

*Cash and other cash item, Due from BSP, Due from other banks, Investment securities at amortized cost and Other assets, Accrued and other liabilities*
The carrying values of these financial assets and liabilities approximate their fair values due to the relatively short-term maturities of these financial assets and liabilities.

*Loans and other receivables*
Fair values of loans and receivables are estimated using the discounted cash flow methodology, using the Bank's current incremental lending rates for similar types of loans and receivables.

*Deposit liabilities and Bills payable*
Fair values are estimated using the discounted cash flow methodology using the incremental borrowing rates for similar borrowings with maturities consistent with those remaining liability being valued.

*Fair Value Hierarchy*
In accordance with PFRS 13, the fair value of financial assets and liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels:

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date;

Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

**In Philippine Peso**

For financial assets with fair values included in Level 1, management considers that the carrying amounts of those short-term financial instruments approximate their fair values.

There were neither transfers between Levels 1 and 2 instruments in both years.

When the Bank uses valuation technique, it maximizes the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

*Fair Value Measurement for Non-financial Assets*
The fair value of the Bank's Investment Properties account, as disclosed in Note 12, is determined on the basis of the appraisals performed by an appraiser with appropriate qualifications and recent experience in the valuation of similar properties in the relevant locations. To some extent, the valuation process was conducted by the appraiser in discussion with the Bank's management with respect to the determination of the inputs such as the size, age, and condition of the land and buildings, and the comparable prices in the corresponding property location.

The fair value as at December 31, 2023 and 2022 amounting to ₱38,211,300 and ₱60,980,267, respectively, as disclosed in Note 12, is currently categorized within Level 2. In estimating the fair value of these properties, management takes into account the market participant's ability to generate economic benefits by using the assets in their highest and best use.

There has been no change to the valuation techniques used by the Bank during the year for its non-financial assets.

## 8. CASH AND CASH EQUIVALENTS

The account consists of the following:

| | **2023** | 2022 |
|---|---|---|
| Cash and other cash items: | | |
| Cash on hand | ₱ **18,211,141** | ₱ 18,144,159 |
| Checks and other cash items | **263,759** | 111,364 |
| | **18,474,900** | 18,255,523 |
| Due from BSP | **12,575,984** | 25,403,587 |
| Due from other banks | **350,188,100** | 438,480,028 |
| | **362,764,084** | 463,883,615 |
| | ₱ **381,238,984** | ₱ 482,139,138 |

Cash consists primarily of funds in the form of Philippine currency notes and coins in the Bank's vault and those in the possession of teller and cashier. Cash items consist of checks and cash items (other than currency on hand), such as checks drawn on other banks and other items received after the Bank's clearing cut-off time until the close of the regular banking hours.

Due from BSP represents the aggregate balance of noninterest-bearing account maintained with BSP in compliance with its requirement for rural banks to maintain regular and liquidity reserves on savings and time deposits and on certain deposit and deposit substitute liabilities.

**In Philippine Peso**

The Bank earned interest income from deposits with other banks amounting to ₱245,809 and ₱301,485 in 2023 and 2022, and is presented as interest income on due from other banks in the statement of comprehensive income.

## 9. INVESTMENT SECURITIES AT AMORTIZED COST

The Bank's financial assets at amortized cost pertain to investments in government securities which are maintained as part of the Bank's reserve requirements in compliance with existing BSP regulations (e.g Agri-Agra reserve) and other debt securities issued by financial institutions.

This account consists of:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Government securities | ₱ | **133,531,990** | ₱ | 80,392,422 |

Movements in the account are disclosed below:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Balance at January 1 | ₱ | **80,392,422** | ₱ | 86,912,297 |
| Additions | | **218,964,044** | | 100,763,363 |
| Maturities | | **(165,824,476)** | | (107,283,238) |
| | ₱ | **133,531,990** | ₱ | 80,392,422 |

Investment securities at amortized cost bears annual interest rate ranging from 1.0655% to 6.2851% in 2023 and 2022 and with maturity period ranging from 42 days to 10 years.

Interest earned on investment securities at amortized cost amounted to ₱3,981,331 and ₱1,053,099 for the years ended December 31, 2023 and 2022, respectively.

No impairment was recognized as of and for the years ended December 31, 2023 and 2022.

Under current bank regulations, investments in bonds and other debt instruments shall not exceed 50% of the adjusted statutory net worth plus 40% of total deposits liabilities. As of December 31, 2023 and 2022, the Bank is within the prescribed limit.

In Philippine Peso

## 10. LOANS AND OTHER RECEIVABLES – net

The account consists of the following:

| | **2023** | 2022 |
|---|---|---|
| Current loans | ₱ **844,532,788** | ₱ 771,792,652 |
| Past due loans | **48,751,113** | 48,199,337 |
| Under litigation | **2,730,000** | 1,530,000 |
| Total loans receivable | **896,013,901** | 821,521,989 |
| Sales contract receivable | **16,067,223** | 6,430,967 |
| Accrued interest receivable | **10,649,875** | 9,398,627 |
| Accounts receivable | **170,181** | 4,032,227 |
| Accounts receivable-ACPC | **39,861,189** | 48,405,405 |
| | **962,762,369** | 889,789,215 |
| Unamortized discount | **(25,697,935)** | (23,188,921) |
| | **937,064,434** | 866,600,294 |
| Allowance for credit losses | | |
| Loans receivable | **(27,961,704)** | (22,329,092) |
| Sales contract receivable | **(350,126)** | (238,980) |
| Accrued interest receivable | **(621,370)** | (367,767) |
| | **(28,933,200)** | (22,935,839) |
| Total loans and other receivables – net | ₱ **908,131,234** | ₱ 843,664,455 |

The Bank's loan accounts are stated at the outstanding balance, reduced by estimated allowance for impairment losses and unearned interest and discounts.

As of December 31, 2023 and 2022, loans receivable with carrying amount of ₱11,165,000 and ₱11,538,236, respectively, were used as collateral for bills payable, as disclosed in Note 15.

Loans and receivables bear average interest rates of 9.00% to 21.00% and 5.00% to 23.00% per annum in 2023 and 2022, respectively.

Total interest earned on loans and other receivable for the years ended December 31, 2023 and 2022 are as follows:

| | **2023** | 2022 |
|---|---|---|
| Loans receivable | ₱ **115,327,705** | ₱ 107,710,989 |
| Sales contract receivable | **776,643** | 1,046,665 |
| | ₱ **116,104,348** | ₱ 108,757,654 |

The movement of the expected credit losses on loans and other receivables at December 31, 2023 and 2022 are summarized as follows:

| | **2023** | 2022 |
|---|---|---|
| At January 1 | ₱ **22,935,839** | ₱ 21,659,943 |
| Provision | **17,369,968** | 16,049,918 |
| Reversal | **(11,372,607)** | (14,774,022) |
| | ₱ **28,933,200** | ₱ 22,935,839 |

**In Philippine Peso**

Breakdown loans and other receivables from customers for the years ended December 31, 2023 and 2022 are as follows:

| **2023** | **Stage 1** | **Stage2** | **Stage 3** | **Total** |
|---|---|---|---|---|
| Agricultural loans | 382,387,133 | 4,370,650 | 27,651,056 | 414,408,839 |
| Commercial loans | 332,067,245 | 7,687,986 | 13,512,418 | 353,267,649 |
| Personal loans | 170,578,294 | 1,790,418 | 12,649,003 | 185,017,715 |
| Other type of loans | 8,123,988 | – | 65,124 | 8,189,112 |
| Other credit accommodation | 1,832,728 | – | 46,326 | 1,879,054 |
| | **894,989,388** | **13,849,054** | **53,923,927** | **962,762,369** |

| 2022 | Stage 1 | Stage2 | Stage 3 | Total |
|---|---|---|---|---|
| Agricultural loans | 380,550,127 | 4,802,417 | 18,608,681 | 403,961,225 |
| Commercial loans | 252,342,758 | 4,195,855 | 14,365,784 | 270,904,397 |
| Personal loans | 190,390,583 | 5,144,968 | 13,517,973 | 209,053,524 |
| Other type of loans | 1,534,645 | – | 74,603 | 1,609,248 |
| Other credit accommodation | 228,594 | 3,989,087 | 43,140 | 4,260,821 |
| | 825,046,707 | 18,132,327 | 46,610,181 | 889,789,215 |

Allowance for credit losses on loans receivable is comprised of the following:

| | **2023** | 2022 |
|---|---|---|
| Stage 2 and 3 (Specific loan loss) | | |
| Loans to individuals for other purposes | ₱ **19,735,982** | ₱ 14,732,437 |
| Stage 1 (General loan loss) | **8,225,722** | 7,596,655 |
| | ₱ **27,961,704** | ₱ 22,329,092 |

With the foregoing level of allowance for impairment losses, management believes that the Bank has sufficient allowance to manage any risk from non-collection or non-collateral of the Bank's loans and other receivables.

Details of ECL for loans and receivables from customers for the years ended December 31, 2023 and 2022 are as follows:

| **2023** | **Stage 1** | **Stage2** | **Stage 3** | **Total** |
|---|---|---|---|---|
| Agricultural loans | 3,387,314 | 407,239 | 6,212,985 | 10,007,538 |
| Commercial loans | 3,188,850 | 2,814,851 | 6,709,137 | 12,712,838 |
| Personal loans | 1,606,746 | 131,068 | 4,329,942 | 6,067,756 |
| Other type of loans | 79,944 | – | 65,124 | 145,068 |
| Other credit accommodation | – | – | – | – |
| | **8,262,854** | **3,353,158** | **17,317,188** | **28,933,200** |

| 2022 | Stage 1 | Stage2 | Stage 3 | Total |
|---|---|---|---|---|
| Agricultural loans | 3,191,570 | 496,395 | 5,330,106 | 9,018,071 |
| Commercial loans | 2,825,873 | 428,146 | 4,370,575 | 7,624,594 |
| Personal loans | 1,831,420 | 502,740 | 3,869,081 | 6,203,241 |
| Other type of loans | 15,330 | – | 74,603 | 89,933 |
| Other credit accommodation | – | – | – | – |
| | 7,864,193 | 1,427,281 | 13,644,365 | 22,935,839 |

### 10.01 Past Due Loans

Past due loans of a bank shall, as a general rule, refer to all accounts in its loan portfolio, all receivable components of trading account securities and other receivables, which are not paid at maturity.

In Philippine Peso

BSP Manual of Regulations for Banks, Section 304, defined the classification of past due loans as follows:

As a general rule, loans, investments, receivables, or any financial asset, including restructured loans, shall be considered past due when any principal and/or interest or instalment due, or portions thereof, are not paid at their contractual date, in which case, the total outstanding balance thereof shall be considered past due.

Installment refers to principal and/or interest amortizations that are due on several dates as indicated in the loan documents. The allowance for loan losses is the estimated amount of losses in the Bank's loan portfolio, based on evaluation of the collectability of loans and prior loss experience

Any amounts set aside in respect of losses on loans and advances in addition to those losses that have been specifically identified or potential losses which experience indicates to be present in the portfolio of loans and advances are accounted for as appropriations from retained earnings. Any credits resulting from the reduction of such amounts result in an increase in retained earnings and are not included in the determination of net profit or loss for the period.

The allowance is increased by provisions charged to expenses and reduced by write-offs and reversals.

**10.02 Non-Performing Loans**

As of December 31, 2023 and 2022, non-performing loans (NPLs) not fully covered by allowance for credit losses are as follows (net of unamortized discount):

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Total Non-performing loans | ₱ | **37,855,765** | ₱ | 35,793,463 |
| Less: Non-performing loans covered by allowance for credit losses | | **16,400,182** | | 13,008,579 |
| | ₱ | **21,455,583** | ₱ | 22,784,884 |

Information regarding the Bank's non-performing loans (based on Section 304 of the MORB) are as follows:

| | **2023** | 2022 |
|---|---|---|
| Ratio of gross NPLs to gross TLP (%) | **4.35%** | 4.48% |
| Ratio of net NPLs to gross TLP (%) | **2.47%** | 2.85% |
| Ratio of total allowance for credit losses to gross NPLs (%) | **73.86%** | 62.38% |
| Ratio of specific allowance for credit losses on gross TLP to gross NPLs (%) | **52.13%** | 41.16% |

Section 304 of the MORB defined non-performing loans (NPLs) as follows:

Loans, investments, receivables or any financial asset shall be considered non-performing, even without missed contractual payments, when it is considered impaired under existing accounting standards, classified as doubtful or loss, in litigation, and/or there is evidence that full repayment of principal and interest is unlikely without foreclosure of collateral. All other loans, even if not considered impaired, shall be considered non-performing if any principal and/or interest are unpaid for more than 90 days from contractual due date, or accrued interests for more than 90 days have been capitalized, refinanced, or delayed by agreement.

Microfinance and other small loans with similar credit characteristics shall be considered non-performing after contractual due date or after it has become past due.

Restructured loans shall be considered non-performing. However, if prior to restructuring, the loans were categorized as performing, such classification shall be retained.

In Philippine Peso

## 11. BANK PREMISES, FURNITURE, FIXTURES AND EQUIPMENT – net

A reconciliation of the carrying amounts at the beginning and end of years 2023 and 2022, and the gross carrying amounts and accumulated depreciation of bank premises, furniture, fixtures and equipment are shown below.

| 2023 | | Land | Building and Improvements | Building under construction | Transportation and Equipment | Leasehold Improvements | Furniture, Fixtures and Equipment | Right-of-Use Asset | Total |
|---|---|---|---|---|---|---|---|---|---|
| **Cost:** | | | | | | | | | |
| Balance, January 1 | ₱ | 21,186,300 | 48,603,754 | 61,025 | 20,390,685 | 5,005,854 | 17,741,325 | 9,475,766 | 122,464,709 |
| Additions | | – | 2,822,295 | 450,408 | 1,795,900 | – | 781,761 | – | 5,850,364 |
| Disposal | | – | – | – | (203,105) | – | – | – | (203,105) |
| Write-off | | – | – | – | – | – | (187,831) | – | (187,831) |
| Adjustments | | – | – | – | – | – | – | 351 | 351 |
| **Balance, December 31** | **₱** | **21,186,300** | **51,426,049** | **511,433** | **21,983,480** | **5,005,854** | **18,335,255** | **9,476,117** | **127,924,488** |
| **Accumulated depreciation:** | | | | | | | | | |
| Balance, January 1 | ₱ | – | 28,080,704 | – | 18,985,335 | 4,581,316 | 16,599,046 | 3,168,133 | 71,414,534 |
| Depreciation (Note 23) | | – | 1,729,932 | – | 960,267 | 261,556 | 941,150 | 1,026,987 | 4,919,892 |
| Disposal | | – | – | – | (203,102) | – | – | – | (203,102) |
| Write-off | | – | – | – | – | – | (187,831) | – | (187,831) |
| Adjustments | | – | – | – | – | – | – | 189 | 189 |
| **Balance, December 31** | **₱** | **–** | **29,810,636** | **–** | **19,742,500** | **4,842,872** | **17,352,365** | **4,195,309** | **75,943,682** |
| **Carrying amount** | **₱** | **21,186,300** | **21,615,413** | **511,433** | **2,240,980** | **162,982** | **982,890** | **5,280,808** | **51,980,806** |

**In Philippine Peso**

| 2022 | | Land | Building and Improvements | Building under construction | Transportation and Equipment | Leasehold Improvements | Furniture, Fixtures and Equipment | Right-of-Use Asset | Total |
|---|---|---|---|---|---|---|---|---|---|
| Cost: | | | | | | | | | |
| Balance, January 1 | ₱ | 21,186,300 | 45,008,681 | – | 20,459,685 | 5,005,854 | 17,234,395 | 9,474,523 | 118,369,438 |
| Additions | | – | 3,595,073 | 61,025 | – | – | 506,930 | – | 4,163,028 |
| Disposal/Write-off | | – | – | – | (69,000) | – | – | – | (69,000) |
| Adjustments | | – | – | – | – | – | – | 1,243 | 1,243 |
| Balance, December 31 | ₱ | 21,186,300 | 48,603,754 | 61,025 | 20,390,685 | 5,005,854 | 17,741,325 | 9,475,766 | 122,464,709 |
| Accumulated depreciation: | | | | | | | | | |
| Balance, January 1 | ₱ | – | 26,503,532 | – | 17,754,377 | 4,303,089 | 15,688,626 | 2,140,719 | 66,390,343 |
| Depreciation (Note 23) | | | 1,577,172 | – | 1,299,957 | 278,227 | 910,420 | 1,026,938 | 5,092,714 |
| Disposal/Write-off | | | – | – | (68,999) | – | – | – | (68,999) |
| Adjustments | | | – | – | – | – | – | 476 | 476 |
| Balance, December 31 | ₱ | – | 28,080,704 | – | 18,985,335 | 4,581,316 | 16,599,046 | 3,168,133 | 71,414,534 |
| Carrying amount | ₱ | 21,186,300 | 20,523,050 | 61,025 | 1,405,350 | 424,538 | 1,142,279 | 6,307,633 | 51,050,175 |

During the year 2023, transportation equipment with carrying amount of ₱3 were sold for ₱100,000 realizing a gain on sale of ₱99,997, as disclosed in Note 21.

During the year 2022, transportation equipment with carrying amount of ₱1 were sold for ₱25,000 realizing a gain on sale of ₱24,999, as disclosed in Note 21.

Section 109 of the MORB states that the total investment of a bank in real estate and improvements thereon, including bank equipment, shall not exceed fifty percent (50%) of the bank's net worth. As of December 31, 2023 and 2022, the Bank is compliant with such regulation.

Management believes that there are no indications of impairment in the value of its bank premises, furniture, fixtures and equipment as of December 31, 2023 and 2022. Acquisition of bank premises, furniture, fixtures and equipment for 2023 and 2022 were paid in cash.

**In Philippine Peso**

Depreciation expense is presented as separate component of operating expenses under non-interest expenses in the statement of income in 2023 and 2022, respectively, as disclosed in Note 23.

No bank premises, furniture, fixture and equipment were used as collateral for liabilities as at December 31, 2023 and 2022.

As of December 31, 2023 and 2022, the Bank has no commitment to purchase bank premises, furniture, fixtures and equipment.

The following are the lease agreements entered into by the Bank and outstanding as of December 31, 2023 and 2022.

**2023**

| | | **Lease Term** | | | |
|---|---|---|---|---|---|
| **Location of leased property** | **Leased Property** | **Start of term** | **End of term** | **Lease Payment** | **Escalation Clause** |
| Bambang, Nueva Vizcaya | Office Building | 02/01/2021 | 01/31/2031 | 38,000 | 5% every year |
| Solano, Nueva Vizcaya | Office building | 03/20/2018 | 03/20/2028 | 21,000 | 5% every three years |
| Tallungan, Reina Mercedes, Isabela | Office space | 06/15/2015 | 06/15/2027 | 9,500 | 10% every two years |
| San Fabian, Echague, Isabela | Office space | 11/24/2014 | 11/24/2026 | 9,000 | 5% every three years |
| Centro1, Luna, Isabela | Office space | 05/15/2015 | 05/15/2027 | 12,000 | 5% every two years |

2022

| | | Lease Term | | | |
|---|---|---|---|---|---|
| Location of leased property | Leased Property | Start of term | End of term | Lease Payment | Escalation Clause |
| Bambang, Nueva Vizcaya | Office Building | 02/01/2021 | 01/31/2031 | 38,000 | 5% every year |
| Solano, Nueva Vizcaya | Office building | 03/20/2018 | 03/20/2028 | 21,000 | 5% every three years |
| Tallungan, Reina Mercedes, Isabela | Office space | 06/15/2015 | 06/15/2027 | 9,500 | 10% every two years |
| San Fabian, Echague, Isabela | Office space | 11/24/2014 | 11/24/2026 | 9,000 | 5% every three years |
| Centro1, Luna, Isabela | Office space | 05/15/2015 | 05/15/2027 | 12,000 | 5% every two years |

The lease contracts are renewable upon such terms and conditions mutually agreed by the both parties prior to expiration. The leased assets are being depreciated based on useful life of the leased asset or remaining term of the lease, whichever is shorter.

**In Philippine Peso**

## 12. INVESTMENT PROPERTIES – net

Details of the Bank's investment properties are as follows:

| **2023** | **Land** | **Building** | **Total** |
|---|---|---|---|
| **Cost:** | | | |
| Balance, January 1 | ₱ 12,908,087 | ₱ 4,770,016 | ₱ 17,678,103 |
| Additions | 563,327 | – | 563,327 |
| Write-off | (99,498) | – | (99,498) |
| Disposals | (4,588,679) | (2,507,554) | (7,096,233) |
| **Balance, December 31** | **8,783,237** | **2,262,462** | **11,045,699** |
| **Accumulated Depreciation:** | | | |
| Balance, January 1 | – | 1,246,337 | 1,246,337 |
| Depreciation expense (Note 23) | – | 453,740 | 453,740 |
| Disposal | – | (732,035) | (732,035) |
| **Balance, December 31** | **–** | **968,042** | **968,042** |
| **Impairment Loss** | | | |
| Balance January 1 | 1,115,710 | – | 1,115,710 |
| Impairment loss | 99,498 | – | 99,498 |
| Reversal | (1,047,147) | – | (1,047,147) |
| Write-off | (99,498) | – | (99,498) |
| **Balance, December 31** | **68,563** | **–** | **68,563** |
| **Carrying amount** | **₱ 8,714,674** | **₱ 1,294,420** | **₱ 10,009,094** |

| 2022 | Land | Building | Total |
|---|---|---|---|
| Cost: | | | |
| Balance, January 1 | ₱ 15,795,325 | ₱ 6,292,614 | ₱ 22,087,939 |
| Additions | 4,656,148 | 871,036 | 5,527,184 |
| Disposals | (7,543,386) | (2,393,634) | (9,937,020) |
| Balance, December 31 | 12,908,087 | 4,770,016 | 17,678,103 |
| Accumulated Depreciation: | | | |
| Balance, January 1 | – | 1,398,751 | 1,398,751 |
| Depreciation expense (Note 23) | – | 482,974 | 482,974 |
| Disposal | – | (635,388) | (635,388) |
| Balance, December 31 | – | 1,246,337 | 1,246,337 |
| Impairment Loss | | | |
| Balance January 1 | 934,262 | – | 934,262 |
| Impairment loss | 181,448 | – | 181,448 |
| Balance, December 31 | 1,115,710 | – | 1,115,710 |
| Carrying amount | ₱ 11,792,377 | ₱ 3,523,679 | ₱ 15,316,056 |

During the year 2023, investment properties with carrying amount of ₱6,364,198 were sold for ₱17,493,690 realizing a gain on sale of ₱10,378,004, as disclosed in Note 21, with transaction cost amounting ₱751,488.

During the year 2022, investment properties with carrying amount of ₱9,301,632 were sold for ₱22,967,903 realizing a gain on sale of ₱12,782,209, as disclosed in Note 21, with transaction cost amounting ₱884,062.

Collections from sale amounted to ₱5,563,540 and ₱16,708,417 for the years ended December 31, 2023 and 2022, respectively.

The Bank acquired its investment properties through foreclosure. In 2023 and 2022, transaction cost amounting to nil and ₱1,025,651, respectively, were incurred in relation to foreclosure.

**In Philippine Peso**

The fair value is determined on the basis of the appraisals performed by the appraiser with the appropriate qualifications and recent experience in the valuation of similar properties in the relevant locations. To some extent, the valuation process was conducted by the appraiser in discussion with the Bank's management with respect to the determination of the inputs such as the size, age and condition of the land and buildings and the comparable prices in the corresponding property location.

The Bank carried out a review of the recoverable amounts of its investment properties. In 2022, the Bank determined investment properties that are already eroded, the exact location cannot be traced and is under a legal case. The Bank finds it necessary to record additional impairment on its investment properties. Fair values of the Bank's investment properties as of December 31, 2023 and 2022 amounted to ₱38,211,300 and ₱60,980,267, respectively, as disclosed in Note 7.

No amount of investment property of the Bank has been pledged to secure general banking facilities granted to the Bank.

## 13. OTHER ASSETS

The account consists of the following:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Sinking fund (Note 17) | ₱ | **16,336,668** | ₱ | 15,896,959 |
| Intangible assets – net | | **1,280,385** | | 1,938,066 |
| Stationeries and office supplies | | **1,053,008** | | 1,367,047 |
| Golf club shares | | **570,000** | | 570,000 |
| Advance deposits | | **382,412** | | 520,351 |
| Prepaid expense | | **198,068** | | 272,501 |
| Petty cash fund | | **28,000** | | 28,000 |
| Due from i2i Wallet | | **–** | | 198,995 |
| Miscellaneous assets | | **1,248,528** | | 1,020,175 |
| | ₱ | **21,097,069** | ₱ | 21,812,094 |

Sinking fund represents an in-house retirement provision of the Bank for its officers and staff consisting of savings and time deposits placed in various local banks.

Due from i2i wallet ("island-to-island, institution-to-institution, and individual-to-individual") pertains to the network that connects rural banks to each other and to UnionBank through a blockchain-based platform. In 2023, the Bank discontinued its transactions with i2i wallet.

In Philippine Peso

### 13.01 Intangible assets – net

The carrying amounts of the Bank's computer software as of December 31, 2023 and 2022 are as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| **Cost:** | | | | |
| Balance, January 1 | ₱ | **3,718,403** | ₱ | 4,305,128 |
| Write-off | | **–** | | (586,725) |
| **Balance, December 31** | | **3,718,403** | | 3,718,403 |
| **Accumulated amortization:** | | | | |
| Balance, January 1 | | **(1,780,337)** | | (1,643,948) |
| Amortization expense (Note 23) | | **(657,681)** | | (723,114) |
| Write-off | | **–** | | 586,725 |
| **Balance, December 31** | | **(2,438,018)** | | (1,780,337) |
| **Carrying amount** | ₱ | **1,280,385** | ₱ | 1,938,066 |

The Bank has determined that there is no indication that an impairment loss has occurred on its intangible assets.

## 14. DEPOSIT LIABILITIES

This account consists of the following:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Time certificate of deposits | ₱ | **580,756,489** | ₱ | 557,256,249 |
| Savings deposits | | **423,078,600** | | 462,579,241 |
| Demand deposits | | **105,953,738** | | 98,245,464 |
| | ₱ | **1,109,788,827** | ₱ | 1,118,080,954 |

Savings and time deposits bear annual interest rate ranging from 0.25% to 6.50% in 2023 and 2022.

Total interest expense on deposit liabilities amounted to ₱25,940,237 and ₱21,508,486 for 2023 and 2022, respectively, and is presented as part of interest expense in the statements of comprehensive income.

As per BSP Circular No. 1175 Series of 2023, reserves against deposit liabilities for banks is reduced to one percent (1%) for savings, time and demand deposits. The Bank has satisfactorily complied with the reserve requirements of the BSP as of December 31, 2023 and 2022.

The Bank is in compliance with these regulations as the Bank's due from BSP account, amounting to ₱12,575,984 and ₱25,403,587 as of December 31, 2023 and 2022, respectively, as disclosed in Note 8, and is enough to cover the required reserve requirements.

In Philippine Peso

## 15. BILLS PAYABLE

This account represents short-term borrowings from Land Bank of the Philippines availed under the rediscounting facility.

Movement of bills payable is as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Beginning balance | ₱ | **–** | ₱ | – |
| Availment | | **10,000,000** | | 10,000,000 |
| Payment | | **–** | | (10,000,000) |
| | ₱ | **10,000,000** | ₱ | – |

As of December 31, 2023 and 2022, loans receivable with carrying amount of ₱11,165,000 and ₱11,538,236, respectively, were used as collateral for bills payable, as disclosed in Note 10.

Bills payable bear interest rate of 5.00% per annum.

Total interest expense on bills payable amounted to ₱644,306 and ₱147,222 for 2023 and 2022, respectively.

## 16. ACCRUED AND OTHER LIABILITIES

Details of this account are disclosed below:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Due to Agricultural Credit Policy Council | ₱ | **46,903,564** | ₱ | 53,581,802 |
| Retirement benefit obligation (Note 17) | | **13,319,670** | | 15,311,869 |
| Accrued interest expense | | **7,895,794** | | 5,666,776 |
| Lease liability | | **6,251,090** | | 7,159,760 |
| Accrued expenses | | **3,471,859** | | 3,616,075 |
| Accounts payable | | **2,628,732** | | 3,361,907 |
| Government payable | | **1,166,999** | | 1,535,883 |
| Other liabilities | | **150,943** | | 167,801 |
| | ₱ | **81,788,651** | ₱ | 90,401,873 |

Accounts payable represents various expenses incurred by the Bank for its own account and the third parties arising from short term indebtedness/obligations such as insurance, notarial and others which still outstanding at the cut-off/reporting date.

Accrued expenses include accrual of PDIC insurance, professional fees, utilities, transportation and travel and other expenses.

In Philippine Peso

### 16.01 Lease Liability

The details of the Bank's lease liability and their carrying amounts are as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| January 1 | ₱ | **7,159,760** | ₱ | 8,000,067 |
| Interest | | **323,461** | | 370,984 |
| Payments | | **(1,232,597)** | | (1,212,826) |
| Adjustments | | **466** | | 1,535 |
| December 31 | ₱ | **6,251,090** | ₱ | 7,159,760 |

The breakdown of lease liabilities as to current and non-current is as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Current | ₱ | **1,018,725** | ₱ | 908,671 |
| Non-current | | **5,232,365** | | 6,251,089 |
| Total | ₱ | **6,251,090** | ₱ | 7,159,760 |

The maturity analysis of lease liabilities as at December 31, 2023 and 2022 is as follows:

| **2023** | | **Lease Payments** | | **Finance Charges** | | **Net Present Values** |
|---|---|---|---|---|---|---|
| Within 1 year | ₱ | 1,289,571 | ₱ | 270,846 | ₱ | 1,018,725 |
| 1 – 2 years | | 1,340,023 | | 211,480 | | 1,128,543 |
| 2 – 3 years | | 1,379,298 | | 145,960 | | 1,233,338 |
| 3 – 4 years | | 1,091,351 | | 82,792 | | 1,008,559 |
| 4 – 5 years | | 648,260 | | 46,352 | | 601,908 |
| More than 5 years | | 1,301,221 | | 41,204 | | 1,260,017 |
| **Total** | **₱** | **7,049,724** | **₱** | **798,634** | **₱** | **6,251,090** |

| 2022 | | Lease Payments | | Finance Charges | | Net Present Values |
|---|---|---|---|---|---|---|
| Within 1 year | ₱ | 1,232,101 | ₱ | 323,430 | ₱ | 908,671 |
| 1 – 2 years | | 1,289,571 | | 270,846 | | 1,018,725 |
| 2 – 3 years | | 1,340,023 | | 211,480 | | 1,128,543 |
| 3 – 4 years | | 1,379,298 | | 145,960 | | 1,233,338 |
| 4 – 5 years | | 1,091,351 | | 82,792 | | 1,008,559 |
| More than 5 years | | 1,949,480 | | 87,556 | | 1,861,924 |
| Total | ₱ | 8,281,824 | ₱ | 1,122,064 | ₱ | 7,159,760 |

## 17. RETIREMENT BENEFIT OBLIGATION

### 17.01 Characteristics of Defined Benefit Plan

The Bank maintains a funded, non-contributory post-employment defined benefit plan covering all regular employees.

**In Philippine Peso**

The optional retirement age is 60 and the compulsory retirement age is 65. Both must have a minimum of ten years of credited service. Both have the retirement benefit equal to a percentage of the employee's salary at the date of retirement in accordance with the Bank's benefit formula multiplied by the employee's year of service, with six months or more of service considered as one year.

### 17.02 Explanation of Amounts Presented in the Financial Statements

Actuarial valuations are made every three years to update the post-employment benefit costs and the amount of contributions. All amounts presented in the succeeding page are based on the actuarial valuation report obtained from an independent actuary in 2023. Amounts in 2022 are based on management’s estimate only.

The assumptions used to determine retirement benefits of the Bank are as follows:

| | 2023 | 2022 |
|---|---|---|
| Discount rate | **6.08%** | 6.08% |
| Salary rate increase | **2.00%** | 2.00% |

The amount of retirement benefit obligation recognized in the statements of financial position as of December 31, 2023 and 2022 are determined as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Present value of defined benefit obligation | ₱ | **13,319,670** | ₱ | 15,311,869 |
| Fair value of plan assets | | **(16,336,668)** | | (15,896,959) |
| Surplus | ₱ | **(3,016,998)** | ₱ | (585,090) |

Movements in the present value of the defined benefit obligation for the years ended December 31, 2023 and 2022 are as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Balance, January 1 | ₱ | **15,311,869** | ₱ | 14,182,222 |
| Interest expense | | **1,038,783** | | – |
| Current service cost | | **930,734** | | 1,677,217 |
| Benefits paid directly from book reserve | | **(91,523)** | | (547,570) |
| Benefit paid from retirement fund | | **(1,475,355)** | | – |
| Actuarial loss -change in financial assumptions | | **917,523** | | – |
| Actuarial gain - experience | | **(3,312,361)** | | – |
| Balance, December 31 | ₱ | **13,319,670** | ₱ | 15,311,869 |

Movements in fair value of plan assets for the years ended December 31, 2023 and 2022 are as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Balance, January 1 | ₱ | **15,896,959** | ₱ | 15,589,563 |
| Contribution | | **1,276,930** | | – |
| Interest income | | **1,129,539** | | 307,396 |
| Benefit paid from plan asset | | **(1,475,355)** | | – |
| Remeasurement loss - return on plan assets | | **(491,405)** | | – |
| Balance, December 31 | ₱ | **16,336,668** | ₱ | 15,896,959 |

The fund is invested on treasury bills and is administered by the Bank.

In Philippine Peso

Retirement benefit expense recognized in profit or loss is as follows (Note 22):

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Current service cost | ₱ | **930,734** | ₱ | 1,677,217 |
| Net interest cost | | **(90,756)** | | – |
| | | **839,978** | | 1,677,217 |

Cumulative loss recognized in other comprehensive income (OCI) – net of tax are as follows:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Beginning balance | ₱ | **2,283,694** | ₱ | 2,283,694 |
| Actuarial gain - defined benefit obligation | | **(2,394,838)** | | – |
| Remeasurement loss - plan assets | | **491,405** | | – |
| Deferred tax effect | | **475,858** | | – |
| Cumulative actuarial loss – net of tax | ₱ | **856,119** | ₱ | 2,283,694 |

Maturity analysis: 10-year projection of expected future benefits payments is as follow:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Year 1 | ₱ | **965,078** | ₱ | 1,187,584 |
| Year 2 – 5 | | **6,662,219** | | 4,750,335 |
| Year 6 – 10 | | **8,753,716** | | 8,914,565 |
| Year 11 – 15 | | **7,596,373** | | 7,332,249 |
| Year 16 – 20 | | **10,871,121** | | 5,885,314 |
| Year 21 and beyond | | **14,957,726** | | 15,205,510 |

Below shows the sensitivity analysis determined based on reasonably possible changes of each significant assumptions stated above, assuming all other assumptions were held constant:

| **Principal assumptions** | **Increase/Decrease in assumption** | | **Retirement Benefit Obligation** | | |
|---|---|---|---|---|---|
| | | | **2023** | | 2022 |
| Discount rate | +1% | ₱ | **12,456,213** | ₱ | 12,051,666 |
| | -1% | | **14,299,922** | | 14,448,284 |
| Salary increase rate | +1% | | **14,393,817** | | 14,524,612 |
| | -1% | | **12,360,918** | | 11,968,257 |

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the retirement liability recognized within the statements of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period.

### 17.03 Risks Associated with the Retirement Plan

The plan exposes the Bank to actuarial risks such as interest rate risk, longevity risk and salary risk.

*17.03.01 Investment and Interest Risk*
The present value of the defined benefit obligation is calculated using a discount rate determined by reference to market yields of government bonds. Generally, a decrease in the interest rate of a reference government bonds will increase the plan obligation. Currently, the Bank's investment is concentrated in long-term time deposits. Due to the long-term nature of post-employment benefit obligation, management deems that a level of continuing debt investments is an appropriate element of the Bank's long-term strategy to manage the plan efficiently.

*17.03.02 Longevity and Salary Risks*
The present value of the defined benefit obligation is calculated by reference to the best estimate of the mortality of the plan participants during and after their employment and to their future salaries. Consequently, increases in the life expectancy and salary of the plan participants will result in an increase in the plan obligation.

*17.03.03 Sensitivity Analysis*
The information on the sensitivity analysis for certain significant actuarial assumptions, asset-liability matching strategy, and the timing and uncertainty of future cash flows related to the retirement plan are described below.

Each sensitivity analysis on the significant actuarial assumptions was prepared by remeasuring the defined benefit obligation at the actuarial valuation report date after first adjusting one of the current assumptions according to the applicable sensitivity increment or decrement, based on changes in the relevant assumption that were reasonably possible at the valuation date, while all other assumptions remained unchanged. The sensitivities were expressed as the corresponding change in the post-employment benefit obligation.

The sensitivity analysis presented above is based on a change in an assumption while holding all other assumptions constant. This analysis may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation recognized in the statements of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous years.

*17.03.04 Asset-liability Matching Strategies*
To efficiently manage the retirement plan, the Bank through its management, ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve those long-term investments, are in line with obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations. The Bank actively monitors how the duration and the expected yield of the investments are matching the expected cash outflows arising from the retirement obligations.

There has been no change in the Bank's strategies to manage its risk from previous periods.

In Philippine Peso

## 18. RELATED PARTY TRANSACTIONS

The Bank's related parties include its stockholders, entities under common ownership, and the Bank's key management personnel.

### 18.01 Loans Receivable from DOSRI

In the ordinary course of business, the Bank has loans and other transactions with certain DOSRI. Under existing policies of the Bank, these loans and other transactions are made substantially on the same terms as with other individuals and businesses of comparable risks.

Under existing BSP regulations, the amount of individual loans to a DOSRI, 70% of which must be secured, should not exceed the individual's deposit and the investment book value in the Bank. In aggregate, loans to DOSRI, generally, should not exceed the total capital funds or 15% of the loan portfolio of the Bank.

As of December 31, 2023 and 2022, the Bank has no DOSRI and other related party loans.

### 18.02 DOSRI Deposits

Certain key management personnel maintain deposit accounts and placements with the Bank, which are included as part of Deposit Liabilities account in the statements of financial position. Such accounts are interest-bearing and subject to normal banking terms and conditions applied by the Bank to ordinary depositors.

As at December 31, 2023 and 2022 total outstanding deposit from DOSRI amounted to ₱338,128,184 and ₱396,600,742, respectively.

### 18.03 Key Management Personnel Compensation

The details of compensation of key management personnel are presented below:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Short term benefits | ₱ | **12,617,106** | ₱ | 13,106,769 |
| Post-employment benefits | | **619,478** | | 1,391,688 |
| Balance, December 31 | ₱ | **13,236,584** | ₱ | 14,498,457 |

The Bank does not have any related party transactions to be qualified under Section 2 of RR No. 34-2020, hence, not covered by the requirements and procedures therein.

## 19. CAPITAL STOCK

Shown below are the details on the movement of common stock:

| | **2023** | | | 2022 | | |
|---|---|---|---|---|---|---|
| | **Stocks** | | **Amount** | Stocks | | Amount |
| Authorized capital at ₱ 100 par value | **2,999,495** | **₱** | **299,949,500** | 2,999,495 | ₱ | 299,949,500 |
| Issued and fully paid at ₱100 par value | | | | | | |
| Balance, January 1 | **2,370,743** | **₱** | **237,074,300** | 2,268,644 | ₱ | 226,864,400 |
| Stock dividends | **87,678** | | **8,767,800** | 102,099 | | 10,209,900 |
| Balance, December 31 | **2,458,421** | **₱** | **245,842,100** | 2,370,743 | ₱ | 237,074,300 |

In Philippine Peso

### 19.01 Capital Management, Objectives, Policies and Procedures

The Bank's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholder's return is also recognized and the Bank recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

### 19.02 Capital Management

The primary objective of the Bank's capital management are to ensure that it complies with externally imposed capital requirements and maintains strong credit ratings and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Bank manages its capital structure, which composed of paid-up capital and surplus reserve, and makes adjustments to these ratios in light of changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Bank may adjust the amount of dividend payment to shareholders, return capital structure or issue capital securities.

*19.02.01 Capital Ratios as of December 31, 2023*

Appendix 62 of the MORB, as amended by BSP Circular Nos. 1079 and 1084, discusses the guidelines implementing the risk-based capital adequacy framework for stand-alone thrift banks, rural banks and cooperative banks.

The minimum capital ratios shall be expressed as a percentage of capital to risk-weighted assets as shown below:

| Minimum Capital Ratio | Capital | % of Risk-Weighted Assets |
|---|---|---|
| Common Equity Tier 1 (CET1) Ratio | CET1 | at least 6.0% |
| Tier 1 Ratio | Tier 1 | at least 7.5% |
| Capital Adequacy Ratio (CAR) | Qualifying Capital | at least 10.0% |

A capital conservation buffer (CCB) of two and a half percent (2.5%), comprised of CET1 capital, shall likewise be imposed.

The minimum capital ratios based on the new compositions and the CCB shall take effect starting January 1, 2023.

Qualifying capital consists of the following elements, net of required deductions:

a) Tier 1 Capital, which is composed of:
   i. CET1 Capital; and
   ii. Additional Tier 1 (AT1) Capital
b) Tier 2 Capital

CET1 Capital consists of:

a) Paid-up common stock,
b) Surplus reserves,
c) Surplus free; and
d) Other comprehensive income

**In Philippine Peso**

Subject to deductions/regulatory adjustments for:

i. Defined benefit pension asset (liabilities);
ii. Deferred tax asset, net;
iii. Total outstanding unsecured credit accommodations, both direct and indirect, to DOSRI, net of allowance for credit losses; and
iv. Other intangible assets, net

Tier 2 Capital consists of:

a) General loan loss provision

Additionally, CCB is meant to promote the conservation of capital and build-up of adequate cushion above the minimum level that can be drawn down by banks to absorb losses during periods of financial and economic stress. The buffer is on top of the minimum capital requirements. The capital must first be used to meet the minimum CET1 ratio before the remainder can contribute to the CCB.

Where a bank does not have positive earnings, has CET1 ratio of lower than eight and a half percent (8.5%) [CET1 ratio of six percent (6%) plus conservation buffer of two and a half percent (2.5%)], and has not complied with other minimum capital ratios, the Bank would then be restricted from making distribution of earnings.

Information regarding the Bank's qualifying capital as of December 31, 2023 is shown below:

| | | **2023** |
|---|---|---|
| CET1 Capital | ₱ | **289,413,961** |
| AT1 Capital | | **–** |
| Tier 1 Capital | | **289,413,961** |
| Tier 2 Capital | | **8,225,722** |
| Qualifying capital | | **297,639,683** |
| Total risk-weighted assets | ₱ | **1,505,274,335** |
| CET1 Ratio | | **19.23%** |
| CCB | | **13.23%** |
| Tier 1 capital | | **19.23%** |
| Total CAR | | **19.77%** |

The Bank's leverage ratio, computed as total capital over total assets, is 19.46% and 18.58%, as of December 31, 2023 and 2022, respectively.

On August 24, 2022, the BSP issued Circular No. 1151, Amendments to Minimum Capitalization of Rural Banks, increasing the minimum capitalization requirement to ₱200 million for rural banks with more than 10 branches, which must be satisfied within five years from the date of effectivity of the circular. Banks which comply with the new capital levels must submit to the BSP a certification to this effect, within 10 banking days from the date of effectivity of this circular. Banks availing of the capital build-up track shall submit to the BSP within six months from the date of effectivity of this circular. On October 3, 2022 the Bank submitted its certificate of compliance with the said circular.

*19.02.02 Capital Ratios as of December 31, 2022*

Under the current banking regulations, the qualifying capital accounts of the Bank should not be less than an amount equal to ten percent (10%) of its risk-weighted assets. The qualifying capital of the Bank for purposes of determining the capital-to-risk assets is total capital funds excluding:

(a) unbooked valuation reserves and other capital adjustments as may be required by the BSP;
(b) total outstanding unsecured credit accommodations to DOSRI;
(c) deferred tax asset;
(d) goodwill, if any;
(e) sinking fund for redemption of redeemable preferred stock; and
(f) other regulatory deductions.

Risk assets consists of total assets after exclusion of cash on hand, due from BSP, loans covered by hold-out on or assignment of deposits, loans or acceptances under letters of credit to the extent covered by margin deposits, and other non-risk items as determined by the Monetary Board of the BSP. The regulatory capital is analysed into two tiers which are Tier 1 Capital plus Tier 2 Capital less allowable deductions from the total of Tier 1 and Tier 2 capital.

Tier 1 Capital and Tier 2 are defined as follows:

a. Tier 1 Capital includes the following:
   i. paid up common stock,
   ii. surplus free; and
   iii. surplus reserves

   Subject to deductions for:
   i. deferred tax asset, net
   ii. total outstanding unsecured credit accommodations, both direct and indirect, to DOSRI, net of allowance for credit losses

b. Tier 2 Capital includes:
   i. general loan loss provision

Under the existing BSP regulations, the determination of the Bank's compliance with regulatory requirements and ratios is based on the amount of the Bank's unimpaired capital regulatory capital) reported to the BSP, determined on the basis of regulatory accounting policies, which differ from PFRS in some respects.

**In Philippine Peso**

Information regarding the Bank's "unimpaired capital" as of December 31, 2022 is shown below.

| | | 2022 |
|---|---|---|
| Gross Core Tier 1 Capital | ₱ | 285,641,089 |
| Less: Regulatory adjustments to Core Tier 1 | | |
| Deferred tax assets, net of deferred tax liability | | 6,079,647 |
| Unsecured fringe benefit loans | | 701,897 |
| Net Core Tier 1 Capital | | 278,859,545 |
| Add: Hybrid Tier Capital | | – |
| Tier 1 Capital | | 278,859,545 |
| Tier 2 Capital | | 8,028,803 |
| Total qualifying capital | | 286,888,348 |
| Total risk-weighted assets | ₱ | 1,569,495,640 |
| Tier 1 Capital Ratio | | 17.77% |
| Total Capital Adequacy Ratio | | 18.28% |

## 20. SURPLUS

### 20.01 Surplus Free

The table below shows the surplus free for the year:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Surplus free, January 1 | ₱ | **48,556,789** | ₱ | 49,528,154 |
| Profit | | **41,729,739** | | 34,759,778 |
| Cash dividends | | **(25,100,586)** | | (25,521,243) |
| Stock dividends | | **(8,767,800)** | | (10,209,900) |
| Surplus free, December 31 | ₱ | **56,418,142** | ₱ | 48,556,789 |

The Bank's retained earnings is not subject and is exempt from the provision of improperly accumulated earnings tax as provided under Section 29 of National Internal Revenue Code of the Philippines and as implemented by Revenue Regulation 02-2001, and Section 34 Republic Act No. 8791 requiring banks to maintain a specific minimum Capital Adequacy Ratio (CAR).

### 20.02 Surplus Reserves

The surplus reserves pertain to reserve set aside by Bank for contingencies. For the years ended December 31, 2023 and 2022, there was no movement in surplus reserves. Total reserves amounted to ₱10,000 for both years.

In Philippine Peso

### 20.03 Dividends

Under Section 124 of the MORB, the liability for dividends declared shall be taken up in the bank's books upon its declaration. However, for dividends declarations that are subject to prior Bangko Sentral verification, the liability for dividends shall be taken up in the books upon receipt of Bangko Sentral advice thereof.

On January 27, 2023, the board of directors, with approval of stockholders representing not less than two-thirds (2/3) of the outstanding capital stock, has resolved to declare cash dividends amounting to ₱25,100,586 and stock dividends amounting to ₱8,767,800 to its common stockholders on records as of December 31, 2022.

On January 28, 2022, the board of directors, with approval of stockholders representing not less than two-thirds (2/3) of the outstanding capital stock, has resolved to declare cash dividends amounting to ₱25,521,243 and stock dividends amounting to ₱10,209,900 to its common stockholders on records as of December 31, 2021.

Movements of cash dividends payable are as follows:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Balance at January 1 | ₱ | **–** | ₱ | – |
| Cash dividends declared | | **25,100,586** | | 25,521,243 |
| Cash dividends paid | | **(25,100,586)** | | (25,521,243) |
| Balance at December 31 | ₱ | **–** | ₱ | – |

## 21. OTHER INCOME

This account consists of the following:

| | Notes | | **2023** | | 2022 |
|---|---|---|---|---|---|
| Service charges, fees and commission | | ₱ | **28,122,201** | ₱ | 23,910,530 |
| Recovery on charged-off asset | | | **12,419,754** | | 13,118,800 |
| Gain on sale of investment properties | 12 | | **10,378,004** | | 12,782,209 |
| Commission | | | **8,629,363** | | 8,135,517 |
| Penalties | | | **5,373,024** | | 5,087,376 |
| Gain on sale of bank premises, furniture, fixtures and equipment | 11 | | **99,997** | | 24,999 |
| Miscellaneous income | | | **10,860,179** | | 11,479,512 |
| | | ₱ | **75,882,522** | ₱ | 74,538,943 |

Recovery on charged-off asset refers to reversal of allowance for credit and impairment losses.

Miscellaneous income pertains to rebates received and income from ATM transactions.

In Philippine Peso

## 22. OTHER EXPENSES

Details of other expenses are shown below:

| | Notes | | 2023 | | 2022 |
|---|---|---|---|---|---|
| Compensation and fringe benefits | | ₱ | **50,568,776** | ₱ | 51,545,953 |
| Taxes and licenses | | | **13,644,265** | | 14,011,420 |
| Depreciation and amortization | 23 | | **6,031,313** | | 6,298,802 |
| Fuel and oil | | | **4,266,823** | | 4,821,065 |
| Security, messengerial and janitorial services | | | **3,690,497** | | 3,578,071 |
| Representation and entertainment | | | **3,058,903** | | 2,830,359 |
| Insurance expense | | | **2,999,109** | | 2,973,915 |
| Power, light and water | | | **2,486,709** | | 3,329,138 |
| Postage, telephone, cables and telegram | | | **1,792,065** | | 2,080,088 |
| Professional fee | | | **1,343,660** | | 1,324,101 |
| Transportation and travel | | | **1,303,654** | | 1,161,978 |
| Repairs and maintenance | | | **1,149,209** | | 1,006,123 |
| Information technology | | | **816,448** | | 746,208 |
| Stationery and supplies used | | | **809,885** | | 1,021,858 |
| Litigation expense | | | **459,381** | | 880,826 |
| Advertising and publicity | | | **335,128** | | 341,961 |
| Interest expense – lease liability | 16 | | **323,461** | | 370,984 |
| Supervision fees | | | **238,844** | | 225,247 |
| Fines and penalties | | | **12,885** | | 75,318 |
| Rent expense | | | **1,200** | | 1,200 |
| Miscellaneous expenses | | | **1,597,071** | | 1,521,434 |
| | | ₱ | **96,929,286** | ₱ | 100,146,049 |

Miscellaneous expenses pertain to donations and charitable contributions, membership fees and dues and other expenses.

Compensation and fringe benefits consists of:

| | Note | | 2023 | | 2022 |
|---|---|---|---|---|---|
| Salaries and wages | | ₱ | **30,626,974** | ₱ | 30,145,440 |
| Employee benefits | | | **10,032,431** | | 11,181,647 |
| Directors' fee | | | **4,665,000** | | 4,681,500 |
| Government contributions | | | **4,404,393** | | 3,860,149 |
| Post-employment benefits expense | 17 | | **839,978** | | 1,677,217 |
| | | ₱ | **50,568,776** | ₱ | 51,545,953 |

## 23. DEPRECIATION AND AMORTIZATION

| | Notes | | 2023 | | 2022 |
|---|---|---|---|---|---|
| **Depreciation expense** | | | | | |
| Bank premises, furniture, fixtures and equipment | 11 | ₱ | **4,919,892** | ₱ | 5,092,714 |
| Investment properties | 12 | | **453,740** | | 482,974 |
| | | | **5,373,632** | | 5,575,688 |
| **Amortization expense** | | | | | |
| Intangible assets | 13 | | **657,681** | | 723,114 |
| | | ₱ | **6,031,313** | ₱ | 6,298,802 |

## 24. INCOME TAX

Under Philippine tax laws, the bank is subject to percentage and other taxes (included in taxes and licenses in the comprehensive income) as well as income taxes. Percentage and other taxes paid consist principally of gross receipts tax (GRT) and documentary stamp tax. The Bank's liability will be based on regulations to be issued by tax authorities.

Income taxes include the corporate income tax, discussed below, and final tax paid which represents the final withholding tax on gross interest income from government securities and other deposit substitutes. These income taxes, as well as the deferred tax benefits and provisions, are presented as provision for income tax in the statements of income.

Under current tax regulations, the applicable income tax rate is thirty percent (30%). Interest allowed as a deductible expense is reduced by an amount equivalent to thirty three percent (33%) of interest income subjected to final tax. Also, entertainment, amusement and recreation (EAR) expense is limited to one percent (1%) of net revenues, as defined, for sellers of services beginning September 1, 2002. The current regulations also provide for MCIT of 2% on modified gross income and allow a three-year NOLCO. Any excess of the MCIT over the regular income tax is deferred and can be used as a tax credit against future income tax liability while NOLCO can be applied against taxable income, both in the next three years from the year of occurrence.

The Bank's liability for income tax is based on existing tax laws and BIR regulations. However, income tax expense as shown on the statement of position comprehensive income is determined under the provision of PAS 12 *Income Taxes*. Under PAS 12, income tax expense is the sum of current tax expense computed under tax laws and deferred tax expense determined through the use of balance sheet liability method.

Deferred tax expense is the sum of changes in deferred tax asset and deferred tax liability. The balance sheet liability method focuses on temporary differences. Temporary differences are differences between the tax base of an asset or liability and its carrying amount in the statement of financial position. The tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes.

In 2020, to address the impact of COVID-19, the Senate and the House of Representatives enacted Republic Act (RA) No. 11494 or the Bayanihan to Recover as One Act (Bayanihan II) effective September 15, 2020 with an original expiry date of December 19, which has since been extended to mid-2021. Bayanihan II provides for COVID-19 response and recovery interventions and mechanisms to accelerate the recovery and to bolster the resiliency of the economy.

Among the response and recovery interventions provided under Bayanihan II are the carry-over of net operating losses incurred by the business or enterprise for taxable years 2020 and 2021 as deductions from gross income (for purposes of computing net taxable income subject to regular corporate income tax) over the next five consecutive taxable years immediately following the year of such loss Section 4 (bbbb) of the Bayanihan II).

Under Bayanihan II, NOLCO would remain in effect even after the expiration of the Act, provided that the deductions are claimed within the next five consecutive taxable years.

December 22, 2020, the Bureau of Internal Revenue (BIR) clarified, through Revenue Memorandum Circular (RMC) No. 138-2020, that the net operating loss carry-over (NOLCO) may be availed of under RR No. 25-2020 for taxpayers operating on fiscal-year reporting. The RMC enumerated fiscal years ending between July 31 and November 30, 2020 and January 31 to June 30, 2021 as falling within the taxable year 2020. Meanwhile, fiscal years ending between July 31 to November 30, 2021 and January 31 to June 30, 2022 fall within the taxable year 2021. Thus, net losses incurred by businesses or taxpayers during these fiscal years can be carried over as deductions from gross income for the next five consecutive taxable years.

**In Philippine Peso**

### 24.01 Income Tax Recognized in Profit

Components of income tax expense are as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Income tax expense – current | ₱ | **14,713,843** | ₱ | 12,474,645 |
| Income tax benefit – deferred | | **(1,212,867)** | | (616,365) |
| | ₱ | **13,500,976** | ₱ | 11,858,280 |

A numerical reconciliation between tax expense and the product of accounting profit multiplied by the tax rate in 2023 and 2022 is as follows:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Accounting profit | ₱ | **55,230,715** | ₱ | 46,618,058 |
| Tax expense at 25% | | **13,807,679** | | 11,654,515 |
| Interest income subject to final tax | | **(1,056,785)** | | (338,646) |
| Disallowed interest expense | | **264,196** | | 84,661 |
| Other non-deductible expenses | | **485,886** | | 457,750 |
| | ₱ | **13,500,976** | ₱ | 11,858,280 |

**In Philippine Peso**

### 24.02 Deferred Taxes

*24.02.01 Deferred Tax Asset and Liabilities*
Net deferred tax assets (liabilities) relating to temporary differences that were recognized by the Bank as of December 31, 2023 and 2022 are summarized below:

| | Deferred Tax Assets | | | | | Deferred Tax Liability | |
|---|---|---|---|---|---|---|---|
| | **Allowance for Credit Losses** | **Impairment Losses** | **Leases** | **Excess of contribution over current service cost** | **Total Deferred Tax Assets** | **Retirement Benefit Obligation** | **Impact to Profit/(Loss)** |
| Balance, December 31, 2021 | 5,414,986 | 233,566 | 166,565 | – | 5,815,117 | (351,835) | 2,328,225 |
| Recognized in profit and loss | | | | | | | |
| Origination | 4,012,480 | 45,362 | 46,274 | – | 4,104,116 | – | 4,104,116 |
| Reversal | (3,693,506) | – | – | – | (3,693,506) | 205,563 | (3,487,943) |
| Adjustments/others | – | – | 192 | – | 192 | – | 192 |
| Balance, December 31, 2022 | 5,733,960 | 278,928 | 213,031 | – | 6,225,919 | (146,272) | 616,365 |
| Recognized in profit and loss | | | | | | | |
| Origination | 4,342,492 | 24,875 | 29,538 | 86,549 | 4,483,454 | (132,119) | 4,351,335 |
| Reversal | (2,843,152) | (286,661) | – | (8,655) | (3,138,468) | – | (3,138,468) |
| Recognized in OCI | | | | | | | |
| Origination | – | – | – | – | – | (475,858) | |
| **Balance, December 31, 2023** | **7,233,300** | **17,142** | **242,569** | **77,894** | **7,570,905** | **(754,249)** | **1,212,867** |

### 24.03 Revenue Regulations (RR) No. 34-2020 – Related Party Transaction (RPT) Form and Transfer Pricing Documentation

The Bureau of Internal Revenue, in its Revenue Regulation No. 34-2020, requires taxpayers to submit BIR Form No. 1709 (RPT Form) to allow the BIR to verify that taxpayers are reporting their related party transactions at arm's length prices. It is also intended to improve and strengthen the Bureau's transfer pricing risk assessment and audit functions. Most importantly, the information that will be gathered from the RPT Form and its attachments will be used by the BIR during the transfer pricing risk assessment to determine whether or not to conduct a thorough review/audit of a particular entity or transaction.

Under the said RR, the following are required to file and submit the RPT Form, together with the Annual Income Tax Return (AITR):

1. Large taxpayers
2. Taxpayers enjoying tax incentives, i.e. Board of Investments (BOI)-registered and economic zone enterprises, those enjoying Income Tax Holiday (ITH) or subject to preferential income tax rate;
3. Taxpayers reporting net operating losses for the current taxable year and the immediately preceding two (2) consecutive taxable years; and
4. A related party, as defined under Section 3 of RR No. 19-2020, which has transactions with (1), (2) or (3) above. For this purpose, key management personnel (KMP), as defined under Section 3(7) of RR No. 19-2020, shall no longer be required to file and submit the RPT Form, nor shall there be any requirement to report any transaction between KMP and the reporting entity/parent company of the latter in the RPT Form.

In addition, the preparation and submission of Transfer Pricing Documentation (TPD) under RR No. 02-2013, otherwise known as "Transfer Pricing Guidelines" and all other relevant issuances, shall be mandatory for taxpayers enumerated above who meet the following materiality thresholds:

a. Annual gross sales/revenue for the subject taxable period exceeds ₱150 million and the total amount of related party transactions with foreign and domestic related parties exceeds ₱90 million; or
b. Related party transactions meeting the following materiality threshold:
   i. If it involves sale of tangible goods in the aggregate amount exceeding ₱60 million within the taxable year;
   ii. If it involves service transaction, payment of interest, utilization of intangible goods or other related party transaction in the aggregate amount exceeding ₱15 million within the taxable year
   iii. If TPD was required to be prepared during the immediately preceding taxable period for exceeding either (a) or (b) above.

As it does not belong to taxpayers who are required to file and submit the RPT Form under Section 2 of RR 34-2020, the Bank is not covered by the requirements and procedures for related party transactions under the said RR.

**24.04 Republic Act No. 11534, otherwise known as the "Corporate Recovery and Tax Incentives for Enterprises (CREATE)" Act**

On February 03, 2021, the final provisions of Senate Bill No. 1357 and House Bill No. 4157 or the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Bill, which seeks to reform corporate income taxes and incentives in the country, had been ratified by the Senate and the House of Representatives of the Philippines.

Under the proposed law, effective July 1, 2020, the corporate income tax will be reduced from the current 30% to 20% for domestic corporations with total assets not exceeding ₱100 million, excluding land, and total net taxable income of not more than ₱5 million. The corporate income tax of all other corporations (domestic and resident foreign), meanwhile, will be lowered to 25%. The bill would also lower the minimum corporate income tax (MCIT) from 2% to 1% effective July 2020 until June 30, 2023.

Other key provisions of the CREATE bill include:

- Effective January 1, 2021, income tax rate for nonresident foreign corporation is reduced from 30% to 25%.
- Preferential income tax rate for proprietary educational institutions and hospitals which are nonprofit is reduced from 10% to 1% effective July 1, 2020 to June 30, 2023.
- Effective January 1, 2022, regional operating headquarters (ROHQ) currently enjoying 10% preferential income tax rate shall be subject to RCIT.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.
- Foreign-sourced dividends received by domestic corporations are exempt from income tax subject to the following conditions:
    - The funds from such dividends actually received or remitted into the Philippines are reinvested in the business operations of the domestic corporation in the Philippines within the next taxable year from the time the foreign-sourced dividends were received;
    - Shall be limited to funding the working capital requirements, capital expenditures, dividend payments, investment domestic subsidiaries, and infrastructure project; and
    - The domestic corporation holds directly at least 20% of the outstanding shares of the foreign corporation and has held the shareholdings for a minimum of 2 years at the time of the dividend distribution.
- Qualified export enterprises shall be entitled to 4 to 7 years income tax holiday (ITH) to be followed by 10 years 5% special corporate income tax (SCIT) or enhanced deductions (ED).
- Qualified domestic market enterprises shall be entitled to 4 to 7 years ITH to be followed by 5 years ED.
- For investments prior to effectivity of CREATE:
    - Registered business enterprises (RBEs) granted only an ITH – can continue with the availment of the ITH for the remaining period of the ITH.
    - RBEs granted an ITH followed 5% GIT or are currently enjoying 5% GIT – allowed to avail of the 5% GIT for 10 years.

The said bill was signed into law on March 26, 2021, except for certain provisions that were vetoed, by the President of the Philippines.

As clarified by the Philippine Financial Reporting Standards Council in its Philippine Interpretations Committee Q&A No. 2020-07, the CREATE Act was not considered substantively enacted as of December 31, 2020 even though some of the provisions have retroactive effect to July 1, 2020. The passage of the CREATE Act into law on March 26, 2021 is considered as a non-adjusting subsequent event. Accordingly, current and deferred taxes as of and for the year ended December 31, 2020 continued to be computed and measured using the applicable income tax rates as of December 31, 2020 (i.e., 30% RCIT / 2% MCIT) for financial reporting purposes.

Applying the provisions of the CREATE Act, the Bank would have been subjected to lower regular corporate income tax rate of 25% effective July 1, 2020.

**In Philippine Peso**

## 25. CHANGES IN LIABILITIES ARISING FROM FINANCING ACTIVITIES

The following shows the movement of financing liabilities.

| | | | **Non-cash changes** | | | | | |
|---|---|---|---|---|---|---|---|---|
| **2023** | **January 1** | **Cash flows** | **Foreign exchange** | **Interest expense** | **Fair value changes** | **Others** | **Leases** | **December 31** |
| Lease liability | 7,159,760 | (1,232,597) | – | 323,461 | – | 466 | – | 6,251,090 |
| Bills payable | – | 10,000,000 | – | – | – | – | – | 10,000,000 |
| Dividends payable | – | (25,100,586) | – | – | – | 25,100,586 | – | – |
| | **7,159,760** | **(16,333,183)** | **–** | **323,461** | – | **25,101,052** | **–** | **16,251,090** |

| | | | Non-cash changes | | | | | |
|---|---|---|---|---|---|---|---|---|
| 2022 | January 1 | Cash flows | Foreign exchange | Interest expense | Fair value changes | Others | Leases | December 31 |
| Lease liability | 8,000,067 | (1,212,826) | – | 370,984 | – | 1,535 | – | 7,159,760 |
| Bills payable | – | – | – | – | – | – | – | – |
| Dividends payable | – | (25,521,243) | – | – | – | 25,521,243 | – | – |
| | 8,000,067 | (26,734,069) | – | 370,984 | – | 25,522,778 | | 7,159,760 |

In 2023, cash flows related to lease liability include principal payment and interest expense amounting to ₱909,136 and ₱323,461, respectively while cash inflows related to bills payable amounted to availment of ₱10,000,000.

In 2022, cash flows related to lease liability include principal payment and interest expense amounting to ₱841,842 and ₱370,984, respectively while cash inflows related to bills payable amounted to availment of ₱10,000,000 and outflows pertaining to payment of ₱10,000,000.

In Philippine Peso

## 26. PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

The Bank is a plaintiff in various cases, arising from the normal course of business, pending in courts for alleged claims against the Bank. The final outcome of which cannot be determined at present.

In the normal course of business, the Bank makes various commitments and incurs certain contingent liabilities that are not given recognition in the accompanying financial statements. As at December 31, 2023 and 2022, management believes that losses, if any, that may arise from these commitments and contingencies will not have any material effect on the financial statements.

## 27. EVENTS AFTER THE REPORTING DATE

No events after the date of the statement of financial position were identified in these financial statements that provide evidence of conditions that existed at the date of the statement of financial position (adjusting events after the date of the statement of financial position) and that were indicative of conditions that arose after the date of the statement of financial position (non-adjusting events after the date of the statement of financial position.

## 28. SUPPLEMENTARY INFORMATION UNDER REVENUE REGULATION 15-2010

Revenue Regulation (RR) No. 21-2002 prescribing additional procedural and/or documentary requirements in connection with the preparation and submission of financial statements accompanying income tax returns was amended under RR 15-2010. The amendment that became effective on December 28, 2010 requires the inclusion in the notes to financial statements, information on taxes and license fees paid or accrued during the year in addition to what is required under the Philippine Financial Reporting Standards and such other standards and/or conventions.

Below are the additional information required by RR 15-2010. This information is presented for purposes of filing with the BIR and is not a required disclosure under PFRS.

### 28.01 Gross Receipts Tax

In lieu of the value-added tax (VAT), the Bank is subject to the gross receipts tax (GRT) imposed on all banks and non-bank financial intermediaries performing quasi-banking functions pursuant to Section 121 of the Tax Code, as amended. In 2023 and 2022, the Bank reported total GRT as shown below:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| Gross receipts tax paid | ₱ | **6,510,911** | ₱ | 6,592,536 |
| Gross receipts tax payable | | **3,061,559** | | 2,278,997 |
| | ₱ | **9,572,470** | ₱ | 8,871,533 |

In Philippine Peso

### 28.02 All Other National and Local Taxes

All other local and national taxes paid by the Bank and presented as part of operating expenses for the periods ended December 31, 2023 and 2022 consist of:

| | | 2023 | | 2022 |
|---|---|---|---|---|
| National taxes: | | | | |
| Percentage tax | ₱ | **9,572,470** | ₱ | 8,871,533 |
| Documentary stamp tax | | **2,636,954** | | 3,758,528 |
| Local taxes: | | | | |
| Business permit | | **1,220,852** | | 1,199,441 |
| Real property taxes | | **120,199** | | 130,097 |
| Other taxes and license | | **93,789** | | 51,821 |
| | ₱ | **13,644,264** | ₱ | 14,011,420 |

### 28.03 Withholding Taxes

Withholding taxes paid or accrued for the years ended December 31, 2023 and 2022 consist of:

| **2023** | | **Paid** | | **Accrued** | | **Total** |
|---|---|---|---|---|---|---|
| Expanded withholding tax | ₱ | 135,837 | ₱ | 37,980 | ₱ | 173,817 |
| Withholding tax on compensation | | 514,615 | | 43,772 | | 558,387 |
| Final withholding tax | | 2,534,566 | | 309,946 | | 2,844,512 |
| | ₱ | **3,185,018** | ₱ | **391,698** | ₱ | **3,576,716** |

| 2022 | | Paid | | Accrued | | Total |
|---|---|---|---|---|---|---|
| Expanded withholding tax | ₱ | 544,888 | ₱ | 55,357 | ₱ | 600,245 |
| Withholding tax on compensation | | 519,486 | | 98,906 | | 618,392 |
| Final withholding tax | | 2,579,621 | | 759,799 | | 3,339,420 |
| | ₱ | 3,643,995 | ₱ | 914,062 | ₱ | 4,558,057 |

### 28.04 Tax Assessments

The Bank has no outstanding tax assessments as of December 31, 2023 and 2022.

### 28.05 Tax Cases

As of December 31, 2023 and 2022, the Bank does not have any final deficiency tax assessments from the BIR does not have tax cases outstanding or pending in courts or bodies outside of the BIR in any of the open years.

**In Philippine Peso**

## 29. SUPPLEMENTARY INFORMATION REQUIRED UNDER BSP CIRCULAR 1074

On January 8, 2020, the Monetary Board of the Bangko Sentral ng Pilipinas issued BSP circular 1074, *Amendments to the Regulation on the Financial Audits of Banks*, which requires Banks to include the following additional information:

### 29.01 Basic Quantitative Indicators of Financial Performance

The following basic ratios measure the financial performance of the Bank:

| | **2023** | 2022 |
|---|---|---|
| Return on average equity | **14.76%** | 12.47% |
| Return on average assets | **2.86%** | 2.33% |
| Net interest margin | **6.96%** | 6.55% |

### 29.02 Capital Instrument Issued

The description of the capital instrument issued by the Bank is disclosed in Note 19.

### 29.03 Significant Credit Exposures

The Bank concentration of credit as to the industry/economic sector are as follows (net of unamortized discount):

| | **2023** | | | 2022 | | |
|---|---|---|---|---|---|---|
| | **Peso Amount** | **% As to Industry** | **% to Tier 1** | Peso Amount | % As to Industry | % to Tier 1 |
| Agriculture, forestry and fishing | **361,799,746** | **41.57%** | **125.01%** | 337,573,578 | 42.28% | 121.06% |
| Wholesale and retail trade, repair of motor vehicles and motorcycles | **195,366,779** | **22.45%** | **67.50%** | 162,764,898 | 20.39% | 58.37% |
| Real estate activities | **67,646,429** | **7.77%** | **23.37%** | 70,728,559 | 8.86% | 25.36% |
| Construction | **56,818,039** | **6.53%** | **19.63%** | 54,934,782 | 6.88% | 19.70% |
| Education | **2,725,061** | **0.31%** | **0.94%** | 1,139,093 | 0.14% | 0.41% |
| Accommodation and food service activities | **840,209** | **0.10%** | **0.29%** | 1,119,892 | 0.14% | 0.40% |
| Mining and Quarrying | **474,404** | **0.06%** | **0.16%** | – | – | – |
| Human health and social work activities | **378,255** | **0.04%** | **0.13%** | 429,910 | 0.05% | 0.15% |
| Other service activities | **184,267,044** | **21.17%** | **63.67%** | 169,642,356 | 21.26% | 60.83% |
| Total | **870,315,966** | **100.00%** | | 798,333,068 | 100.00% | |

The BSP considers the concentration of credit exists when the total loan exposure to a particular industry or economic sector exceeds 30% of the total loan portfolio or 10% of Tier 1 Capital amounting to ₱28.94M and ₱27.89M, as of December 31, 2023 and 2022, respectively.

In 2023 and 2022, the Bank is exposed to credit risk concentration on agriculture, forestry and fishing amounting to more than 30% of the total loan portfolio. The Bank is also exposed to credit risk concentration on agriculture, forestry and fishing, wholesale and retail trade, repair of motor vehicles and motorcycles, construction, real estate activities and other service activities amounting to more than 10% of Tier 1 Capital.

In Philippine Peso

### 29.04 Breakdown of Total Loans

*29.04.01 As to security*

Breakdown of loans as to secured and unsecured, and secured loans as to type of security (net of unamortized discount):

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Secured by real estate mortgage | ₱ | **859,843,467** | ₱ | 795,510,702 |
| Unsecured | | **10,472,499** | | 2,822,366 |
| | ₱ | **870,315,966** | ₱ | 798,333,068 |

*29.04.02 As to status*

Breakdown of loans as to performing and non-performing status per product is as follows (net of unamortized discount):

| **2023** | | **Performing** | | **Non-performing** | | **Total** |
|---|---|---|---|---|---|---|
| Other agricultural credit loans | ₱ | 331,638,972 | ₱ | 12,849,820 | ₱ | 344,488,792 |
| Loans to individual for other purposes | | 317,128,635 | | 21,075,255 | | 338,203,890 |
| Medium scale enterprise | | 102,431,205 | | – | | 102,431,205 |
| Small scale enterprise loans | | 71,842,611 | | 3,600,043 | | 75,442,654 |
| Agrarian reform loans | | 9,418,778 | | 330,647 | | 9,749,425 |
| | **₱** | **832,460,201** | **₱** | **37,855,765** | **₱** | **870,315,966** |

| 2022 | | Performing | | Non-performing | | Total |
|---|---|---|---|---|---|---|
| Loans to individual for other purposes | ₱ | 367,648,233 | ₱ | 19,480,763 | ₱ | 387,128,996 |
| Other agricultural credit loans | | 308,785,825 | | 12,018,272 | | 320,804,097 |
| Small scale enterprise loans | | 36,186,034 | | 3,563,651 | | 39,749,685 |
| Medium scale enterprise | | 35,630,906 | | – | | 35,630,906 |
| Agrarian reform loans | | 14,288,607 | | 730,777 | | 15,019,384 |
| | ₱ | 762,539,605 | ₱ | 35,793,463 | ₱ | 798,333,068 |

### 29.05 Information of Related Party Loans

Information on related party loans is disclosed in Note 18.

### 29.06 Aggregate Amount of Secured Liabilities and Assets pledge as Security

As of December 31, 2023 and 2022, loans receivable with carrying amount of ₱11,165,000 and ₱11,538,236, respectively, were used as collateral for bills payable, as disclosed in Note 10 and 15.

### 29.07 Contingencies and Commitments Arising from Off-balance Sheet Items

As of December 31, 2023 and 2022, the Bank has contingencies and commitments arising from off-balance sheet items as described in Circular No. 1074 as follows:

| | | **2023** | | 2022 |
|---|---|---|---|---|
| Items held as collateral | ₱ | **1,942** | ₱ | 1,981 |
| Items held for safekeeping | | **405** | | 436 |
| | ₱ | **2,347** | ₱ | 2,417 |